



**Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City**

ANNUAL AUDIT REPORT

on the

**Municipality of Taytay
Province of Palawan**

For the Year Ended December 31, 2021



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

June 24, 2022

Honorable CHRISTIAN V. RODRIGUEZ

Municipal Mayor
Municipality of Taytay, Palawan

Dear Mayor Rodriguez:

We are pleased to transmit the report on the results of the audit on the account and operations of the Municipal Government of Taytay, Palawan for the year ended December 31, 2021, pursuant to Section 43 of Presidential Decree (PD) No. 1445, otherwise known as the Government Auditing Code of the Philippines, and in line with the Commission's effort towards informing management on how fiscal responsibility has been discharged.

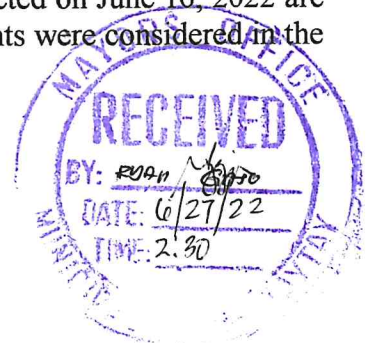
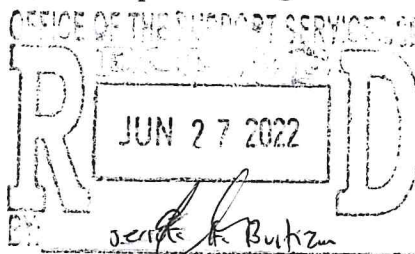
The audit was conducted to (a) ascertain the level of assurance that may be placed on management's assertions on the financial statements; (b) evaluate the extent of compliance with laws and regulations as well as the propriety and validity of the transactions; and (c) determine the extent of implementation of prior years' audit recommendations.

Our audit was conducted in accordance with International Standards of Supreme Audit Institutions (ISSAIs) and we believe that it provided a reasonable basis for the results of the audit.

The attached Report consists of the Independent Auditor's Report, the Audited Financial Statements, the Observations and Recommendations, the Status of Implementation of Prior Year's Audit Recommendations and Annexes.

We rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality, in view of the exceptions noted in audit as stated in the Independent Auditor's Report, in Part I of this report.

The audit observations together with the recommended courses of action, which were communicated thru Audit Observation Memoranda and discussed with Management officials and employees concerned, in an exit conference conducted on June 16, 2022 are presented in detail in Part II of the report. Management comments were considered in the report, where appropriate.

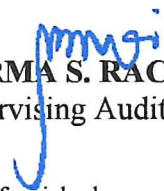


We request that the recommended remedial measures be immediately implemented and we would appreciate being informed of the actions taken thereon within 60 days from receipt of this report, by submitting the duly accomplished Agency Action Plan and Status of Implementation (AAPSI) form, copy attached, pursuant to Section 91 of the General Provisions of Republic Act (RA) No. 11518, otherwise known as the General Appropriations Act of FY 2021.

We acknowledge the support and cooperation that you and your staff extended to the Audit Team, thus facilitated the submission of the report.

Very truly yours,

By Authority of the Chairman:


NORMA S. RACELIS
Supervising Auditor

Copy furnished:

- The Secretary
Department of the Interior and Local Government
- Bureau of Local Government Finance
- Sangguniang Bayan of Taytay, Palawan
- National Library (soft copy)
- University of the Philippines (UP) Law Center (soft copy)
- COA Commission Central Library (soft copy)

EXECUTIVE SUMMARY

Introduction

The Municipality of Taytay, Palawan is located on the western portion of the Philippines, comprising one of the northern towns in the Province of Palawan. It is bounded on the north by the Municipality of El Nido, on the south by the Municipalities of Roxas and Dumarang and on the southwest by the Municipality of San Vicente. According to the 2020 census, it has a population of 83,357 people.

In line with Republic Act No. 7160, otherwise known as the Local Government Code of 1991, the Municipality, like any government units, enjoys total autonomy in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable social and economic growth.

Financial Highlights

The total assets, liabilities, government equity, income and expenses for CY 2021 compared with that of the preceding year are as follows:

	CY 2021	CY 2020	Increase (Decrease)
Total Assets	₱1,489,630,047.06	₱1,161,572,161.63	₱328,057,885.43
Total Liabilities	483,541,439.61	290,477,165.20	193,064,274.41
Total Equity	1,006,088,607.45	871,094,996.43	134,993,611.02
Total Income	475,155,180.00	492,633,492.35	(17,478,312.35)
Total Expenses	340,091,593.11	372,974,284.70	(32,882,691.59)

Based on the Statement of Comparison of Budget and Actual Amounts for CY 2021, the Municipality had a total current and continuing appropriations under the General Fund and Special Education Fund amounting to ₱942,364,811.37 and ₱4,583,372.38, respectively, of which ₱438,892,452.01 and ₱3,426,004.34, respectively, were obligated during the year.

Scope of Audit

The Audit Team conducted financial and compliance audits on the accounts and operations of the Municipality of Taytay, Palawan for Calendar Year 2021. The audit was conducted on a test basis and consisted of review of operating procedures, interview of concerned government officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

The audit was conducted to (a) ascertain the level of assurance that may be placed on management's assertions in the financial statements; (b) evaluate the extent of compliance with laws and regulations as well as the propriety and validity of

transactions; and (c) determine the extent of implementation of prior years' audit recommendations.

Audit Opinion on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the financial statements presentation due to the following:

1. The existence, completeness and accuracy of Property, Plant and Equipment (PPE) accounts with net book value of ₱317,534,306.56 as of December 31, 2021 could not be ascertained due to (a) absence of physical inventory report duly reconciled with PPE ledger cards and property cards; (b) discrepancies of ₱3,318,588.05 between the total additions of PPE per schedule and increase of PPE balances in the financial statements; (c) non-recognition of depreciation expense totaling ₱4,214,094.70; and (d) unidentified PPE totaling ₱30,628,717.10; and
2. Unreliable yearend balances of Construction-in-progress (CIP) accounts totaling ₱282,742,743.53 due to incomplete subsidiary schedules for completed and on-going projects and incorrect recording of expenditures for infrastructure projects under Trust Fund book.

Significant Observations and Recommendations

For the above exceptions, we recommended that the:

For PPE accounts

- a. Municipal Mayor consider the one-time cleansing of PPE account balances as provided under COA Circular No. 2020-06 dated January 31, 2020 to come up with a reliable PPE balance;
- b. Inventory Committee (i) immediately complete the Report on the Physical Count of PPE and Report on the Physical Count of the Local Road Network System and reconcile these reports with the Property Cards, PPE Ledger Cards, Road Network Ledger Cards and other accounting records; and (ii) submit a copy thereof to the Audit Team;
- c. Municipal Accountant (i) reconcile the year-end balances of the PPE and the differences of total acquisition costs of PPE account balances reported in the financial statements and in the PPE schedules; and (ii) recompute depreciation of local roads and provide for the correct accumulated depreciation of the said PPE; and
- d. Municipal Engineer (i) submit a complete report on the costs, description and specifications and cost segregation of the road components to the Municipal

Accountant as bases for disclosures in the Notes to Financial Statements (NTFS); and (ii) regularly assess each road component for impairment.

For CIP accounts

- e. Municipal Accountant (i) make the necessary adjustments to reflect the correct CIP and Due to National Government Agencies (NGAs) account balances in the Trust Fund books and for the immediate transfer of the completed assets to the General Fund (GF); and (ii) submit the schedule of the SL balances of the CIP account as well as the schedule of the related expenditures of completed projects already transferred to PPE account.

For calendar year 2021, the following are the other significant observations and recommendations:

1. Fund transferred to barangays totaling ₱6,999,578.14 remained unliquidated as of December 31, 2021 contrary to Sections 4.6 and 4.9 of COA Circular No. 94-013 dated December 13, 1994. Moreover, the accuracy of fund transfer balances totaling ₱465,281.23 could not be ascertained due to absence of subsidiary ledgers (SLs) contrary to Items 70 and 72 of the MNGAS for LGUs, Volume I.

We recommended that the:

- a. Municipal Mayor (i) require the concerned barangay officials to immediately liquidate and/or return the unused balances of funds received, if any; (ii) regularly monitor and verify the status of implementation of projects funded from the transfers to barangays; and (iii) ensure that the provisions of COA Circular No. 94-013 are strictly observed and that all fund transfers to other LGUs are fully liquidated upon completion of the purpose; and
 - b. Municipal Accountant (i) prepare and submit the schedule of fund transfers with complete information pursuant to COA Circular No. 2016-005; and (ii) reconstruct the SLs of fund transfers amounting to ₱465,281.23.
2. The accuracy of the Reconciliation Statement of Actual Amounts presented in the Statement of Comparison of Budget and Actual Amounts (SCBAA) and in the Statement of Financial Performance (SFPer) and the actual amounts of Income presented in the SCBAA is doubtful due to reconciling items of ₱554,170.39 (net) that were not itemized in the Reconciliation Statement and variances totaling ₱3,046,811.54 between the amounts presented in the Reconciliation Statement, SCBAA and the SFPer.

We recommended that the Municipal Accountant and the Municipal Budget Officer (MBO) immediately submit the details of reconciling items of ₱554,170.39 (net) and investigate the variances of ₱111,552,796.00 noted in the Reconciliation Statement of Actual Amounts.

3. Several lapses were noted in the Municipality's compliance with the provisions of Republic Act (R.A.) No. 10121 or the "The Philippine Disaster Risk Reduction and Management (DRRM) Act of 2010" and COA Circular No. 2012-002 dated September 12, 2012 such as (a) non-transfer of the unexpended balance of the CY 2021 QRF and DRRMF-MOOE amounting to ₱3,467,756.23 to the LDRRMF Special Trust Fund (STF) bank account; and (b) non-maintenance of SLs for the Trust Liabilities-DRRMF account and variances between the available, utilized and unexpended balances of DRRMF presented in the NTFS, Monthly Report on the Sources and Utilization of the DRRMF, SCBAA and in the SAAOB.

We recommended that the a) Municipal Accountant and the MBO immediately reconcile their records on DRRMF in coordination with the MDRRM Officer to present the correct amounts in the NTFS, SCBAA, SAAOB and in the Monthly Report on the Sources and Utilization of the DRRM Fund; b) Municipal Accountant immediately reconstruct the SLs for all transfers of unexpended DRRMF to the STF by year of transfer; and c) Municipal Accountant and the Municipal Treasurer cause the immediate transfer of the unexpended DRRMF to the LDRRMF STF bank account.

4. Deficiencies were noted in the budgeting and utilization of the funds for DRRM and for the rehabilitation and recovery program for the victims of Super Typhoon Odette such as: (a) realignment of DRRMF Capital Outlay of ₱9,018,154.48 to MOOE of MDRRM Office; (b) variance of ₱552,500.00 on the reported appropriations for the Grants and Donations; (c) unsubmitted disbursement vouchers; (d) ineligible expenditures charged to the MDRRM Fund; and (e) food supplies totaling ₱10,237,480.00 recorded as outright expenses despite absence of proof of receipt and distribution to intended beneficiaries of the procured goods for COVID-19 operations.

We recommended that the:

- a. Municipal Mayor, i) thru the MBO and the MDRRM Officer, ensure that appropriations for DRRM PPAs are realigned and utilized within the DRRM Fund; and ii) Municipal Accountant and the MBO compute the unexpended balance from the realigned DRRM Fund of ₱9,018,154.48 and include it in the amount to be transferred to the Special Trust Fund.
- b. Municipal Accountant and the MBO review the utilization of the Grants and Donations under the MOOE account of the MDRRM Office, investigate the variance of ₱552,500.00 and submit proof of augmentation/realignment if that amount was found valid and thereafter effect the necessary adjustments to correct the reported utilization;
- c. Municipal Accountant immediately submit the aforementioned paid vouchers and supporting documents since these were already recognized/recorded in the books of accounts;

- d. Municipal Mayor: i) thru the MDRRM Officer, appropriate funds for the repairs and maintenance of the DRRM equipment and vehicles under the MDRRM Office in the General Fund; and ii) thru the Municipal Accountant, MBO and MDRRM Officer, ensure that the allocation and utilization of DRRM Funds are in accordance with the guidelines laid down by the NDRRMC-DBM-DILG JMC No. 2013-1 dated March 25, 2013; and
 - e. Municipal Accountant, in coordination with the MDRRM Officer and GSO, submit the lacking Inspection and Acknowledgement Receipt, Requisition Issue Slip and proof of receipt and distribution of the welfare goods to the beneficiaries and determine the quantity of items that were already distributed/issued and record the undistributed or remaining food supplies to the appropriate inventory account.
5. Procurement of 2,200 COVID-19 antigen testing kits totaling ₱1,586,000.00 was not compliant with the price cap set by the DOH Department Circular (D.C.) No. 2021-0323 dated August 6, 2021. Moreover, technical specifications were not indicated in the Purchase Orders (POs) and the payment was made to one supplier despite absence of License to Operate (LTO) as medical devices seller, as required by the DOH Administrative Order No. 2020-0017 dated May 8, 2020 to all wholesalers and retailers in the medical device industry.

We recommended that the Municipal Mayor, as the head of procuring entity, (a) ensure that the POs are completely and accurately accomplished before its approval and the complete details regarding the specifications of the goods to be procured are clearly indicated in the PO/Contract; and (b) thru the Bids and Awards Committee (BAC) and Municipal Accountant, cause the submission of the authenticated copy of the concerned supplier's LTO as medical devices wholesaler/ retailer.

We also recommended that the BAC (a) provide the basis in their computation of the estimated unit cost per antigen testing kit procured on CY 2021; (b) in every procurement of drugs and medical devices, require suppliers to submit copies of their FDA-issued LTO and verify it on the FDA online verification portal; and (c) observe due diligence in the determination of price estimates of goods prior to commencing procurement as well as in the evaluation of the legal and technical documents of the supplier.

6. Several deficiencies were noted in the accounting and utilization of Local Government Support Fund (LGSF) and other fund transfers from national governments:
- a. Delayed implementation of the Expansion and Rehabilitation of Pamantolon and Poblacion Water System Level III funded by LGSF- SALINTUBIG 2020 with fund amounting to ₱10,989,753.00 resulted in the cancellation of the said project and refund of the funds received by the Municipality, thereby defeating the purpose for which the fund was established.

We recommended that the Municipal Mayor, thru the Municipal Engineer and the Municipal Planning and Development Coordinator (MPDC), submit an explanation on the non-implementation of the project and ensure that future projects funded by the LGSF are well-planned and procurement-and-implementation-ready and strictly comply with the guidelines related to implementation of the LGSF projects.

- b. Payment for the Construction of Local Access Road at Sitio Lake Danao (2019 LGSF- Assistance to Municipalities (AM)) and Improvement of Slaughterhouse (2019 LGSF- Financial Assistance (FA) to LGUs)) amounting to ₱6,108,284.96 and ₱1,886,103.97, respectively, were directly debited to Due to NGAs account, thereby understating the CIP and the Road Networks accounts, respectively, by the same amounts as of yearend.

We recommended that the Municipal Accountant make the necessary adjustments to reflect the correct CIP and Due to NGAs account balances in the Trust Fund books and for the immediate transfer of the completed assets to the General Fund.

- c. LGU's Counterpart for the LGSF-AM-Construction of Evacuation Facility Phase I and II totaling ₱17,385,456.60 sourced from its 20% Development Fund and DRRM Fund, was erroneously recorded to the Due to NGAs account, thus overstating that account by the same amount as of yearend.

We recommended that the Municipal Accountant make the necessary adjustments to reflect the correct Due to NGAs and Trust Liabilities account balances pertaining to LGSF-AM Construction of Evacuation Facility.

- d. Two completed LGSF projects were not supported with complete technical documents contrary to Section 4(6) of the Presidential Decree (P.D.) No. 1445.

We recommended that the Municipal Accountant, in coordination with the Municipal Engineer, immediately submit the lacking documents supporting the payments relative to the implementation of the aforesaid LGSF projects.

- e. Fund Transfers from Other NGAs totaling ₱5,840,964.67 remained utilized as of yearend, thereby depriving the intended beneficiaries of the immediate benefits that could have been derived therefrom had the projects been promptly implemented.

We recommended that the Municipal Mayor direct the MPDC, Municipal Engineer and other implementing offices or focal person assigned to the projects and programs funded by NGAs to act with dispatch on their immediate implementation to avoid cancellation and possible refund of the funds received by the Municipality.

7. Unused balances totaling to ₱1,777,131.27 under Trust Fund were not returned to the source agencies after completion of the project contrary to the provisions of Section 4.9 of COA Circular No. 94-013 dated December 13, 1994. Meanwhile, on March 28, 2022, the Municipality refunded to the National Treasury the amount of ₱262,626.04 while the unused balance of BGCM fund as of December 31, 2021 amounted only to ₱184,316.04, hence the over-remittance of ₱78,310.00.

We recommended that the Municipal Mayor, (a) thru the Municipal Accountant, review the Memoranda of Agreement pertaining to the aforesaid unutilized balances of completed projects and communicate with the source agencies for the immediate return of such balances; and (b) carefully review the total utilization of the trust receipts to avoid excessive refund to the source agency and/or national treasury.

8. A private/commercial building under the name of Municipal General Services Officer (GSO) was allowed to occupy an area or operate business within the public market site, a land owned by the Republic of the Philippines and administered by the Municipality of Taytay, without valid tenurial instrument contrary to the provisions of Section 4(2) of the P.D. No. 1445 and Section 89(a)(5) of the R.A. No. 7160.

We recommended that the:

- a. Municipal Mayor and the Municipal GSO render a satisfactory written justification on the continued existence of private commercial building owned by the GSO on the public market site as well as the failure of the Management to take action against the use of government property for private purpose;
 - b. Municipal Mayor and the Municipal Engineer strictly observe the requirements on the issuance of business and building permits particularly the mandatory tenurial instrument in order to stop proliferation of illegally constructed buildings/structures;
 - c. Municipal Treasurer and the Market Supervisor immediately submit the (i) updated list of actual occupants of the said private commercial building in the public market site; (ii) certified copies of contract of lease or other tenurial instrument for the building under the name of the GSO and/or lease agreements with the occupants/stallholders and their business permits; and (iii) record of rental fees, business taxes and business permit fees collected from the GSO on leasing his commercial building; and
 - d. Municipal Mayor fast track the LGU's application to the PRA and compliance to the requirements laid down by the PRA A.O. Nos. 2019-4 and 2021-01 for undertaking the reclamation project (Phase 2) and acquiring legal rights/title over the existing reclaimed land (Phase 1).
9. Eight audit recommendations from Finding No. 4 of the CY 2017 Annual Audit Report (AAR) pertaining to the procurement and implementation of the Taytay

Municipal-wide Water System Development Project (TMWSDP) remained unimplemented as of December 31, 2021.

We recommended that the Municipal Mayor, as the agency head, direct the concerned department heads to submit written justification on the non-submission of the information on the actions taken by the MGTP and/or reasons for non-implementation, otherwise, provide proof of compliance to the audit recommendations indicated in Finding No. 4 of CY 2017 AAR.

10. Several deficiencies were noted in the procurement, implementation and disbursements pertaining to TMWSDP with total approved budget of ₱195,550,000.00 financed by MDFO loan, the amortization and interests of which were paid out of the 20% Development Fund.

a. Of the 23 water supply systems (WSS), six are still on-going while 17 remained unimplemented as of December 31, 2021, indicating that the TMWSDP was not implemented in accordance with the project duration indicated in the POWs and project implementation schedule provided in the Feasibility Study, which is part of the Agency-to-Agency Agreement signed by and between the MGTP and PGP.

We recommended that the Municipal Mayor: (i) together with the BAC and the Municipal Engineer, ensure that the implementation and procurement methods adopted for infrastructure projects and the terms of contracts entered into by the MGTP are in accordance with the Revised Implementing Rules and Regulations (I.R.R.) of R.A. No. 9184 and other related laws, rules and regulations; (ii) thru the Municipal Engineer, review the necessity and validity of the variation orders before approval; (iii) thru the Municipal Accountant, strictly observe the provisions of the Revised I.R.R. on releasing advance payment for all contracts and ensure the completeness of supporting documents before making payment; and (iv) in view of the delayed implementation for more than five years, take appropriate actions and avail of the remedies pursuant to Section 68, Section 8 of Annex E and Section III.A.2, Annex I of the Revised I.R.R. of R.A. No. 9184.

b. Construction materials totaling ₱107,106,895.32 or 73.76% of the contract amount were not delivered by Atlanta Industries, Inc. within the agreed delivery period indicated in the contract agreement.

We recommended that the Municipal Mayor (i) issue termination of contract to the erring supplier pursuant to Item III.A.1 of Annex I of the 2016 Revised I.R.R. of R.A. No. 9184; (ii) thru the BAC, consider issuing a Blacklisting Order in accordance with the Uniform Guidelines For Blacklisting Of Manufacturers, Suppliers, Distributors, Contractors And Consultants provided in Appendix 17 of the said I.R.R.; and (iii) require the concerned officials to render a written justification on their failure to monitor the supplier's compliance on the terms of the contract and failure to recommend its termination despite the lapse of five years.

- c. Failure of the Municipal Engineer to monitor and report the status of implementation of the TMWSDP contrary to COA Circular No. 2013-004 dated January 30, 2013.

We recommended that the Municipal Engineer: (i) immediately submit the latest Statement of Work Accomplished (showing both the material and labor component) and Statement of Time Elapsed to the Audit Team; and (ii) together with the MPDC, monitor and take necessary actions to address the delay in the project implementation and ensure that future projects are implemented in accordance with the agreed project schedule and plans.

11. Contracts for the procurement of goods intended for donations totaling ₱1,133,526.00 were doubtful due to inconsistencies in the dates of the supporting documents of disbursement vouchers casting doubts on the integrity of the procurement process and the regularity of the expenditures.

We recommended that the BAC render a satisfactory explanation/justification on the noted discrepancies in the procurement of goods intended for donation which are deemed inconsistent with the guidelines of R.A. No. 9184 and its Revised I.R.R.

We also recommended that the Municipal Accountant thoroughly review the supporting documents of the goods as part of her internal audit service to the Municipality.

12. Lapses were noted in the implementation of infrastructure projects funded by the 20% Development Fund (DF), Loan, Trust Fund and GF-Proper such as: (a) forty-five (45) infrastructure projects with project costs totaling ₱168,858,511.93 remained unimplemented as of yearend while 55 projects were not included in the status report of implementation contrary to COA Circular No. 2013-004 dated January 30, 2013; (b) unreconciled accounting records and budget reports on the total actual costs incurred to date per project; (c) lacking technical documents for projects implemented “by administration”; (c) lacking As-built plans and revised S-curve for seven projects implemented thru straight contracts; and (f) unrecorded projects implemented by the barangays due to absence of proof of completion.

We recommended that the:

- a. Municipal Engineer and the MPDC fast track the implementation of the infrastructure projects and ensure that all projects are strictly monitored and implemented in accordance with plans and schedules;
- b. MPDC and the Local Development Council establish priorities during investment programming and include in the Annual Investment Program only those programs and projects which are feasible, specifically identified and with resource requirements that are based on duly approved POWs and Detailed Cost Estimates;

- c. Municipal Accountant and the MBO, in coordination with the Municipal Engineer, reconcile their records to determine the correct total actual cost incurred for each project; and
 - d. Municipal Engineer (i) ensure that the status report of all infrastructure projects of the municipality is complete and supported with SWA and other documents required for technical evaluation and inspection; (ii) provide the completion and inspection report and other documents necessary in the recording of the projects implemented by the barangays; and (iii) henceforth, strictly comply with the requirements of COA Circular No. 2013-004.
13. The year-end balances of Due to BIR, GSIS and PhilHealth included negative balances totaling ₱299,328.89 which connotes over-remittances while balances totaling ₱16,341.69 were not supported with subsidiary schedules.

We recommended that the a) Municipal Accountant complete the reconciliation of their records on Due to GSIS, Pag-IBIG and PhilHealth and provide subsidiary schedules for balances totaling ₱16,341.69 to facilitate remittance to the concerned agencies; b) HRM Officer immediately determine the cause/s of the discrepancies between the computed contributions and loan amortizations and the amounts on the billing sent by these agencies and inform the individuals concerned in order to facilitate the necessary adjustments; and c) Municipal Accountant and the Municipal Treasurer ensure that funds collected by the municipal government in behalf of other government agencies are remitted to them fully and within the prescribed due dates to avoid incurrence of interests and penalties.

14. The MGTP failed to secure the approval/endorsement of the DILG Provincial Office for the changes made in the approved GAD Plan and Budget (GPB) contrary to the provisions of Sections 4.1.C.6 and 4.1.C.7 of PCW-DBM-DILG-NEDA JMC No. 2013-01 dated July 18, 2013, as amended by PCW-DBM-DILG-NEDA JMC No. 2016-01 dated January 12, 2016.

We recommended that the GFPS ensure that the Annual GPB is incorporated in the Annual Budget, as well as any changes thereto, to ensure gender responsiveness of GAD programs, projects and activities.

Status of Implementation of Prior Year's Audit Recommendations

Of the seventy-one (71) audit recommendations embodied in prior years' Annual Audit Report, twenty-seven (27) were partially implemented, twenty-eight (28) were implemented while sixteen (16) remained unimplemented in CY 2021.

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Part I
AUDITED FINANCIAL STATEMENTS

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DETAILED OBSERVATIONS AND
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Part III
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Part IV
ANNEXES



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

INDEPENDENT AUDITOR'S REPORT

HON. CHRISTIAN V. RODRIGUEZ

Municipal Mayor
Municipality of Taytay, Palawan

Qualified Opinion

We have audited the financial statements of the Municipal Government of Taytay, Palawan, which comprise the statement of financial position as at December 31, 2021, and the statement of financial performance, statement of changes in net assets/equity, statement of cash flows and statement of comparison of budget and actual amounts for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects of the matter described in the *Basis for Qualified Opinion* section of our report, the accompanying financial statements present fairly in all material respects, the financial position of the Municipal Government of Taytay, Palawan as at December 31, 2021, and its financial performance, its cash flows and its comparison of budget and actual amounts for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

1. The existence, completeness and accuracy of Property, Plant and Equipment (PPE) accounts with net book value of ₱317,534,306.56 as of December 31, 2021 could not be ascertained due to (a) absence of physical inventory report duly reconciled with PPE ledger cards and property cards; (b) discrepancies of ₱3,318,588.05 between the total additions of PPE per schedule and increase of PPE balances in the financial statement; (c) non-recognition of depreciation expense totaling ₱4,214,094.70; and (d) unidentified PPE totaling ₱30,628,717.10; and
2. Unreliable yearend balances of Construction-in-progress (CIP) accounts totaling ₱282,742,743.53 due to incomplete subsidiary schedules for completed and on-going projects and incorrect recording of expenditures for infrastructure projects under Trust Fund book.

We conducted our audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the agency in accordance with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Key Audit Matters

Except for the matter described in the Basis for Qualified Opinion section, we have determined that there are no other key audit matters to communicate in our report.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IPSASs, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Those charged with governance are responsible for overseeing the LGU's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

COMMISSION ON AUDIT

By:


FLORIZA FAUNALIZA B. LUCERO
OIC – Audit Team Leader

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Republic of the Philippines
Province of Palawan
Municipality of Taytay



OFFICE OF THE MUNICIPAL MAYOR

STATEMENT OF MANAGEMENT RESPONSIBILITY FOR

FINANCIAL STATEMENTS

The Management of the Local Government Unit of Taytay is responsible for all information and representation contained in the Statement of Position as of December 31, 2021 and the related Statement of Performance, Statement in Government Equity, Statement of Cashflow and Statement of Comparison of Budget and Actual Amount for the period then ended. The financial statements have been prepared in conformity with generally accepted accounting principles and reflects amounts that are based on best estimates and informed judgment of management with an appropriate consideration of materiality.

In this regard, management maintains a system of accounting and reporting which provides for the necessary internal controls to ensure that transactions are properly authorized and recorded, assets are safeguarded against unauthorized use or disposition and liabilities are recognized.


RUBY S. SOCRATES
Municipal Accountant


CHRISTIAN V. RODRIGUEZ
Municipal Mayor

Municipal Government of Taytay, Palawan
Statement of Financial Position
As at December 31, 2021
(With Comparative Figures For CY 2020)

	Note	CY 2021	CY 2020
ASSETS			
Current Assets			
Cash and Cash Equivalents	4	₱ 489,337,088.52	₱ 355,772,358.11
Investments	5	247,688,697.13	247,688,697.13
Loans and Receivable Accounts	6	114,586,918.50	52,727,599.83
Inventories	7	2,708,511.25	4,076,274.62
Prepayments and Deferred Charges	8	1,144,868.81	(1,040,884.44)
Total Current Assets		855,466,084.21	659,224,045.25
Non-Current Assets			
Property, Plant and Equipment (Net)	9	632,259,117.85	501,027,171.38
Biological Assets	10	312,550.00	312,550.00
Intangible Assets	11	1,592,295.00	1,008,395.00
Total Non-Current Assets		634,163,962.85	502,348,116.38
TOTAL ASSETS		₱ 1,489,630,047.06	₱ 1,161,572,161.63
LIABILITIES			
Current Liabilities			
Financial Liabilities	12	₱ 136,196,161.87	₱ 70,354,624.00
Inter-Agency Payables	13	142,762,666.77	47,936,984.71
Intra-Agency Payables	14	57,232,091.45	13,578,986.55
Trust Liabilities	15	14,597,398.48	10,517,468.36
Deferred Credits/Unearned Income	16	15,462,626.77	33,514,652.34
Other Payables	17	33,509,168.83	153,978.21
Total Current Liabilities		399,760,114.17	176,056,694.17
Non-Current Liabilities			
Financial Liabilities	18	83,781,325.44	88,844,684.91
Other Payables	19	0.00	25,575,786.12
Total Non-Current Liabilities		83,781,325.44	114,420,471.03
TOTAL LIABILITIES		483,541,439.61	290,477,165.20
NET ASSETS/EQUITY			
Net Assets/Equity		1,006,088,607.45	871,094,996.43
TOTAL NET ASSETS/EQUITY		1,006,088,607.45	871,094,996.43
TOTAL LIABILITIES AND NET ASSETS/EQUITY		₱ 1,489,630,047.06	₱ 1,161,572,161.63

(See accompanying Notes to Financial Statements)

Municipal Government of Taytay, Palawan
Statement of Financial Performance
For the Year Ended December 31, 2021
(With Comparative Figures For CY 2020)

	Note	CY 2021	CY 2020
Revenue			
Tax Revenue (Net of discounts)	20	₱ 15,462,906.00	₱ 23,547,391.68
Share from National Taxes	21	436,849,311.00	407,334,432.96
Business and Service Income	22	22,765,279.60	27,746,610.67
Shares, Grants and Donations	23	8,992.23	19,370.22
Miscellaneous Income	24	68,691.17	19,264.82
Total Revenue		475,155,180.00	458,667,070.35
Less: Current Operating Expenses			
Personal Services	25	144,988,132.83	139,141,611.02
Maintenance and Other Operating Expenses	26	163,616,836.67	189,433,736.94
Non-Cash Expenses	27	18,726,158.38	17,388,072.80
Total Current Operating Expenses		327,331,127.88	278,576,588.69
Surplus/(Deficit) from Current Operations		147,824,052.12	112,703,649.59
Add/(Deduct): Transfers, Assistance and Subsidy			
Assistance and Subsidy from	28	0.00	33,966,422.00
Financial Assistance/Subsidy to	29	(9,292,709.00)	(21,600,722.60)
Transfers to	30	(3,467,756.23)	(5,410,141.34)
Net Financial Assistance/Subsidy		(12,760,465.23)	6,955,558.06
Surplus/(Deficit) for the Period		₱ 135,063,586.89	₱ 119,659,207.65

(See accompanying Notes to Financial Statements)

Municipal Government of Taytay, Palawan
Statement of Changes in Net Assets/Equity

For the Year Ended December 31, 2021
(With Comparative Figures For CY 2020)

	CY 2021	CY 2020
Beginning Balance	₱ 871,094,996.43	₱ 747,695,788.78
Add/(Deduct)		
Prior Period Errors	(69,975.87)	3,740,000.00
Restated Balance	871,025,020.56	751,435,788.78
Add (Deduct) Changes in net assets/equity during the year		
Adjustment of net revenue recognized directly in net assets/equity		
Surplus (Deficit) for the period	135,063,586.89	119,659,207.65
Other Adjustments		
Transfers of PPE from Trust Fund		0.00
Ending Balance	₱ 1,006,088,607.45	₱ 871,094,996.43

Municipal Government of Taytay, Palawan

Statement of Cash Flows

For the Year Ended December 31, 2021

(With Comparative Figures for CY 2020)

	Note	CY 2021	CY 2020
Cash Flows from Operating Activities			
Cash Inflows			
Collection from taxpayers	₱	20,696,742.30	₱ 33,598,287.31
Share from Internal Revenue Allotment		436,849,311.00	407,334,432.96
Receipts from business/service income		19,394,527.14	24,007,942.66
Interest Income		3,372,661.50	4,168,386.01
Other Receipts		132,421,022.89	216,194,743.80
Total Cash Inflows		612,734,264.83	685,303,792.74
Cash Outflows			
Payment to suppliers and creditors		43,989,608.85	104,059,247.87
Payment to employees		142,693,418.37	83,940,801.95
Payment of expenses		130,880,114.08	136,957,844.76
Other Expenses		38,852,759.85	198,723,523.77
Total Cash Outflows		356,415,901.15	523,681,418.35
Net Cash Flows from Operating Activities	31	256,318,363.68	161,622,374.39
Cash Flows from Investing Activities			
Cash Outflows			
Purchase/Construction of PPE		118,313,692.04	105,671,467.09
Purchase of Intangible Assets		583,900.00	748,795.00
Total Cash Outflows		118,897,592.04	106,420,262.09
Net Cash Flows from Investing Activities		(118,897,592.04)	(106,420,262.09)
Cash Flows from Financing Activities			
Cash Inflows			
Proceeds from Loans		0.00	53,249,825.03
Total Cash Inflows		0.00	53,249,825.03
Cash Outflows			
Payment of loan amortization		3,856,041.23	2,181,333.97
Total Cash Outflows		3,856,041.23	2,181,333.97
Net Cash Flows from Financing Activities		(3,856,041.23)	51,068,491.06
Total Cash Provided by Operating, Investing and Financing Activities		133,564,730.41	106,270,603.36
Add : Cash Balance, Beginning		603,461,055.24	497,190,451.88
Cash Balance, Ending	₱	737,025,785.65	₱ 603,461,055.24

(See accompanying Notes to Financial Statements)

Municipality of Taytay, Palawan
Statement of Comparison of Budget and Actual Amounts
For the Year Ended December 31, 2021

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
General Fund					
Beginning Balance (AA)***	₱405,472,167.07	₱405,472,167.07	₱0.00	₱ 405,472,167.07	₱0.00
Revenue (BB)					
A. Local Sources					
1. Tax Revenue					
a. Tax Revenue - Property	1,955,396.34	1,955,396.34	0.00	2,254,186.74	(298,790.40)
b. Tax Revenue - Goods and Services	3,679,941.73	3,679,941.73	0.00	8,262,365.83	(4,582,424.10)
c. Other Local Taxes	679,620.54	679,620.54	0.00	635,099.60	44,520.94
Total Tax Revenue	6,314,958.61	6,314,958.61	0.00	11,151,652.17	(4,836,693.56)
2. Non-Tax Revenue					
a. Service Income	11,312,736.18	11,312,736.18	0.00	16,184,452.14	(4,871,715.96)
b. Business Income	3,956,175.91	3,956,175.91	0.00	6,580,827.46	(2,624,651.55)
c. Other Income and Receipts	2,444,872.83	2,444,872.83	0.00	1,342,125.69	1,102,747.14
Total Non-Tax Revenue	17,713,784.92	17,713,784.92	0.00	24,107,405.29	(6,393,620.37)
B. External Sources					
1. Share from the National Internal Revenue Taxes (IRA)	436,849,311.00	436,849,311.00	0.00	436,849,311.00	0.00
2. Other Receipts- Other Subsidy Income					
a. Other Subsidy Income					
Total Revenue and Receipts	460,878,054.53	460,878,054.53	0.00	472,108,368.46	(11,230,313.93)
TOTAL FUNDS (AA+BB)	866,350,221.60	866,350,221.60	0.00	877,580,535.53	(11,230,313.93)
Expenditures					
Current Appropriations					
General Public Services					
Personal Services	110,316,124.52	107,774,053.86	2,542,070.66	98,672,729.16	9,101,324.70
Maintenance and Other Operating Expenses	71,490,098.50	153,357,829.06	(81,867,730.56)	73,807,464.22	79,550,364.84
Capital Outlay	16,542,776.57	42,362,158.14	(25,819,381.57)	3,197,703.14	39,164,455.00
Health, Nutrition and Population Control					
Personal Services	26,520,374.12	22,266,123.53	4,254,250.59	21,103,892.19	1,162,231.34
Maintenance and Other Operating Expenses	7,836,000.00	11,024,679.24	(3,188,679.24)	10,040,066.28	984,612.96
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Labor and Employment					
Maintenance and Other Operating Expenses	3,575,600.00	5,067,405.00	(1,491,805.00)	4,778,873.98	288,531.02
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Social Services and Social Welfare					
Personal Services	6,738,054.31	5,559,912.40	1,178,141.91	5,206,152.59	353,759.81
Maintenance and Other Operating Expenses	2,810,400.00	6,473,354.76	(3,662,954.76)	6,284,388.30	188,966.46
Capital Outlay			0.00		0.00
Economic Services					
Personal Services	27,662,732.64	22,312,228.36	5,350,504.28	20,798,927.80	1,513,300.56
Maintenance and Other Operating Expenses	34,753,240.00	30,297,232.94	4,456,007.06	27,960,131.72	2,337,101.22
Capital Outlay	10,407,000.00	15,100,970.00	(4,693,970.00)	4,409,986.00	10,690,984.00
Other Purposes:					
Personal Services		710,000.00	710,000.00	0.00	627,485.83
Maintenance and Other Operating Expenses	58,836,050.45	59,711,050.45	(875,000.00)	54,311,049.72	5,400,000.73
Capital Outlay	82,679,603.43	194,737,416.05	(112,057,812.62)	63,965,920.58	130,771,495.47
Total Current Appropriations	460,878,054.54	676,754,413.79	(215,876,359.25)	395,164,771.51	281,589,642.28
Continuing Appropriations					
Continuing Appropriations: 20% Devt. Fund					
General Public Services					
Capital Outlay	56,569,055.17	18,088,314.00	38,480,741.17	7,398,001.00	10,690,313.00
Health, Nutrition and Population Control					
Capital Outlay	844,700.00	284,700.00	560,000.00	0.00	284,700.00
Social Services and Social Welfare					
Capital Outlay	3,821,171.90	400,050.00	3,421,121.90	33,800.00	366,250.00
Economic Services					
Capital Outlay	7,261,651.00	2,162,432.70	5,099,218.30	1,440,360.00	722,072.70
Other Purposes:					
Capital Outlay	336,975,589.00	244,673,900.88	92,301,688.12	34,855,519.50	209,818,381.38

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
Total Continuing Appropriations	405,472,167.07	265,609,397.58	139,862,769.49	43,727,680.50	221,881,717.08
TOTAL APPROPRIATIONS - GENERAL FUND	₱866,350,221.61	₱942,363,811.37	₱(76,013,589.76)	₱438,892,452.01	₱503,471,359.36
Special Education Fund					
Revenue					
1. Beginning Balance***	₱0.00	₱0.00	₱0.00	₱0.00	₱ 0.00
2. Tax Revenue					
a. Tax Revenue - Property	2,396,665.35	2,396,665.35	0.00	3,046,811.54	(650,146.19)
3. Non-Tax Revenue					
a. Business Income	0.00	0.00	0.00	0.00	0.00
Total Revenue and Receipts	2,396,665.35	2,396,665.35	0.00	3,046,811.54	(650,146.19)
TOTAL FUNDS	2,396,665.35	2,396,665.35	0.00	3,046,811.54	(650,146.19)
Expenditures					
Current Appropriations					
Education					
Personal Services	0.00	0.00	0.00	0.00	0.00
Maintenance and Other Operating Expenses	1,222,688.45	2,776,395.48	(1,553,707.03)	2,075,921.34	700,474.14
Capital Outlay	1,173,976.90	1,806,976.90	(633,000.00)	1,350,083.00	456,893.90
Total Current Appropriations	2,396,665.35	4,583,372.38	(2,186,707.03)	3,426,004.34	1,157,368.04
Continuing Appropriations					
Education					
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Total Continuing Appropriation	0.00	0.00	0.00	0.00	0.00
Total Appropriations	₱2,396,665.35	₱4,583,372.38	₱(2,186,707.03)	₱3,426,004.34	₱1,157,368.04

***from Continuing Appropriations and Savings

Notes to Condensed Financial Statements
(All amounts in Philippine Peso unless otherwise stated)

Note 1– Profile

From the location map of the Municipality of Taytay, Palawan, one can easily deduce the strategic importance of the municipality to the Province of Palawan. Located on the western portion of the Philippines, the Municipality of Taytay comprises one of the northern towns of the Province of Palawan. It is bounded on the north by the Municipality of El Nido, on the south by the Municipalities of Roxas and Dumaran and on the southwest by the Municipality of San Vicente.

Specifically, its relative geographic location is 10 degrees and 30' to 11 degrees and 5' north latitude, and 119 degrees 10' and 119 degrees 40' east longitude. In terms of natural boundaries, Taytay is bounded on the east by Taytay Bay and on the west by South China Sea. The municipality is about 2 hours away from the Municipality of Roxas, one of the major market centers in the northern portion of Palawan. Puerto Princesa, the province's premiere city and the largest market center in the province is quite distant from the Municipality of Taytay. On an average daily trip to the city, travel-time ranges from 3 hours to 4 hours during rainy season. With 24 hours electricity, economic activities in Taytay will develop into mature and prosperous municipality and a future hub for tourism industry.

Taytay has a total land area of 139,050 hectares. Barangays Abongan and Poblacion have the largest land area with 9,975.5 has. and 9,275.8 has., respectively. On the other hand, Barangay Silanga on the northern part of the municipality has the least land area with only 1,448.5 has. followed by Barangay Tumbod with 1,511 has.

VISION STATEMENT

By year 2030, Taytay will be the Queen City of Palawan with empowered, resilient and God-fearing people, robust agri-tourism economy, sustained environment and ecologically sound, disaster resistant infrastructures led by capable managers.

MISSION STATEMENT

To be the Queen City of Palawan, Taytayanos will work together in pursuing economic growth through sustainable development and climate resilient investment.

SPECIFIC OBJECTIVES:

Economic Services Development:

- By the end of FY 2030, the farmers and fisher folks in Taytay shall have an increase of twenty (20%) percent in their income;

- By the end of FY 2030, one hundred (100 km) kilometers of farm to market roads shall have been rehabilitated and maintained;

Social Services Development:

- For the FY 2030, the municipality shall support secondary education, construct and rehabilitate school buildings, day care centers and reading centers with equipment and facilities;
- The municipality shall provide medicines, medical equipment and hire additional health personnel for the Municipal Health Office;
- The municipality shall establish livelihood centers such as fish canning, handicraft, and wellness center;
- The municipality shall construct crisis center for victims of abuses and violence with facilities and manpower;
- The municipality shall facilitate the construction of separate jail cell for men, women and minors with facilities;

General Public Services Development:

- For FY 2030, the municipality shall enhance revenue generation and tax collection efficiency by launching vigorous tax information campaign supported by an intensified tax collection effort and revenue generation plan;
- The municipality shall provide easy access to basic services for all Taytayanos;

Note 2– The consolidated financial statements of the LGU have been prepared in accordance with and comply with the International Public Sector Accounting Standards (IPSAS). The consolidated financial statements are presented in pesos, which is the functional and reporting currency of the LGU. The accounting policies have been applied starting the year 2015.

Note3– Summary of significant accounting policies

3.1 Basis of Accounting

The financial statements are prepared on an accrual basis in accordance with the IPSAS.

3.2 Revenue Recognition

Revenue from non-exchange transactions

Taxes, fees and fines

The LGU recognizes revenues from taxes and fines when the event occurs and the asset recognition criteria are met. To the extent that there is a related condition attached that would give rise to a liability to repay the amount, liability is recognized instead of revenue. Other non-exchange revenues are recognized when it is probable that the future economic benefit or service potential associated with the asset will flow to the entity and the fair value of the asset can be measured reliably.

Transfers from other government entities

Revenues from non-exchange transactions with other government entities are measured at fair value and recognized upon obtaining control of the asset (cash, goods, services and property) if the transfer is free from conditions and it is probable that the economic benefits or service potential related to the asset will flow to the LGU and can be measured reliably.

Revenue from exchange transactions

Rendering of services

The LGU recognizes revenue from rendering of services by reference to the stage of completion when the outcome of the transaction can be estimated reliably. The stage of completion is measured by reference to labor hours incurred to date as a percentage of total estimated labor hours.

Where the contract outcome cannot be measured reliably, revenue is recognized only to the extent that the expenses are incurred.

Interest income

Interest income is accrued using the effective yield method. The effective yield discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount. The method applies this yield to the principal outstanding to determine interest income for each period.

Rental income

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms and included in revenue.

3.3 Property, plant and equipment

All property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. Costing includes expenditure that is directly attributable to the acquisition of the items. When significant parts of property, plant and equipment are required to be replaced at intervals, the LGU recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major repair is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in surplus or deficit as incurred. Where an asset is acquired in a non-exchange transaction for nil or nominal consideration, the asset is initially measured at its fair value.

Depreciation on assets is charged on a straight-line basis over the useful life of the asset.

Depreciation is charged at rates calculated to allocate cost or valuation of the asset less any estimated residual value over its remaining useful life.

Public Infrastructures were not previously recognized in the books. The LGU availed of the 5-year transitional provision for the recognition of the Public Infrastructure.

3.4 Financial instruments

Financial assets

Initial recognition and measurement

Financial assets are classified as financial assets at fair value through surplus or deficit, loans and receivables, held-to-maturity investments or available-for-sale financial assets, as appropriate. The LGU determines the classification of its financial assets at initial recognition.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the LGU commits to purchase or sell the asset.

The LGU's financial assets include: cash and short-term deposits; trade and other receivables; loans and other receivables and quoted and unquoted financial instruments.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification.

Financial assets at fair value through surplus or deficit

Financial assets at fair value through surplus or deficit include financial assets held for trading and financial assets designated upon initial recognition at fair value through surplus and deficit. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets at fair value through surplus or deficit are carried in the statement of financial position at fair value with changes in fair value recognized in surplus or deficit.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest method less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. Losses arising from impairment are recognized in the surplus or deficit.

Held-to-maturity

Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held to maturity when the LGU has the positive intention and ability to hold it to maturity. After initial measurement, held-to-maturity investments are measured at amortized cost using the effective interest method less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. The losses arising from impairment are recognized in surplus or deficit.

Impairment of financial assets

The LGU assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated. Evidence of impairment may include the following indicators:

- a) The debtors or a group of debtors are experiencing significant financial difficulty;
- b) Default or delinquency in interest or principal payments;

- c) The probability that debtors will enter bankruptcy or other financial reorganization; and
- d) Observable data indicates a measurable decrease in estimated future cash flows (e.g., changes in arrears or economic conditions that correlate with defaults)

Financial liabilities

Initial recognition and measurement

Financial liabilities within the scope of IPSAS 29 are classified as financial liabilities at fair value through surplus or deficit or loans and borrowings, as appropriate. The LGU determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and in the case of loans and borrowings.

The LGU group's financial liabilities include trade and other payables, bank overdrafts, loans and borrowings.

Subsequent measurement

The measurement of financial liabilities depends on their classification.

Financial liabilities at fair value through surplus or deficit

Financial liabilities at fair value through surplus or deficit include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through surplus or deficit.

Loans and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest method. Gains and losses are recognized in surplus or deficit when the liabilities are derecognized as well as through the effective interest method amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if there is a currently enforceable

legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

3.5 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and cash at bank, deposits on call and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

3.6 Inventories

Inventory is measured at cost upon initial recognition. To the extent that inventory was received through non-exchange transactions (for no cost or for a nominal cost), the cost of the inventory is its fair value at the date of acquisition.

Costs incurred in bringing each product to its present location and condition are accounted for as follows:

- a) Raw materials: purchase cost using the weighted average cost method;
- b) Finished goods and work in progress: cost of direct materials and labor and a proportion of manufacturing overheads based on the normal operating capacity but excluding borrowing costs.

After initial recognition, inventory is measured at the lower of cost and net realizable value. However, to the extent that a class of inventory is distributed or deployed at no charge or for a nominal charge, that class of inventory is measured at the lower of cost and current replacement cost.

Net realizable value is the estimated selling price in the ordinary course of operations, less the estimated costs of completion and the estimated costs necessary to make the sale, exchange, or distribution. Inventories are recognized as an expense when deployed for utilization or consumption in the ordinary course of operations of the LGU.

3.7 Changes in accounting policies and estimates

The LGU recognizes the effects of changes in accounting policy retrospectively. The effects of changes in accounting policy are applied prospectively if retrospective application is impractical.

The LGU recognizes the effects of changes in accounting estimates prospectively by including in surplus or deficit.

3.8 Borrowing costs

Borrowing costs are capitalized against qualifying assets as part of property, plant and equipment. Such borrowing costs are capitalized over the period during which the asset is being acquired or constructed and borrowings have been incurred. Capitalization ceases when construction of the asset is complete. Further, borrowing costs are charged to the statement of financial performance.

3.9 Related parties

The LGU regards a related party as a person or an entity with the ability to exert control individually or jointly, or to exercise significant influence over the LGU, or vice versa. Members of key management are regarded as related parties and comprise of the Mayor, Vice-Mayor, Sanggunian Members, Committee Officials and Members, Accountant, Treasurer, Budget Officer, General Services Officer and all other Chiefs of Departments/Divisions.

3.10 Budget information

The annual budget is prepared on the modified cash basis, that is, all planned costs and income are presented in a single statement to determine the needs of the LGU. As a result of the adoption of the modified cash basis for budgeting purposes, there are basis, timing or entity differences that would require reconciliation between the actual comparable amounts and the amounts presented as a separate additional financial statement in the statement of comparison of budget and actual amounts. Explanatory comments are provided in the notes to the annual financial statements; first, the reasons for overall growth or decline in the budget are stated, followed by details of overspending or under spending on line items.

3.11 Significant judgments and sources of estimation uncertainty

Judgments

In the process of applying the LGU's accounting policies, management has made judgments, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Operating lease commitments – LGU as lessor

The LGU has entered into property leases. The LGU has determined, based on an evaluation of the terms and conditions of the arrangements (such as the lease term not constituting a substantial portion of the economic life of the commercial property) that it retains all the significant risks and rewards of ownership of the properties and accounts for the contracts as operating leases.

Estimates and assumptions

The LGU based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. However, existing circumstances and assumptions about future developments may change due to market changes or circumstances arising beyond the control of the LGU. Such changes are reflected in the assumptions when they occur.

Useful lives and residual values

The useful lives and residual values of assets are assessed using the following indicators to inform potential future use and value from disposal:

- a) The condition of the asset based on the assessment of experts employed by the LGU;
- b) The nature of the asset, its susceptibility and adaptability to changes in technology and processes;
- c) The nature of the processes in which the asset is deployed; and
- d) Changes in the market in relation to the asset

Impairment of non-financial assets – cash-generating assets

The recoverable amounts of cash-generating units and individual assets have been determined based on the higher of value-in-use calculations and fair values less costs to sell. These calculations require the use of estimates and assumptions. It is reasonably possible that the assumptions may change, which may then impact management's estimations and require a material adjustment to the carrying value of tangible assets.

The LGU reviews and tests the carrying value of assets when events or changes in circumstances suggest that the carrying amount may not be recoverable. Cash-generating assets are grouped at the lowest level for which identifiable cash flows are largely independent of cash flows of other assets and liabilities. If there are indications that impairment may have occurred, estimates of expected future cash flows are prepared for each group of assets. Expected future cash flows used to determine the value in use of tangible assets are inherently uncertain and could materially change over time.

Impairment of non-financial assets – non- cash generating assets

The LGU reviews and tests the carrying value of non-cash-generating assets when events or changes in circumstances suggest that there may be a reduction in the future service potential that can be reasonably expected to be derived from the asset.

Where indicators of possible impairment are present, the LGU undertakes impairment tests, which require the determination of the fair value of the asset and its recoverable service amount. The estimation of these inputs into the calculation relies on the use of estimates and assumptions.

Any subsequent changes to the factors supporting these estimates and assumptions may have an impact on the reported carrying amount of the related asset.

Fair value estimation – financial instruments

Where the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be derived from active markets, their fair value is determined using valuation techniques including the discounted cash flow model. The inputs to these models are taken from observable markets where possible, but when this is not feasible, judgment is required in establishing fair values. Judgment includes the consideration of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

3.12 Financial instruments - financial risk management

Exposure to currency, commodity, interest rate, liquidity and credit risks arises in the normal course of the LGU's operations.

The fair value of the financial assets and liabilities are included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced sale or liquidation.

The following methods and assumptions were used to estimate the fair values:

- a) Cash and short-term deposits, trade receivables, trade payables and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments;
- b) Long-term fixed-rate and variable-rate receivables/borrowings are evaluated by the LGU based on parameters such as interest rates, individual credit worthiness of the customer and the risk characteristics of the financed project. Based on this evaluation, allowances are taken to account for the incurred losses of these receivables and market-related interest rates. As at reporting date, the carrying amounts of such receivables, net of allowances, are not materially different from their calculated fair values;
- c) Fair value of quoted notes and bonds is based on price quotations at the reporting date. The fair value of unquoted instruments, loans from banks and other financial liabilities, obligations under finance leases, as well as other non-current financial liabilities is estimated by discounting future cash flows using

rates currently available for debt on similar terms, credit risk and remaining maturities;

- d) Fair value of financial assets is derived from quoted market prices in active markets, if available;
- e) Fair value of unquoted available-for-sale financial assets is estimated using appropriate valuation techniques

Investments

The LGU limits its exposure to credit risk by investing with only reputable financial institutions that have a sound credit rating (rated BB and above), which are within the specific guidelines set in accordance with the LGU Finance Committee and the Sanggunian approved investment policy. Consequently, the LGU does not consider there to be any significant exposure to credit risk.

Receivables

Receivables are amounts owed by consumers and are presented net of impairment losses. The LGU has a credit risk policy in place, and the exposure to credit risk is monitored on an ongoing basis. The LGU is compelled, by its constitutional mandate, to provide all of its residents with basic minimum services, without recourse to an assessment of creditworthiness.

The LGU's maximum exposure to credit risk is represented by the carrying value of each financial asset in the statement of financial performance. The LGU has no significant concentration of credit risk, with exposure spread over a large number of consumers, and is not concentrated in any particular sector or geographic area.

The LGU establishes an allowance for impairment that represents its estimate of anticipated losses in respect of receivables.

Cash and cash equivalents

The LGU limits its exposure to credit risk by investing cash and cash equivalents with only reputable financial institutions that have a sound credit rating, and within specific guidelines set in accordance with the Sanggunian's approved investment policy. Consequently, the LGU does not consider there to be any significant exposure to credit risk.

Liquidity risk

Liquidity risk is the risk of the LGU not being able to meet its obligations as they fall due. The LGU's approach to managing liquidity risk is to ensure that sufficient

liquidity is available to meet its liabilities when due, without incurring unacceptable losses or risking damage to the LGU's reputation.

Capital management

The primary objective of managing the LGU's capital is to ensure that there is sufficient cash available to support the LGU's funding requirements, including capital expenditure, to ensure that the LGU remains financially sound.

Currency risk

The LGU is exposed to foreign-currency risk through the importation of goods and services, either directly or indirectly, through the award of contracts to local importers. The LGU manages any material direct exposure to foreign-currency risk by entering into forward exchange contracts. The LGU manages its indirect exposure by requiring the local importer to take out a forward exchange contract at the time of procurement, in order to predetermine the peso value of the contracted goods or services. The LGU was not a direct party to any outstanding forward exchange contracts at the reporting date.

Note4—Cash and Cash Equivalents

This account consists of:

	2021	2020
GENERAL FUND		
Cash on Hand		
Cash- Local Treasury	₱ 261,803.01	₱ 1,476,415.48
Cash in Bank – Local Currency-Current Account (LCCA)		
Cash in Bank-LCCA, GF - DBP Taytay	208,297,823.14	135,807,571.91
Cash in Bank-LCCA, 20% DF- DBP Taytay	127,459,299.23	92,146,982.38
Cash in Bank-LCCA, LBP Water System 462-1139-60	50,177,596.26	50,177,596.26
Cash in Bank-LCCA, LBP Water System 462-1147-40	10,000.00	10,000.00
Sub-total	<u>386,206,521.64</u>	<u>279,618,566.03</u>
SPECIAL EDUCATION FUND		
Cash on Hand		
Cash- Local Treasury	778,870.44	0.00
Cash in Bank – LCCA		
Cash in Bank- LCCA - SEF DBP Taytay	7,329,999.95	5,571,070.06
Sub-total	<u>8,108,870.39</u>	<u>5,571,070.06</u>
TRUST FUND		
Cash on Hand		
Cash- Local Treasury	1,701,328.15	75,928.68

	2021	2020
Cash in Bank – LCCA		
Cash in Bank- LCCA - DBP Water System	24,683,499.31	17,739,944.31
Cash in Bank- LCCA - LBP	1,720,576.55	1,720,576.55
Cash in Bank- LCCA - DBP Kalahi–Taytay	2,062,819.46	2,062,819.46
Cash in Bank- LCCA - Trust General- Taytay	56,657,111.33	45,984,446.37
Cash in Bank- LCCA - DRRM DBP Taytay	7,091,486.69	1,731,701.65
Cash in Bank- LCCA - MHO 1 DBP Taytay	1,024,075.00	923,125.00
Cash in Bank- LCCA - MHO 2 DBP Taytay	80,800.00	344,180.00
Sub-total	95,021,696.49	70,582,722.02
Total	₱489,337,088.52	₱355,772,358.11

The cash on hand were deposited the following banking day.

Note 5–Investment

This account consists of:

	2021	2020
GENERAL FUND		
Investments in Time Deposits		
Cash in Bank – Local Currency, Time Deposits	₱247,688,697.13	₱247,688,697.13
Total	₱247,688,697.13	₱247,688,697.13

Cash in banks earns interest based on the prevailing bank deposit rates. Short-term deposits are made for varying periods depending on the immediate cash requirements of the LGU and earn interest at the respective short-term deposit rate.

Note 6–Loans and Receivable Accounts

This account consists of:

	2021	2020
GENERAL FUND		
Loans and Accounts Receivable		
Real Property Tax Receivable	₱ 7,731,313.38	₱16,757,326.17
Inter-Agency Receivables		
Due from LGUs	6,999,578.14	3,399,578.14
Intra-Agency Receivables		
Due from Other Funds	3,500,200.00	6,185,766.98
Due from Special Accounts	7,865,891.52	0.00
Advances		
Advances for Operating Expenses	34,377,372.00	344,979.00
Advances for Payroll	506,020.99	1,826,236.80
Advances to Officers and Employees	9,230.00	0.00
Other Receivables		
Receivables - Disallowances/Charges	0.00	63,167.00
Sub-total	60,989,606.03	28,577,054.09

	2021	2020
SPECIAL EDUCATION FUND		
Loans and Accounts Receivable		
Special Education Tax Receivable	7,731,313.38	16,757,326.17
Intra-Agency Receivables		
Due from Other Funds	7,697.00	1,400,154.55
Sub-total	7,739,010.38	18,157,480.72
TRUST FUND		
Intra-Agency Receivables		
Due from Other Funds	45,858,302.90	5,993,065.02
Advances		
Advances for Payroll	(0.81)	0.00
Sub-total	45,858,302.09	5,993,065.02
Total	₱114,586,918.50	₱52,727,599.83

The Advances for Payroll account pertains to the unliquidated cash advances of the Disbursing Officer, Ms. Carol N. Barquin while the Advances to Officers and Employees account represents the cash advances of the employees for their travelling and training expenses.

The Advances for Operating Expenses account represents the cash advances for donations or various types of financial assistance under the Office of the Municipal Social Welfare and Development Officer and the financial assistance under the Office of the Municipal Treasurer for the constituents affected by the Typhoon “Odette” on December 17, 2021. The balance of cash advances for payroll, travel, training and operating expenses were returned in January and February 2022.

The Due from Other Funds account under the Trust Fund represents the unutilized amount of the assistance from the Bureau of Treasury, share of the Office of the Municipal Engineer on building fees collection, and other erroneous charges during the year. While the Due from Special Accounts represents the amount receivable by the General Fund from the 20% Development Fund and other special accounts.

Note 7–Inventories

This account consists of:

	2021	2020
GENERAL FUND		
Inventory Held for Consumption		
Fuel, Oil and Lubricants Inventory	₱ 280,542.47	₱1,911,671.00
Chemical and Filtering Supplies Inventory	2,328,968.78	270,000.00
Other Supplies and Materials Inventory	99,000.00	1,894,603.62
Total	₱2,708,511.25	₱4,076,274.62

Note 8—Prepayments and Deferred Charges

This account represents Advances to Contractors under the following:

	2021	2020
General Fund	₱ 1,144,868.81	₱ 966,132.75
Trust Fund	0.00	(2,007,017.19)
Total	₱ 1,144,868.81	₱ (1,040,884.44)

Advances to Contractor under the General Fund are broken down as follows:

CONTRACTOR	AMOUNT
BCT Trading and Construction	₱ 10,607.56
E.V Villaos Trading and Const. - Slope Protection and Drainage	295,231.93
JAS Trading	344,228.64
KAYANO Trading and Construction	494,800.68
Total	₱1,144,868.81

Note 9—Property, Plant and Equipment

This account consists of:

PPE	Balance as of Dec. 31, 2020	Net Addition (Reduction)	Balance as of Dec. 31, 2021
General Fund			
Land	₱31,849,197.76	₱132,870.00	₱ 31,982,067.76
Other Land Improvements	10,094,728.03	0.00	10,094,728.03
Road Networks	25,972,507.75	0.00	25,972,507.75
Flood Control Systems	19,050,426.25	0.00	19,050,426.25
Water Supply Systems	7,108,241.59	0.00	7,108,241.59
Power Supply Systems	822,268.90	0.00	822,268.90
Seaport Systems	2,816,250.45	0.00	2,816,250.45
Airport Systems	27,674,925.68	0.00	27,674,925.68
Parks, Plazas and Monuments	12,781,803.02	0.00	12,781,803.02
Other Infrastructure Assets	9,295,535.63	0.00	9,295,535.63
Buildings	76,594,632.35	5,663,065.25	82,257,697.60
School Buildings	26,541,280.63	0.00	26,541,280.63
Hospitals and Health Centers	11,449,692.78	0.00	11,449,692.78
Market	25,744,828.34	0.00	25,744,828.34
Slaughterhouses	1,604,200.39	0.00	1,604,200.39
Other Structures	7,825,126.10	0.00	7,825,126.10
Machinery	2,208,892.91	0.00	2,208,892.91
Office Equipment	10,291,372.62	992,550.00	11,283,922.62
Information and Communication Technology Equipment	21,874,335.57	1,814,890.00	23,689,225.57
Communication Equipment	2,734,342.80	391,000.00	3,125,342.80

PPE	Balance as of Dec. 31, 2020	Net Addition (Reduction)	Balance as of Dec. 31, 2021
Construction and Heavy Equipment	9,577,646.96	52,504,770.00	62,082,416.96
Disaster Response and Rescue Equipment	5,461,853.49	0.00	5,461,853.49
Military, Police and Security Equipment	1,017,379.10	195,100.00	1,212,479.10
Medical Equipment	857,900.00	0.00	857,900.00
Sports Equipment	100,000.00	0.00	100,000.00
Technical and Scientific Equipment	1,799,262.80	638,690.00	2,437,952.80
Other Machinery and Equipment	11,381,297.34	50,250.00	11,431,547.34
Motor Vehicles	50,806,134.37	1,509,910.00	52,316,044.37
Watercrafts	650,150.00	228,898.00	879,048.00
Other Transportation Equipment	2,000,000.00	2,498,000.00	4,498,000.00
Furniture and Fixtures	11,100,414.32	1,402,222.80	12,502,637.12
Books	121,100.00	0.00	121,100.00
Construction in Progress-Infrastructure Assets	94,449,017.01	35,568,711.06	130,017,728.07
Construction in Progress-Buildings and Other Structures	107,246,240.72	3,838,809.35	111,085,050.07
Work/Zoo Animals	100,000.00	0.00	100,000.00
Other Property, Plant and Equipment	1,755,063.00	0.00	1,755,063.00
Total – General Fund	632,758,048.66	107,429,736.46	740,187,785.12
Less: Accumulated Depreciation	132,506,609.86	18,596,819.86	151,103,429.72
Net Book Value	500,251,438.80	88,832,916.60	589,084,355.40
Special Education Fund			
School Buildings	307,567.68	0.00	307,567.68
Office Equipment	509,094.00	584,800.00	1,093,894.00
Information and Communication Equipment	691,665.00	232,400.00	924,065.00
Communication Equipment	0.00	21,703.00	21,703.00
Technical and Scientific Equipment	0.00	32,500.00	32,500.00
Other Machinery Equipment	234,800.00	17,000.00	251,800.00
Furniture and Fixtures	442,991.51	0.00	442,991.51
Construction in Progress- Buildings and Other Structures	0.00	187,845.00	187,845.00
Total – Special Education Fund	2,186,118.19	1,076,248.00	3,262,366.19
Less: Accumulated Depreciation	1,410,385.61	129,338.52	1,539,724.13
Net Book Value	775,732.58	946,909.48	1,722,642.06
Trust Fund			
Construction in Progress- Buildings and Other Structures	0.00	41,452,120.39	41,452,120.39
Net Book Value	0.00	41,452,120.39	41,452,120.39
Grand Total	₱501,027,171.38	₱131,231,946.47	₱632,259,117.85

The LGU measured the residual value of all items of property, plant and equipment but does not expect a residual value of these assets because these will be utilized for their entire economic lives and do not have a significant scrap value. During the current year,

the LGU reviewed the estimated useful lives and residual values of property, plant and equipment, where appropriate.

Note 10–Biological Assets

This account consists of:

	2021	2020
GENERAL FUND		
Breeding Stocks	₱312,550.00	₱312,550.00
Total	₱312,550.00	₱312,550.00

The above balances are stated in net recoverable value. Write downs were treated as expense in the current year.

Note 11–Intangible Assets

This account consists of:

	2021	2020
GENERAL FUND		
Computer Software	₱1,592,295.00	₱1,008,395.00
Total	₱1,592,295.00	₱1,008,395.00

Note 12–Financial Liabilities (Current)

This account consists of:

	2021	2020
GENERAL FUND		
Accounts Payable	₱ 130,798,959.93	₱65,780,513.26
Due to Officers and Employees	0.00	55,100.00
Loans Payable-Domestic	4,051,253.32	3,856,041.23
Sub-total	134,850,213.25	69,691,654.49
SPECIAL EDUCATION FUND		
Accounts Payable	1,345,948.62	662,969.51
Sub-total	1,345,948.62	662,969.51
Total	₱136,196,161.87	₱70,354,624.00

The Loans Payable-Domestic account represents the loan from the Municipal Development Fund Office (MDFO) to fund the Taytay Municipal Wide Water System Development Project with principal amount of ₱190,550,000.00 payable in 20 years at a fixed annual interest rate of 5% of the total amount of outstanding loan. Loan released as of December 31, 2020 totaled ₱95,358,855.55. While Accounts Payable represent the amounts payable to various suppliers owed by the LGU for the goods or services rendered and amounts due to the employees.

Note 13– Inter-Agency Payables

This account consists of:

	2021	2020
GENERAL FUND		
Due to BIR	₱1,586,593.57	₱1,144,911.69
Due to GSIS	2,745,473.93	1,443,938.88
Due to Pag-IBIG	273,906.12	221,932.85
Due to PhilHealth	710,822.09	178,215.15
Due to NGAs	264,966.49	264,966.49
Due to GOCCs	476,330.17	400,831.84
Due to LGUs	2,920,569.07	3,939,566.63
Sub-total	8,978,661.44	7,594,363.53
SPECIAL EDUCATION FUND		
Due to BIR	22,913.08	1,068.89
Due to GOCCs	410.00	1,800.00
Due to LGUs	716,149.58	0.00
Sub-total	739,472.66	2,868.89
TRUST FUND		
Due to BIR	0.00	74,294.68
Due to NGAs	132,853,917.99	40,033,619.92
Due to GOCCs	45,666.21	86,889.22
Due to LGUs	144,948.47	144,948.47
Sub-total	133,044,532.67	40,339,752.29
Total	₱142,762,666.77	₱ 47,936,984.71

Due to BIR, GSIS, PAG-IBIG and PHILHEALTH accounts represent the amount deducted from the salaries of officials and employees to be remitted to the respective government agencies immediately on the month following the month for which these were deducted. The balance of the Due to BIR account under the General Fund and Special Education Fund amounting to ₱1,209,997.95 were remitted on January 10, 2022 while refund to various employees amounting to ₱30,500.78 and the remaining unremitted balance of ₱442,412.54 and over-remittance of withholding tax of Mr. Ovinal Salvame amounting to ₱12,403.06 was corrected and remitted in March 2022.

Due to National Government Agencies account represents balances of funds received by the LGU for specific purposes. This includes the balances from the total amount of ₱76,330,760.00 received from the Bureau of Treasury as assistance to the municipality for the Typhoon “Odette” casualties.

Note 14– Intra-Agency Payables

This account consists of:

	2021	2020
GENERAL FUND		
Due to Other Funds	₱45,865,999.90	₱13,578,786.55

	2021	2020
Due to Special Accounts	7,865,891.55	0.00
Sub-total	53,731,891.45	13,578,786.55
TRUST FUND		
Due to Other Funds	3,500,200.00	200.00
Sub-total	3,500,200.00	200.00
Total	₱57,232,091.45	₱13,578,986.55

The Due to Other Funds account under the General Fund represents the unutilized amount of the assistance from the Bureau of Treasury, share of the Office of the Municipal Engineer on building fees collection, and other erroneous charges during the year. While the Due to Special Accounts represents the amount payable by the General Fund to the 20% Development Fund and other special accounts.

Note 15– Trust Liabilities

This account consists of:

	2021	2020
GENERAL FUND		
Guarantee/Security/Deposits Payable	₱2,117,933.91	₱1,827,261.56
Sub-total	2,117,933.91	1,827,261.56
SPECIAL EDUCATION FUND		
Guarantee/Security/Deposits Payable	47,488.86	37,175.36
Sub-total	47,488.86	37,175.36
TRUST FUND		
Trust Liabilities –DRRM	8,877,897.57	5,410,141.34
Bail Bonds Payable	1,788,994.83	1,554,416.18
Guarantee/Security Deposits Payable	1,765,083.31	1,688,473.92
Sub-total	12,431,975.71	8,653,031.44
Total	₱14,597,398.48	₱10,517,468.36

The Guarantee/Security/Deposits Payable account pertains to the amounts payable to suppliers which represent security or guarantee from them to deliver or perform work according to the contract or Purchase Order.

Note 16– Deferred Credits/Unearned Income

This account consists of:

	2021	2020
GENERAL FUND		
Deferred Credits		
Deferred Real Property Tax	₱7,731,313.39	₱16,757,326.17
SPECIAL EDUCATION FUND		
Deferred Special Education Tax	7,731,313.38	16,757,326.17
Total	₱15,462,626.77	₱33,514,652.34

Note 17– Other Payables (Current)

This account consists of:

	2021	2020
OTHER PAYABLES		
General Fund	₱153,758.24	₱153,978.21
Trust Fund	33,355,410.59	0.00
Total	₱33,509,168.83	₱153,978.21

Note 18– Financial Liabilities (Non-Current)

This account consists of:

	2021	2020
GENERAL FUND		
Loans Payable-Domestic	₱83,781,325.44	₱88,844,684.91
Total	₱83,781,325.44	₱88,844,684.91

Note 19– Other Payables (Non-Current)

This account consists of:

	2021	2020
TRUST FUND		
Other Payables	₱0.00	₱25,575,786.12
Total	₱0.00	₱25,575,786.12

Note 20–Tax Revenue

This account consists of:

	2021	2020
GENERAL FUND		
Individual and Corporation		
Community tax	₱ 1,264,442.29	₱1,193,230.01
Tax Revenue-Property		
Real Property Tax - Basic	2,443,902.11	2,742,188.52
Less: Discount on Real Property Tax –Basic	(189,715.37)	(205,482.54)
Goods and Services		
Business Tax	8,262,365.83	14,881,275.41
Fines and Penalties – Property Taxes	301,554.85	314,268.30
Fines and Penalties –Taxes on Goods and Properties	333,544.75	990,320.74
Sub-total	12,416,094.46	19,915,800.44
SPECIAL EDUCATION FUND		
Special Education Tax	3,067,452.42	3,631,591.24
Less: Discount on Special Education Tax	(224,568.96)	0.00

	2021	2020
Fines and Penalties – Property Taxes	203,928.08	0.00
Sub-total	3,046,811.54	3,631,591.24
Total	₱15,462,906.00	₱23,547,391.68

Note 21–Share from National Taxes

This account consists of:

	2021	2020
GENERAL FUND		
Share from Internal Revenue Collection	₱436,849,311.00	₱407,334,432.96
Total	₱436,849,311.00	₱407,334,432.96

Note 22–Business and Service Income

This account consists of:

	2021	2020
GENERAL FUND		
Service Income		
Permit Fees	₱4,861,036.65	₱6,992,865.04
Registration Fees	1,154,676.60	1,365,400.50
Registration Plates, Tags and Stickers Fee	300,145.00	377,375.00
Clearance and Certificate Fees	1,553,771.63	2,042,818.20
Inspection Fees	1,736,384.00	1,944,708.40
Occupation Fees	860,400.00	1,367,570.00
Fishery Rental Fees	0.00	3,741,756.00
Fees for Sealing and Licensing of Weights and Measures	0.00	53,185.00
Fines and Penalties-Service Income	99,220.34	254,716.77
Other Service Income	5,618,817.92	2,535,832.25
Business Income		
Rent Income	0.00	650.00
Receipts from Market Operations	1,743,856.00	2,302,817.50
Receipts from Slaughterhouse	622,315.00	247,110.00
Garbage Fees	671,500.00	495,800.00
Hospital Fees	170,495.00	275,620.00
Interest Income	3,372,661.46	3,748,386.01
Total	₱22,765,279.60	₱27,746,610.67

Note 23–Shares, Grants and Donations

This account consists of:

	2021	2020
GENERAL FUND		
Share from PCSO	₱8,992.23	₱19,370.22
Total	₱8,992.23	₱19,370.22

Note 24–Miscellaneous Income

This account consists of:

	2021	2020
GENERAL FUND		
Miscellaneous Income	₱68,691.17	₱19,264.82
Total	₱68,691.17	₱19,264.82

Note 25–Personnel Services

This account consists of:

	2021	2020
GENERAL FUND		
Salaries and Wages		
Salaries and Wages – Regular	₱71,639,175.42	₱63,733,833.88
Salaries and Wages– Casual/Contractual	18,346,745.20	17,770,465.72
Other Compensation		
Personal Economic Relief Allowance (PERA)	6,453,364.63	5,847,636.46
Representation Allowance (RA)	2,643,750.00	2,606,287.50
Transportation Allowance (TA)	2,491,006.00	2,424,937.50
Clothing/Uniform Allowance	1,500,750.00	5,000.00
Subsistence Allowance	567,075.00	527,200.00
Laundry Allowance	77,625.00	78,876.00
Productivity Incentive Allowance	15,000.00	5,000.00
Honoraria	159,050.54	378,817.37
Hazard Pay	3,219,687.58	4,275,448.42
Overtime and Night Pay	0.00	176,337.84
Year-End Bonus	6,956,515.20	5,844,753.35
Cash Gift	1,317,492.00	0.00
Other Bonuses and Allowances	9,642,178.20	12,144,889.50
Personnel Benefit Contributions		
Retirement and Life Insurance Contributions	9,248,536.73	8,306,811.60
Pag-IBIG Contributions	1,543,198.73	1,387,175.55
PhilHealth Contributions	1,327,173.08	977,358.22
Employees Compensation Insurance Premiums	295,040.68	262,068.98
Other Personnel Benefits		
Terminal Leave Benefits	1,137,723.43	2,060,872.44
Other Personnel Benefits	6,407,045.41	10,257,640.69
Sub-total	144,988,132.83	139,071,411.02
SPECIAL EDUCATION FUND		
Salaries and Wages		
Salaries and Wages- Casual/Contractual	0.00	70,200.00
Sub-total	0.00	70,200.00
Total	₱144,988,132.83	₱139,141,611.02

Note 26–Maintenance and Other Operating Expenses

This account consists of:

	2021	2020
GENERAL FUND		
Travelling Expenses		
Travelling Expenses – Local	₱13,402,260.04	₱19,274,313.23
Training and Scholarship Expenses		
Training Expenses	6,148,189.65	6,697,294.82
Scholarship Grants/Expenses	0.00	3,000.00
Supplies and Materials Expenses		
Office Supplies Expenses	4,583,301.85	3,787,929.71
Accountable Forms Expenses	327,449.00	233,553.75
Animal/Zoological Supplies Expenses	276,464.00	109,800.00
Food Supplies Expenses	10,621,102.00	44,053,958.00
Drugs and Medicines Expenses	3,733,642.04	8,170,494.24
Medical, Dental and Laboratory Supplies Expenses	9,045,983.00	6,372,485.70
Fuel, Oil and Lubricants Expenses	15,819,342.28	11,152,040.69
Agriculture and Marine Supplies Expenses	433,300.00	1,329,909.00
Chemical and Filtering Supplies Expenses	414,120.00	139,100.00
Other Supplies and Material Expenses	7,255,798.82	9,838,499.29
Utility Expenses		
Water Expenses	75,090.98	50,511.60
Electricity Expenses	4,766,402.66	4,405,086.74
Communication Expenses		
Postage and Courier Service	32,895.00	11,021.00
Telephone Expenses	971,998.14	931,714.78
Internet Subscription Expenses	274,789.35	285,003.32
Awards/Rewards and Prizes		
Awards and Rewards Expenses	2,719,429.25	1,740,003.37
Prizes	115,000.00	0.00
Confidential, Intelligence and Extraordinary Expenses		
Extraordinary and Miscellaneous Expenses	0.00	181,396.00
Professional Services		
Auditing Services	119,000.00	56,267.06
Other Professional Services	8,080,026.58	5,266,274.38
General Services		
Environmental /Sanitary Services	4,298,175.88	3,690,495.42
Janitorial Services	1,289,031.89	1,027,835.37
Security Services	3,337,589.29	2,962,321.32
Other General Services	3,837,781.50	3,427,571.00

	2021	2020
Repairs and Maintenance		
Repairs and Maintenance (R&M) -Land Improvements	99,500.00	0.00
R&M -Infrastructure Assets	3,563,999.88	203,922.40
R&M -Buildings and Other Structures	449,682.80	1,012,951.36
R&M -Machinery and Equipment	4,772,722.71	4,357,389.00
R&M -Transportation Equipment	3,841,172.56	5,061,469.50
R&M -Other Property, Plant and Equipment	0.00	50,220.00
Taxes, Insurance Premiums and Other Fees		
Taxes, Duties and Licenses	29,387.67	18,341.63
Fidelity Bond Premiums	142,460.24	221,459.43
Insurance Expenses	563,476.31	1,545,648.65
Other Maintenance and Operating Expenses		
Advertising Expenses	128,400.00	376,512.00
Printing and Publication Expenses	491,618.11	749,550.95
Transportation and Delivery Expense	59,900.00	0.00
Rent/Lease Expenses	155,134.04	156,521.68
Membership Dues and Contributions to Organizations	391,200.00	79,300.00
Donations	31,564,839.28	31,872,287.72
Other Maintenance and Operating Expenses	13,200,168.60	6,951,003.36
Sub-total	161,431,825.40	187,854,457.47
Special Education Fund		
Traveling Expenses		
Traveling Expenses	496,680.00	0.00
Training and Scholarship Expenses		
Training Expenses	252,429.00	47,120.00
Supplies and Materials Expenses		
Office Supplies Expenses	497,440.52	336,119.34
Other Supplies and Materials Expenses	0.00	163,312.66
Utility Expenses		
Water Expenses	400.00	0.00
Electricity Expenses	19,499.10	10,625.01
Communication Expenses		
Telephone Expenses	14,585.70	13,006.81
Internet Subscription Expenses	7,633.39	0.00
General Services		
Other General Services	157,640.00	0.00
Repairs and Maintenance		
R&M -Infrastructure Assets	20,000.00	0.00
R&M -Buildings and Other Structures	676,651.56	981,815.65
Other Maintenance and Operating Expenses		
Other Maintenance and Operating Expenses	42,052.00	27,280.00
Sub-total	2,185,011.27	1,579,279.47
Total	₱163,616,836.67	₱189,433,736.94

Note 27–Non-Cash Expenses

This account consists of:

	2021	2020
GENERAL FUND		
Depreciation-Infrastructure Assets	₱3,599,964.84	₱3,576,924.84
Depreciation-Buildings and Structures	5,538,818.66	5,533,628.76
Depreciation-Machinery and Equipment	4,935,834.19	4,037,806.26
Depreciation-Transportation Equipment	3,559,577.08	3,425,645.07
Depreciation-Furniture, Fixtures and Books	834,768.69	618,166.95
Depreciation-Other Property, Plant and Equipment	127,856.40	96,942.20
Sub-total	18,596,819.86	17,289,114.08
SPECIAL EDUCATION FUND		
Depreciation-Machinery and Equipment	108,490.52	77,865.72
Depreciation-Furniture, Fixtures and Books	20,848.00	21,093.00
Sub-total	129,338.52	98,958.72
Total	₱18,726,158.38	₱17,388,072.80

Note 28–Assistance and Subsidy from

This account consists of:

	2021	2020
GENERAL FUND		
Subsidy from National Government	₱0.00	₱ 33,966,422.00
Total	₱0.00	₱33,966,422.00

Note 29–Financial Assistance/Subsidy

This account consists of:

	2021	2020
GENERAL FUND		
Subsidy to NGAs	₱ 583,206.00	₱ 362,906.00
Subsidy to Other LGUs	8,705,753.00	5,309,860.00
Subsidy to Other Funds	0.00	15,885,456.60
Subsidies - Others	3,750.00	42,500.00
Total	₱9,292,709.00	₱21,600,722.60

Note 30–Transfers to

This account consists of:

	2021	2020
GENERAL FUND		
Transfers of Unspent Current Year DRRM Funds to the Trust Fund	₱3,467,756.23	₱5,410,141.34
Total	₱3,467,756.23	₱5,410,141.34

Note 31-Reconciliation of Net Cash Flows from Operating Activities to Surplus/(Deficit)

	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND	TOTAL
Surplus/(Deficit)	₱134,331,125.14	₱732,461.75	₱0.00	₱135,063,586.89
Depreciation	18,596,819.86	129,338.52	0.00	18,726,158.38
Increase (Decrease) in payables	96,753,082.93	(7,596,116.41)	(81,317,357.46)	7,839,609.06
Decrease (Increase) in current assets	(31,223,524.63)	10,776,972.39	116,082,341.07	95,635,788.83
Purchase of PPE	0.00	(946,909.48)	0.00	(946,909.48)
Prior Period Adjustment	130.00	0.00	0.00	130.00
Net Cash Flows from Operating Activities	₱218,457,633.30	₱3,095,746.77	₱34,764,983.61	₱256,318,363.68

Note 32-Local Disaster Risk Reduction Management Fund (LDRRMF)

The LDRRMF represents the amount set aside to support the disaster risk management activities pursuant to R.A. No. 10121 otherwise known as the “Philippine Disaster Risk Reduction and Management Act of 2010.” The amount available and utilized during the year totaled ₱34,452,992.84 and ₱20,394,851.89, respectively, broken down as follows:

Particulars	Available	Utilized	Balance
Current Year Appropriation:			
Quick Response Fund	₱7,017,739.66	₱6,665,010.00	₱352,729.66
Mitigation Fund			
MOOE	8,519,488.77	5,404,462.20	3,115,026.57
Capital Outlay	2,667,608.00	87,290.00	2,580,318.00
Total	18,204,836.43	12,156,762.20	6,048,074.23
Continuing Appropriation:			
CY 2016	12,887.64	12,887.64	0.00
CY 2018	2,000,000.00	50,000.00	1,950,000.00
CY 2019	8,256,102.05	8,175,202.05	80,900.00
Total	10,268,989.69	8,238,089.69	2,030,900.00
Special Trust Fund:			
Unexpended QRF and MOOE			
CY 2019	569,025.38	0.00	569,025.38
CY 2020	5,410,141.34	0.00	5,410,141.34
Total	5,979,166.72	0.00	5,979,166.72
Total	₱34,452,992.84	₱20,394,851.89	₱14,058,140.95

The amount transferred corresponding to the unspent LDRRMF for CY 2021 was ₱3,467,756.23.

Note 33-Reconciliation Statement of Actual Amounts Presented in the Statement of Comparison of Budget and Actual Amounts (SCBAA) and in the Statement of Financial Performance for the Year Ended December 31, 2021

	Income	Personal Services	Maintenance and Other Operating Expenses	Capital Outlay
Actual Amounts in SCBAA	₱475,155,180.00	₱146,409,187.57	₱179,257,895.56	₱116,651,373.22
Basis Difference				
Non-cash expenses:				
Depreciation	0.00	0.00	0.00	0.00
Accounting Recognition Difference	0.00	(1,421,054.74)	(2,880,593.66)	
Capital Expenditures- Current	0.00	0.00	0.00	(72,923,692.72)
Capital Expenditures- Continuing				(43,727,680.50)
Per Statement of Financial Performance	₱475,155,180.00	₱144,988,132.83	₱176,377,301.90	₱0.00

The details of the reconciling items are as follows:

Accounting Recognition Difference:

Budgeted as PS, Accounting recognized as MOOE	₱(1,421,054.74)
Budgeted as MOOE, Accounting recorded as inventory (JEV Nos. 2021-09-004585 and 2021-12-007916)	434,365.16
Budgeted as MOOE, Accounting recorded as CO– MDFO Interest Payment (JEV Nos. 2021-04-2409 and 2021-08-4431)	(4,536,825.54)
Budgeted as MOOE but not recognized as MOOE by Accounting	1,221,866.72
Budgeted as CO, Accounting recorded as MOOE (JEV No. 2021-08-004287)	(3,500,000.00)
Budgeted as CO, Accounting recorded as inventory (JEV Nos. 2021-09-004585 and 2021-12-007916)	(434,365.16)
Budgeted as CO, Accounting recorded as MOOE	(354,982.37)
Budgeted as CO, MDFO Principal Payments (JEV Nos. 2021-04-2409 and 2021-08-4431)	(3,856,041.23)
	₱(12,447,037.16)

DETAILED OBSERVATIONS AND RECOMMENDATIONS

A. Financial and Compliance Audit

Doubtful PPE account balance

1. The existence, completeness and accuracy of Property, Plant and Equipment (PPE) accounts with carrying amount of ₱317,534,306.56 as of December 31, 2021 could not be ascertained due to (a) absence of physical inventory reports duly reconciled with the property cards, property ledger cards and Road Network Ledger Cards contrary to Sections 114 and 124 of the Manual on the New Government Accounting System (MNGAS) for LGUs, Volume I, and COA Circular No. 2015-008; (b) variance of ₱351,931.00 between the year-end PPE account balances reported in the FS and in the PPE schedules; (c) discrepancies of ₱3,318,588.05 between the total additions of PPE in CY 2021 per PPE schedule and increase of PPE account balances in the FS of CYs 2021 and 2020; (d) non-recognition of depreciation expense totaling ₱4,214,094.70; (e) provision of residual value in computing the depreciation expense of the Road Networks account; and (f) unidentified PPE totaling ₱30,628,717.10.

As at December 31, 2021, the carrying value of PPE accounts amounted to ₱317,534,306.56 (excluding Land and Construction in Progress (CIP) accounts) under the General Fund (GF) and Special Education Fund (SEF), broken down as follows:

Table 1.1 Breakdown of PPE by Fund and Account

PPE	GF	SEF
Land Improvements		
Other Land Improvements	₱10,094,728.03	
Infrastructure Assets		
Road Networks	25,972,507.75	
Flood Control Systems	19,050,426.25	
Water Supply Systems	7,108,241.59	
Power Supply Systems	822,268.90	
Seaport Systems	2,816,250.45	
Airport Systems	27,674,925.68	
Parks, Plazas and Monuments	12,781,803.02	
Other Infrastructure Assets	9,295,535.63	
Buildings and Other Structures		
Buildings	82,257,697.60	
School Buildings	26,541,280.63	₱307,567.68
Hospitals and Health Centers	11,449,692.78	
Markets	25,744,828.34	
Slaughterhouses	1,604,200.39	
Other Structures	7,825,126.10	
Machinery and Equipment		
Machinery	2,208,892.91	
Office Equipment	11,283,922.62	1,093,894.00
Information and Communication Technology Equipment	23,689,225.57	924,065.00

PPE	GF	SEF
Communication Equipment	3,125,342.80	21,703.00
Construction and Heavy Equipment	62,082,416.96	
Disaster Response and Rescue Equipment	5,461,853.49	
Military, Police and Security Equipment	1,212,479.10	
Medical Equipment	857,900.00	
Sports Equipment	100,000.00	
Technical and Scientific Equipment	2,437,952.80	32,500.00
Other Machinery and Equipment	11,431,547.34	251,800.00
Transportation Equipment		
Motor Vehicles	52,316,044.37	
Watercrafts	879,048.00	
Other Transportation Equipment	4,498,000.00	
Furniture, Fixtures and Books		
Furniture and Fixtures	12,502,637.12	442,991.51
Books	121,100.00	
Other Property, Plant and Equipment		
Work/Zoo Animals	100,000.00	
Other Property, Plant and Equipment	1,755,063.00	
TOTAL COSTS	467,102,939.22	3,074,521.19
Less: Accumulated Depreciation	(151,103,429.72)	(1,539,724.13)
TOTAL NET BOOK VALUE	₱315,999,509.50	₱1,534,797.06

On February 2, 2022, the Audit Team sent a letter to the Management requiring the submission of the Report on the Physical Count of Property, Plant and Equipment (RPCPPE), status of inventory of road network system, Report of the Local Road Network and Report on the Physical Count of Local Road Network (RPCLR N) for CY 2021, however, only the RPCLR N was submitted as of this date.

Absence of the required RPCPPE and its non-reconciliation with the property cards and PPE ledger cards are contrary to the following provisions of Sections 114 and 124 of the MNGAS for LGUs, Volume I:

Sections 114 and 124 of the MNGAS for LGUs, Volume I state that:

***Sec. 114** Xxx. The General Services Officer (GSO) or the Municipal Treasurer, as the case maybe, shall likewise maintain stock cards and property cards for supplies; property, plant and equipment; and work animals in their custody to account for the receipt and disposition of the same. The balance per stock card/property cards should always reconcile with the ledger cards of the accounting units. They should also reconcile with other property records like Acknowledgement Receipt for Equipment (ARE).*

***Sec. 124** The local chief executive shall require periodic physical inventory of supplies or property. Xxx. Physical count of property, plant, and equipment by type shall be made annually and reported on the Report on the*

Physical Count of Property, Plant and Equipment (RPCPPE). This shall be submitted to the Auditor concerned not later than January 31 of each year”.

Inquiry with the Accounting Office disclosed that the Inventory Committee conducted physical count of the properties owned by the Municipality and submitted to them an inventory report as of December 31, 2021. The Inventory Committee, however, has yet to submit to the Audit Team the RPCPPE duly reconciled with the accounting records because the accounting and general services offices are still on the process of reconciling the said inventory report with their records.

It is worthy to note that the Accounting Office was able to maintain and update the schedules of PPE accounts as of December 31, 2021 to support the balances of the account in the financial statements (FS). However, the schedule does not serve the purpose of RPCPPE as it only reflects the recorded balances and does not provide assurance on the physical existence and condition/status of the properties.

As regards the accounting for Local Road Network, COA Circular No. 2015-008 dated November 23, 2015 provides the following duties and responsibilities of the Local Accountant, GSO, Municipal Engineer and the Local Chief Executive (LCE):

VI. Reporting Guidelines

- 3. The Inventory Committee shall prepare the Report on the Physical Count of the Road Network System of the local government unit.*

VII. Duties and Responsibilities

a. Local Accountant:

- 1. Prepare the Journal Voucher (JV) to record the beginning balance of the local road network and its components in the general ledger and the Local Road Network Ledger Card, respectively;*
- 2. Support the JV with the Registry of Public Infrastructures for Roads, working paper on the distribution of costs for the road components, and working paper on the determination of the depreciated replacement cost for road components with no available cost per registry;*
- 3. Keep and maintain subsidiary records for roads and road components for every road network; and*
- 4. Prepare a lapsing schedule for the computation of the depreciation for each component at the end of the year.*

b. General Services Officer

- 1. Maintain a Local Road Inventory and Road Map;*
- 2. Keep a complete Local Road Network Property Card for all roads and its components.*

- c. *Provincial/City/Municipal Engineer*
 - 1. *Provide the local accountant and GSO with the complete description and cost segregation of road components for road projects*
- d. *Local Chief Executive*
 - 1. *Enjoin the department heads' compliance with the requirements of the Circular*

Item IX of COA Circular No. 2015-008 states that the complete recognition of the account Local Road Network in the books of accounts should be made within the period of four years, hence, it is expected that the requirements of the Circular are already 100% complied by the municipality by the end 2019.

Each depreciable component of the road network should be depreciated separately and regularly assessed for impairment. However, the required depreciation and mandatory reconciliation with the accounting records could not be conducted because the Municipal Engineer still failed to provide the Municipal Accountant with the complete description, specifications and cost segregation of the road components. Hence, there was no disclosure included for the total road network system in the Notes to Financial Statements (NTFS) in contravention of COA Circular No. 2015-008 which provides:

VI. Reporting Guidelines

- 2. *The total road network system shall be disclosed in the Notes to Financial Statements of the Agency (NTFS)*

The RPCLRN for CY 2021 was submitted to the Audit Team, however it was not in the prescribed format under the said Circular and only indicated the total number of municipal and barangay roads. Also, the Municipal Accountant was not able to provide the necessary information for the account such as length/distance of the road properties, total cost, total expenditures on the local road additions, major repairs and regular maintenance, amount of reductions to the account due to derecognition, amount of impairment and amount of impairment reversed, if any, thus, casting doubts on the accuracy and propriety of the recorded Road Networks totaling ₱25,972,507.75.

Actual physical inventory is essential to verify the existence and actual condition of the assets and would readily identify supplies or properties that are obsolete, damaged, unserviceable or lost, thus proper action may be undertaken. Further, actual physical inventory and reconciliation of property and accounting records would ensure the accuracy of the amounts recorded in the books.

Due to absence of the required RPCPPE and RPCLRN, the existence, completeness and condition of the assets including those that have been fully depreciated as of year-end could neither be determined nor verified.

Furthermore, review of the PPE schedules revealed the following:

- a. Comparison of the year-end balances of the PPE accounts reported in the Statement of Financial Position (SFPos) and in the PPE schedules revealed a variance totaling ₱351,931.00, as follows:

Table 1.2 Variance between SFPos and PPE Schedules

PPE	Carrying Amount		Variance
	SFPos	PPE Schedule	
Office Equipment	₱ 5,066,072.94	₱ 5,198,942.94	₱132,870.00
Construction and Heavy Equipment	59,401,612.60	59,612,606.60	210,994.00
Motor Vehicles	22,413,012.63	22,421,079.63	8,067.00
	Total		₱351,931.00

- b. Discrepancies totaling ₱3,318,588.05 were also noted between the total additions of PPE in CY 2021 per PPE schedule and increase of PPE account balances in the FS of CYs 2021 and 2020. Details are shown in the following table.

Table 1.3 Discrepancies between total additions of PPE per PPE schedule and increase of PPE in the FS

PPE	Acquisition Date	Amount
Buildings		
Bgy. Depla Multi-Purpose Hall (Senior Citizen Center)	Oct 14, 2021	₱1,099,392.00
Bgy. Maytegued 1 Unit Multi-Purpose Hall (Senior Citizen Center)	Oct 14, 2021	1,099,392.00
<i>Total additions in CY 2021 per schedule</i>		2,198,784.00
<i>Increase (Decrease) per FS 2021 vs 2020</i>		5,663,065.25
<i>VARIANCE</i>		(3,464,281.25)
Other Machinery and Equipment		
2 units Brush Cutter Honda, model UMK435T	Jul 9, 2021	44,800.00
<i>Total additions in CY 2021 per schedule</i>		44,800.00
<i>Increase (Decrease) per FS 2021 vs 2020</i>		50,250.00
<i>VARIANCE</i>		(5,450.00)
Motor Vehicles		
Motorcycles-YAMAHA G3P2E0022586	Apr 20, 2021	119,500.00
Ambulance-Mitsubishi Model-2022 L300CC	Oct 29, 2021	1,380,000.00
<i>Total additions in CY 2021 per schedule</i>		1,499,500.00
<i>Increase (Decrease) per FS 2021 vs 2020</i>		1,509,910.00
<i>VARIANCE</i>		(10,410.00)
Furniture and Fixtures		
8 pcs. Double Decker Bed with pull out and Built in Cabinet(48x75)	Jan 14, 2021	260,000.00
Sofa	Apr 26, 2021	99,976.00
Sala set/sofa	May 26, 2021	48,000.00
3 layer steel cabinet	May 26, 2021	22,500.00
Cabinets	May 26, 2021	15,000.00
Executive Chairs-Swivel Chairs 4 Units black	May 26, 2021	54,000.00
Table	May 26, 2021	10,000.00
1 Unit Wooden Cabinet 2 division vertical 1st row 2 division vertical 2nd row	Jun 21, 2021	6,980.00
1 Unit Wooden Cabinet (12 division horizontal)	Jun 21, 2021	36,980.00

PPE	Acquisition Date	Amount
Wooden Cabinet 13.1ft x 7ft x 18inches 2 units	Aug 4, 2021	43,990.00
Wooden Cabinet 14ftx7ftx18inches	Aug 4, 2021	24,990.00
Wooden Rack 12.7ft X7ftX18 inches (2 units)	Aug 4, 2021	30,790.00
Steel Lateral Cabinet 3-layers assemble	Aug 17, 2021	29,500.00
Filing cabinet with sliding glass door, 5-layers 2 units	Sep 20, 2021	59,700.00
Steel Lateral Cabinet 3-layers gray 3 units, 2units	Sep 20, 2021	29,700.00
Table L-shape disk dimension 63.5inch, w-55.5 inch	Sep 20, 2021	14,890.00
Table L-shape disk dimension L-63.5 inch, w-55.5 inch	Sep 20, 2021	14,890.00
Table L-shape disk dimension L-63.5inch, w-55.5 inch	Sep 20, 2021	14,890.00
Container Van 2 units 19ftx8ftx7ft	Dec 15, 2021	595,000.00
Conference table 1.20mx5.0m 16 seating capacity with 16 Executive swivel chair	Dec 21, 2021	152,000.00
<i>Total additions in CY 2021 per schedule</i>		1,563,776.00
<i>Increase (Decrease) per FS 2021 vs 2020</i>		1,402,222.80
<i>VARIANCE</i>		161,553.20
TOTAL VARIANCE		₱(3,318,588.05)

- c. No depreciation expense was recognized for the following PPE thereby overstating the book value of the assets and the government equity account by ₱4,214,094.70, as presented in this table.

Table 1.4 Schedule of PPE with no allowance for depreciation

PPE	Acquisition Date	Cost	Depreciable Amount	Useful Life (in months)	Monthly Depreciation	Acc. Depreciation
Other Land Improvements						
Fort Santa Isabelle	Dec 1, 2003	₱431,565.02	₱388,408.52	360	₱1,078.91	₱234,124.02
Public Market B	Dec 1, 2003	18,317.40	16,485.66	360	45.79	9,937.19
Perimeter Fence/CHB/Barbed Wire	Mar 1, 2017	9,644,845.61	8,680,361.05	360	24,112.11	1,398,502.61
						1,642,563.83
Other Infrastructure Assets						
Bgy. Poblacion Sanitary Landfill Phase I	Dec 31, 2020	1,812,430.10	1,631,187.09	240	6,796.61	81,559.35
						81,559.35
Road Networks						
Bgy. Pancol FMR	Dec 31, 2020	698,563.23	698,563.23	240	2,910.68	34,928.16
Bgy. Poblacion Box Culvert San Lorenzo Bridge	Dec 31, 2020	2,856,994.16	2,856,994.16	240	11,904.14	142,849.71
						177,777.87
Buildings						
Bgy. Bantulan-Completion of Multi-Purpose Hall (MPH)/Evacuation Center	Aug 25, 2019	1,196,608.38	1,076,947.54	240	4,487.28	125,643.88
Construction of Talog MPH	Aug 30, 2020	1,097,054.16	987,348.74	240	4,113.95	65,823.25
Construction of Biton MPH	Aug 30, 2020	1,097,054.16	987,348.74	240	4,113.95	65,823.25
Construction of Pularaquen MPH	Aug 30, 2020	1,017,517.74	915,765.97	240	3,815.69	61,051.06
Bgy. San Jose Multi-Purpose Building (MPB)	Nov 23, 2020	1,398,640.98	1,258,776.88	240	5,244.90	68,183.75
Sitio Nalbot Bgy. Poblacion MPB	Dec 23, 2020	1,996,117.27	1,796,505.54	240	7,485.44	89,825.28
Bgy. Busybees MPH	Dec 31, 2020	2,294,857.61	2,065,371.85	240	8,605.72	103,268.59
Bgy. Calawag MPB Phase I	Dec 31, 2020	3,274,515.02	2,947,063.52	240	12,279.43	147,353.18
Bgy. Calawag So. Delmar MPH Phase 2	Dec 31, 2020	203,067.76	182,760.98	240	761.50	9,138.05
Bgy. Dipla MPH	Dec 31, 2020	1,999,475.01	1,799,527.51	240	7,498.03	89,976.38

PPE	Acquisition Date	Cost	Depreciable Amount	Useful Life (in months)	Monthly Depreciation	Acc. Depreciation
Bgy. Liminangcong MPH 2017	Dec 31, 2020	40,000.00	36,000.00	240	150.00	1,800.00
Bgy. New Guinlo MPB cum Evacuation Center	Dec 31, 2020	529,904.75	476,914.28	240	1,987.14	23,845.71
Bgy. Old Guinlo Rehab of MPB	Dec 31, 2020	394,535.00	355,081.50	240	1,479.51	17,754.08
Bgy. Paly Classroom 2015	Dec 31, 2020	249,369.00	224,432.10	240	935.13	11,221.61
Bgy. Pamantolon MPH	Dec 31, 2020	1,996,809.21	1,797,128.29	240	7,488.03	89,856.41
Bgy. Pangpang MPH	Dec 31, 2020	137,537.00	123,783.30	240	515.76	6,189.17
Bgy. Poblacion So. Arado MPH	Dec 31, 2020	2,298,281.54	2,068,453.39	240	8,618.56	103,422.67
Bgy. Pularaquen MPB	Dec 31, 2020	376,861.00	339,174.90	240	1,413.23	16,958.75
Bgy. Pularaquen MPH	Dec 31, 2020	2,297,963.55	2,068,167.20	240	8,617.36	103,408.36
Bgy. Silanga MPH	Dec 31, 2020	2,294,857.61	2,065,371.85	240	8,605.72	103,268.59
Bgy. Talog Day Care Center	Dec 31, 2020	55,000.00	49,500.00	240	206.25	2,475.00
Bgy. Depla MPH (Senior Citizen Center)	Oct 14, 2021	1,099,392.00	989,452.80	120	8,245.44	24,736.32
Bgy. Maytegued 1 Unit MPH (Senior Citizen Center)	Oct 14, 2021	1,099,392.00	989,452.80	120	8,245.44	24,736.32
						1,355,759.64
Office Equipment						
1 Unit3PR floor mounted aircon	Dec 27, 2019	85,000.00	76,500.00	60	1,275.00	30,600.00
						30,600.00
Construction and Heavy Equipment						
Hino Truck FC9JL7A mounted with 22 ft dropside body white, model 2021	Nov 29, 2021	4,317,578.00	3,885,820.20	120	32,381.84	32,381.84
	Nov 29, 2021	4,317,578.00	3,885,820.20	120	32,381.84	32,381.84
	Nov 29, 2021	4,317,578.00	3,885,820.20	120	32,381.84	32,381.84
						97,145.51
Other Machinery and Equipment						
Misting Machine No. 1	Nov 20, 2019	123,000.00	110,700.00	120	922.50	23,062.50
Misting Machine No. 2 Brand:STIHL Model SR 5600	Nov 20, 2019	123,000.00	110,700.00	120	922.50	23,062.50
	Nov 20, 2019	123,000.00	110,700.00	120	922.50	23,062.50
	Nov 20, 2019	123,000.00	110,700.00	120	922.50	23,062.50
1 Unit Washing machine 15Kg HD CAE2795 (MDRRMO)	Dec 27, 2019	68,250.00	61,425.00	36	1,706.25	40,950.00
2 Units Brush Cutter RS 5000 (MDRRMO)	Dec 27, 2019	42,000.00	37,800.00	60	630.00	15,120.00
Genset SLC401SS 2200x950x1150 IP44 942 kg 1000M	Jun 4, 2020	492,240.00	443,016.00	84	5,274.00	100,206.00
	Jun 4, 2020	576,870.00	519,183.00	84	6,180.75	117,434.25
	Jun 4, 2020	576,870.00	519,183.00	84	6,180.75	117,434.25
						483,394.50
Motor Vehicles						
Toyota 2019 Hi-Ace commuter 3.0L DSL M/T model KDH203LREMDY008 color White	Dec 27, 2019	1,505,000.00	1,354,500.00	120	11,287.50	270,900.00
						270,900.00
Furniture and Fixtures						
Lateral Cabinet	Feb 1, 2018	16,000.00	14,400.00	120	120.00	5,640.00
1 Unit Conference table 12 seaters wooded (MDRRMO)	Dec 27, 2019	41,550.00	37,395.00	120	311.63	7,479.00
Dining Tables 60pcs	May 20, 2020	180,000.00	162,000.00	120	1,350.00	25,650.00
Hospital Bed-10 units	May 20, 2020	250,000.00	225,000.00	120	1,875.00	35,625.00
						74,394.00
					Total	P4,214,094.70

d. A residual value was provided in the computation of the depreciation expense of the Road Networks account contrary to Item IV.14 of COA Circular No. 2015-008

which provides that “No residual value shall be provided for the depreciable components of the road network system”. This resulted in the understatement of the accumulated depreciation by ₱732,836.32 as at year-end.

- e. Review of the PPE schedules showed a total of ₱30,628,717.10 unidentified PPE or those recorded as either name of materials or generic class of PPE instead of the specific name and description of PPE. The details are shown in this table.

Table 1.5 Schedule of Unidentified PPE

PPE	DETAILS	AMOUNT
General Fund		
Airport Systems	Airport Systems- Runways/Taxiways	₱ 27,674,925.68
Books	Books SN 4903	48,500.00
	Books SN 4904	19,750.00
Construction and Heavy Equipment	Sparepart-Heavy Equipment SN 2806	948,667.16
Furniture and Fixtures	F&F (HRMO) SN 4895	6,000.00
	For reconciliation SN 4866	234,982.26
	Furniture & Fix (MSWD) SN 4919	13,425.00
	Furniture & Fixture (New Bldg) SN 4804	221,319.00
	Furniture & Fixtures (Batas Health Center) SN 4953	35,000.00
	Furniture & Fixtures (MSWD) SN 4908	17,000.00
	Furniture & fixtures SN 4862	25,878.00
	Furniture & Fixtures SN 4932	18,000.00
	Furniture & Fixtures (Legislative Bldg) SN 4840	388,000.00
	Furniture (MTC) SN 4902	35,500.00
	Furniture and Fixtures SN 4829	15,714.00
	Furniture & Fixture (MHO) 4915	21,000.00
	Furniture & Fixtures (Assessors) SN 4905	39,780.00
	Furniture & Fixtures (MHO) SN 4903	63,500.00
	Furniture & Fixtures SN 4842	6,000.00
Information and Communication Technology Equipment	IT Equipment (Accounting) SN 2142	50,000.00
	IT Equipment (Assessor) SN 2141	59,700.00
	IT Equipment (MGSO) SN 2125	20,000.00
	IT Equipment (OMA) SN 2140	36,500.00
	IT Equipment (Tourism) SN 2109	24,500.00
	IT Equipment SN 2082	23,000.00
	IT Equipment SN 2084	46,000.00
	IT Equipment SN 2107	41,000.00
	IT Equipment SN 2108	92,400.00
	IT Equipment SN 2202	60,000.00
	IT Equipment SN 2204	49,750.00
Office Equipment	c/o LBP liquidation SN 2125	196,026.00
	Office Equipment (HRMO) SN 2135	20,000.00
	Office Equipment (MHO) SN 2133	10,000.00
	Office Equipment (OVM) SN 2151	32,900.00
	Office Equipment SN 2165	34,000.00
Total		₱ 30,628,717.10

Incomplete details in the PPE schedules could cause difficulty during reconciliation of the inventory report with the accounting records.

We recommended that the:

- a. Municipal Mayor consider the one-time cleansing of PPE account balances as provided under COA Circular No. 2020-06 dated January 31, 2020 to come up with a reliable PPE balance;**
- b. Inventory Committee (i) immediately complete the Report on the Physical Count of PPE and Report on the Physical Count of the Local Road Network System and reconcile these reports with the Property Cards, PPE Ledger Cards, Road Network Ledger Cards and other accounting records; and (ii) submit a copy thereof to the Audit Team;**
- c. Municipal Accountant (i) reconcile the year-end balances of the PPE and the differences of total acquisition costs of PPE account balances reported in the financial statements and in the PPE schedules; and (ii) recompute depreciation of local roads and provide for the correct accumulated depreciation of the said PPE; and**
- d. Municipal Engineer (i) submit a complete report on the costs, description and specifications and cost segregation of the road components to the Municipal Accountant as bases for disclosures in the NTFS; and (ii) regularly assess each road component for impairment.**

During the exit conference, the Municipal Accountant commented that the LGU will avail of the one-time cleansing of PPE account balances and the Physical Inventory Plan will be started in July and they plan to finish the cleansing before the end of December 2022. The letter-reply sent to the Audit Team on June 23, 2022 also stated that the Management will comply with the COA Circular No. 2020-06 to come up with reliable PPE balances that are verifiable as to existence, condition and accountability. The Inventory Committee shall be reconstituted to come up with an adequate number of members to be able to complete the one-time cleansing plan within six (6) months.

They also commented that the preparation and maintenance of the PPE ledger cards as well as records on the repairs and maintenance of each property will now be required per office. For the Road Networks, the Municipal Accountant also stated that she still needs the information from the Municipal Engineer such as details as to the length and width of roads. The LGU will plan and set standards for the costing/appraisal of existing roads during the cleansing.

For the audit finding on the depreciation, the Municipal Accountant already informed the Audit Team that the necessary adjustments will be effected in the January 2022 financial statements to correct the accumulated depreciation.

According to the Municipal Engineer, his concern during inventory of PPE are the roads and buildings located in the barangays. After the one-time cleansing, the Management informed the Audit Team during exit conference that they will consider donating the roads and buildings to the barangays and schools.

In their letter-reply submitted on June 23, 2022, the Management stated that Department Heads concerned were directed to abide with the recommendations of the Audit Team and facilitate the submission of the necessary reports pertaining thereto.

Unliquidated Fund Transfers to Barangays (Due from Other LGUs account)

- 2. Fund transferred to barangays totaling ₱6,999,578.14 remained unliquidated as of December 31, 2021 contrary to Sections 4.6 and 4.9 of COA Circular No. 94-013 dated December 13, 1994. Moreover, the accuracy of fund transfer balances totaling ₱465,281.23 could not be ascertained due to absence of subsidiary ledgers (SLs) contrary to Item 70 and 72 of the MNGAS for LGUs, Volume I.**

COA Circular No. 94-013 dated December 13, 1994 prescribes the rules and regulations on the grant, utilization and liquidation of funds transferred to implementing agencies. Sections 4.6 and 4.9 thereof provides that:

4.6 Within ten (10) days after the end of each month/end of the agreed period for the Project, the Implementing Agency (IA) shall submit the Report of Checks Issued (RCI) and the Report of Disbursement (RD) to report the utilization of the funds. Only actual project expenses shall be reported. The reports shall be approved by the Head of the IA.

4.9 The IA shall return to the Source Agency (SA) any unused balance upon completion of the project.

Also, Item 6 of COA Circular No. 2016-005 dated December 19, 2016 provides that:

General Guidelines

6.1 All government entities shall conduct regular monitoring and analysis of receivable accounts to ensure that these are collected when these become due and demandable and that cash advances and fund transfers are liquidated within the prescribed period depending upon their nature and purpose; and

6.2 All government entities shall prepare the schedule of all receivables, unliquidated cash advances, and fund transfers as of December 31, 2015 and quarterly thereafter. (see Appendix 55 of Vol. II, GAM).

As of December 31, 2021, funds transferred to the barangays of the Municipality recorded under the Due from Local Government Units (LGUs) account showed a balance of ₱6,999,578.14. In a letter dated January 31, 2022, the Audit Team requested the Management to submit the report on the Status of Fund Transfers to Other Government/Implementing Agencies (IAs). The status report as of December 31, 2021 was submitted by the Municipal Accountant only on May 10, 2022.

Details from the submitted status report and subsidiary ledgers (SLs) are shown in the following table.

Table 2.1 Schedule of Due from LGUs as of December 31, 2021

Implementing Agency/ Barangay	Project	Date Granted	Balance	Status
Banbanan	2013 Multi-Purpose Building (MPB)	2013	₱46,430.00	None provided
Bantulan	2014 Completion of MPB (Evacuation Center)	Aug 23, 2018	360,000.00	Not yet utilized
Batas	2013 Covered Court Rehabilitation/Cementing	2013	277.31	None provided
Biton	2014 Rehabilitation/Cementing of Causeway	2014	504.80	
	Rehabilitation/Cementing of Causeway	Jun 1, 2018	160,000.00	Utilized, liquidation for submission
Busybees	2013 Multi-Purpose Pavement (MPP)	2013	45,000.00	For verification to barangay if utilized or not
Calawag	2013 Rehabilitation of MPB	2013	200,000.00	
	2015 Rehabilitation of MPB	2015	100,000.00	None provided
Casian	2015 Pathway So. Sabang Stage	2015	1,325.00	
	2017 20%DF-Construction of So. Amianan MPP	May 19, 2021	600,000.00	Not yet utilized
	2019 20%DF-Construction of Bgy. Proper MPP	May 19, 2021	480,000.00	Not yet utilized
Dipla	2015 MPP	2015	3,318.80	None provided
Libertad	2015 Rehabilitation Health Center and Bahay Tuluyan	2015	2,090.00	
Liminangcong	2017 Multi-Purpose Hall (MPH)	2017	(75.00)	Not yet utilized
	Rehabilitation of Creek	Oct 6, 2021	1,800,000.00	
New Guinlo	2013 Seawall	2013	139,969.75	For verification to barangay if utilized or not
	2016 Seawall	2016	340,000.00	
	2018 BDAF Construction of MPB cum Evacuation	Mar 5, 2019	10,095.25	Liquidation for submission, balance 445.25
Old Guinlo	Rehabilitation of MPB	Jun 11, 2020	5,465.00	None provided
Pamantolon	2016 Lot Purchase	2016	150,000.00	Utilized, liquidation for submission
Pancol	2013 Pancol Stage	2013	184,305.00	For verification to barangay if utilized or not
Pularaquen	Construction of MPB	Mar 27, 2020	23,139.00	None provided
San Jose	2017 San Jose Elementary School	2017	470,967.00	Utilized, liquidation for submission
	2017 San Jose Stage	2017	240,000.00	
Talog	Rehab Talog Elementary School	2015	94,517.00	For verification to barangay if utilized or

Implementing Agency/ Barangay	Project	Date Granted	Balance	Status
				not
	Construction of Bgy Day Care Center (DCC)	Jun 6, 2018	330,000.00	Utilized, liquidation for submission
	Construction of MPP So. Bgy. Proper	Jun 15, 2021	240,000.00	Partial liquidation submitted this year 2022
	Construction of MPP So. Magsasaka	Jun 15, 2021	480,000.00	
Tumbod	2016 MPP-2	2016	26,968.00	Utilized, liquidation for submission, with balance of ₱1,233.00
	Beginning Balance		465,281.23	For reconciliation
Total			₱6,999,578.14	

As can be gleaned from Table 2.1, fund transfers totaling ₱6,999,578.14 remained unliquidated as of December 31, 2021. The aging schedule of the unliquidated fund transfers as of yearend is presented Table 2.2.

Table 2.2 Aging of Unliquidated Fund Transfers as at December 31, 2021

ACCOUNT	Less than 1 year	1 to 5 years	Over 5 years	Unreconciled Balances	Total
GENERAL FUND (GF)					
Due from LGUs	₱3,600,000.00	₱2,116,634.25	₱817,737.66	₱465,206.23	₱6,999,578.14

As shown in Table 2.2, unliquidated fund transfers totaling ₱2,934,371.91 had been outstanding for more than one year to over five years. However, despite the lapse of a considerable amount of time, the barangays still failed to submit the required utilization reports or return the unused balances, if any, which is not in accord with Sections 4.6 and 4.9 of COA Circular No. 94-013. It was also noted that additional fund transfers were still released to Barangays Biton, Casian, New Guinlo and Talog although the previous funds transferred to the barangays were not yet fully liquidated.

Also, contrary to Item 6 of COA Circular No. 2016-005, the submitted status report by the Municipal Accountant did not provide any information as to the status of funds transferred totaling ₱82,549.91 while the utilization by the barangay for fund transfers totaling ₱1,103,791.75 were still for verification. No due date for liquidation for all the fund transfers was likewise provided in the report.

Moreover, unliquidated fund transfers totaling ₱465,281.23 were not supported with SLs and were simply presented in the status report and subsidiary schedules as “Beginning Balance” and “For reconciliation” contrary to the provisions of Sections 70 and 72 of the MNGAS for LGUs, Volume I, which requires the attachment of schedule of subsidiary ledger balances of the controlling accounts to the quarterly and year-end trial balances. This precluded the Audit Team from verifying the accuracy of the year-end balance of the Due from LGUs account amounting to ₱465,281.23.

We recommended that the:

- a. Municipal Mayor (i) require the concerned barangay officials to immediately liquidate and/or return the unused balances of funds received, if any; (ii) regularly monitor and verify the status of implementation of projects funded from the transfers to barangays; and (iii) ensure that the provisions of COA Circular No. 94-013 are strictly observed and that all fund transfers to other LGUs are fully liquidated upon completion of the purpose; and**
- b. Municipal Accountant (i) prepare and submit the schedule of fund transfers with complete information pursuant to COA Circular No. 2016-005; and (ii) reconstruct the subsidiary ledgers of fund transfers amounting to ₱465,281.23.**

According to the Municipal Accountant, the funds transferred to Bgy. Liminangcong for the Rehabilitation of Creek amounting to ₱1.8 million was only received by the barangay in December 2021 and was delayed by the election ban. She also commented that upon receipt of the certificate of completion from the Municipal Engineer, the barangays will be required to return the unutilized amounts.

The Municipal Engineer commented that he was provided with the list of projects funded by fund transfers however, the current barangay officials usually did not know the location of the projects. Also, they implement the 60-40 scheme wherein they only release the remaining 40% of the fund upon 60% accomplishment. He also commented that one of the reasons for the delayed implementation of the projects was due to the problems encountered with the tenurial instruments of the site. Starting CY 2021, the LGU decided to provide funding only for projects with tenurial instruments.

According to the Municipal Mayor, the LGU usually implement horizontal projects by administration because they have proven that it costs lesser than implementing by contract. However, those vertical projects such as buildings, are being implemented thru straight contract.

For the lacking TDs mentioned in the AOM, the Municipal Accountant, although belatedly, already submitted on May 12, 2022 the five JEVs, DVs and supporting documents pertaining to the fund transfers totaling ₱3,600,000.00. The Audit Team reminded the Accounting Office on the timely submission of the transaction documents so as not to delay the preparation and finalization of the annual audit report.

In addition to the above comments of the Management during the exit conference, also stated in their letter-reply on June 23, 2022 that the Municipal Engineer was already instructed to regularly monitor and verify the status of implementation of the projects being implemented by the barangays and to submit to the Accounting Office the complete documentation for proper recording in the books of the LGU.

Unsupported Reconciling items of the SCBAA and Statement of Financial Performance

3. The accuracy of the Reconciliation Statement of Actual Amounts presented in the Statement of Comparison of Budget and Actual Amounts (SCBAA) and in the Statement of Financial Performance (SFPer) and the actual amounts of Income presented in the SCBAA is doubtful due to reconciling items of ₱554,170.39 (net) that were not itemized in the Reconciliation Statement and variances totaling ₱3,046,811.54 between the amounts presented in the Reconciliation Statement, SCBAA and the SFPer.

International Public Sector Accounting Standards (IPSAS) 24 - Presentation of Budget Information in Financial Statements provides that:

47. The actual amounts presented on a comparable basis to the budget in accordance with paragraph 31 shall, where the financial statements and the budget are not prepared on a comparable basis, be reconciled to the following actual amounts presented in the financial statements, identifying separately any basis, timing and entity differences:

- a) If the accrual basis is adopted for the budget, total revenues, total expenses and net cash flows from operating activities, investing activities and financing activities; or*
- b) If a basis other than the accrual basis is adopted for the budget, net cash flows from operating activities, investing activities and financing activities.*

The reconciliation shall be disclosed on the face of the statement of comparison of budget and actual amounts, or in the notes to the financial statements.

The year-end Reconciliation Statement of Actual Amounts presented in the Statement of Comparison of Budget and Actual Amounts (SCBAA) and in the Statement of Financial Performance (SFPer) submitted to the Audit Team is presented in the table below.

Table 3.1 Reconciliation Statement of Actual Amounts presented in the SCBAA and in the SFPer

	Income	Personal Services	MOOE	Capital Outlay
Actual Amounts in SCBAA	₱475,155,180.00	₱146,409,187.57	₱179,257,895.56	₱116,651,373.22
Basis Difference				
Accounting Recognition Difference	0.00	(1,421,054.74)	(2,880,593.66)	
Capital Expenditures- Current				(72,923,692.72)
Capital Expenditures- Continuing				(43,727,680.50)
Per SFPer	₱475,155,180.00	₱144,988,132.83	₱176,377,301.90*	₱0.00

**includes GF & SEF-MOOE of ₱163,616,836.67 and transfers and subsidy to amounting to ₱12,760,465.23*

Details of the reconciling items identified by the Municipal Accountant are shown below.

Table 3.2 Details of Reconciling items

Accounting Recognition Difference:	WITH JEV NO.	WITHOUT REFERENCE	TOTAL
Budgeted as PS, recognized by Accounting as MOOE		₱(1,421,054.74)	₱(1,421,054.74)
Budgeted as MOOE, recorded as inventory (JEV Nos. 2021-09-004585 and 2021-12-007916)	₱434,365.16		434,365.16
Budgeted as MOOE, recorded by Accounting as CO–MDFO Interest Payment (JEV Nos. 2021-04-2409 and 2021-08-4431)	(4,536,825.54)		(4,536,825.54)
Budgeted as MOOE but not recognized as MOOE by Accounting		1,221,866.72	1,221,866.72
Budgeted as CO but recorded by Accounting as MOOE (JEV No. 2021-08-004287)	(3,500,000.00)		(3,500,000.00)
Budgeted as CO yet recorded by Accounting as inventory (JEV Nos. 2021-09-004585 and 2021-12-007916)	(434,365.16)		(434,365.16)
Budgeted as CO, recorded by Accounting as MOOE		(354,982.37)	(354,982.37)
Budgeted as CO, MDFO Principal Payments (JEV Nos. 2021-04-2409 and 2021-08-4431)	(3,856,041.23)		(3,856,041.23)
TOTAL	₱(11,892,866.77)	₱ (554,170.39)	₱(12,447,037.16)

Out of the total amount of ₱12,447,037.16, three reconciling items with net effect of (₱554,170.39) cannot be verified due to absence of list/s of identified Obligation Request (ObR), Journal Entry Voucher (JEV) and other references making up the variances. The Audit Team requested submission of the details of these reconciling items, however, no report/document was submitted as of this date. This has been a recurring audit observation, hence should have already been addressed by the Municipal Accountant.

Furthermore, based on the reports submitted by the accounting and budget offices, variances totaling ₱111,552,796.00 were noted, as follows:

Actual Amounts in SCBAA	
Income	
Per Reconciliation Statement	₱475,155,180.00
Per SCBAA	472,108,368.46
Variance	
Total Variance	₱(3,046,811.54)

The absence of details of breakdown of reconciling items with net effect of (₱554,170.39) and the variances totaling ₱3,046,811.54 between the reported amounts in the Reconciliation Statement and in the SCBAA and SFPer affects the accuracy of the Reconciliation Statement and the actual amounts of income presented in the SCBAA.

We recommended that the Municipal Accountant and the Municipal Budget Officer immediately submit the details of reconciling items of ₱554,170.39 (net) and investigate the variances of ₱111,552,796.00 noted in the Reconciliation Statement of Actual Amounts.

The Municipal Accountant commented that the reconciliation of the reports is still on-going. After finalization, they will immediately submit the revised report.

Local Disaster Risk Reduction and Management Fund

Budgeting, Utilization and Reporting of DRRM Funds for COVID-19 and other DRRM PPAs

4. Several lapses were noted in the Municipality's compliance with the provisions of R.A. No. 10121 or the "The Philippine Disaster Risk Reduction and Management (DRRM) Act of 2010" and COA Circular No. 2012-002 dated September 12, 2012 such as (a) non-transfer of the unexpended balance of the CY 2021 QRF and DRRMF-MOOE amounting to ₱3,467,756.23 to the LDRRMF Special Trust Fund (STF) bank account; and (b) non-maintenance of Subsidiary Ledgers (SLs) for the Trust Liabilities-DRRMF account and variances between the available, utilized and unexpended balances of DRRMF presented in the Notes to Financial Statements (NTFS), Monthly Report on the Sources and Utilization of the DRRMF, SCBAA and in the SAAOB.

Review of the utilization, accounting and reporting of LDRRMF for CY 2021 revealed the following:

- a. ***Non-transfer of the unexpended QRF and DRRMF-MOOE for CY 2021 to the LDRRMF STF bank account - ₱3,467,756.23***

Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012 provides that "*All unexpended/unobligated balance of the QRF and the DRRMF-MOOE shall be transferred to the Special Trust Fund under the account "Trust Liability-DRRM" in the Trust Fund books.*"

Annex C of the same Circular, as amended by COA Circular No. 2015-009 dated December 1, 2015, provides the following pro-forma entries in accounting for the transfer of unexpended QRF and DRRMF-MOOE:

Particulars	LGU Books	
	General Fund	Trust Fund
Transfer of unexpended Quick Response (QRF) and Mitigation Funds – MOOE at the end of the year	Dr. Transfer of Unspent Current Year DRRM Funds to the Trust Funds Cr. Cash	Dr. Cash Cr. Trust Liabilities-DRRMF (with subsidiary for the source and year)

Based on the Notes to Financial Statements (NTFS), the unexpended balances of the QRF and DRRMF-MOOE for CY 2021 are as follows:

Table 4.1 Schedule of Unexpended Balances of CY 2021 DRRMF

Particulars	Available	Utilized	Balance
CY 2021			
QRF	₱ 7,017,739.66	₱ 6,665,010.00	₱ 352,729.66
MOOE	8,519,488.77	5,404,462.20	3,115,026.57
Total	₱15,537,228.43	₱12,069,472.20	₱3,467,756.23

The Municipal Accountant credited payables under the General Fund (GF) to recognize the unexpended CY 2021 DRRMF–MOOE amounting to ₱3,467,756.23 to be transferred to TF and recorded in the TF books the corresponding receivable from GF. There was no actual transfer of cash to the LDRRMF STF bank account contrary to Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012 thereby exposing the funds to risk of misuse.

b. Non-maintenance of SLs for the Trust Liabilities–DRRMF account and variances between the amounts of the available, utilized and unexpended balances of DRRMF for the year presented in the NTFS, Monthly Report on the Sources and Utilization of the DRRMF, SCBAA and in the SAAOB

Rule 6 of the Implementing Rules and Regulations (I.R.R.) of the R.A. No. 10121 provides the guidelines in the functions of the DRRM Officer of the Local DRRM Office, to wit:

Section 4. Functions – The provincial, city and municipal DRRMOs or BDRRMCs, in coordination with concerned national agencies and instrumentalities, shall perform the following functions with impartiality, given the emerging challenges brought by disaster of our times:

(25) Prepare and submit, through the LDRRMC and the LDC, the report on the utilization of the LDRRMF and other dedicated disaster risk reduction and management resources to the local Commission on Audit provincial/city level and internal audit for municipal and component city level, copy furnished the Regional Director of the OCD and the Local Government Operations Officer of the DILG.

COA Circular No. 2012-002 provides the following:

5.1.5 A Report on Sources and Utilization of DRRMF using the format in Annex B shall be prepared and certified correct by the Local Accountant. The Local Disaster Risk Reduction and Management Officer (LDRRMO) shall submit the report on or before the 15th day after the end of each month through the LDRRMC and Local Development Council (LDC) to the COA auditor of the LGU.

5.1.12 *The account Trust Liability-DRRM in the Trust Fund books shall be used to record transfers of the agency's unutilized QRF and the DRRMF-MOOE of the previous years, receipts of NDRRMF, DRRMF from other LGUs and other sources. Subsidiary ledgers shall be maintained for transfers of agency's unutilized DRRMF to the special trust fund by year of transfer, receipts of NDRRMF by transferring agency, DRRMF from other LGUs by LGU and other sources by donor.*

5.1.16 *The amount and details of the unexpended balance of LDRRMF shall be discussed in the Notes to Financial Statements.*

Contrary to the foregoing provisions, the Accounting Office still failed to maintain the Subsidiary Ledgers (SLs) of the account Trust Liabilities–DRRMF for the transfers of the unexpended DRRMF to the STF by year of transfer. The SL maintained by the Accounting Office was for the whole amount of the Trust Liabilities–DRRMF and not by year of transfer.

The Monthly Report on the Sources and Utilization of the DRRM Fund for January to December 2021 were submitted to the Audit Team. Likewise, the NTFS included a disclosure on the amount and details of the unexpended balance of LDRRMF. However, there were variances noted between the stated amounts of LDRRMF available fund, utilizations and balances in the NTFS, monthly report on sources and utilization, SCBAA and in the Statement of Appropriations, Allotments, Obligations and Balances (SAAOB). Details are as follows:

Table 4.2 Schedule of Available and Unexpended Balances of DRRMF

	NTFS	Monthly Utilization Report	SCBAA and SAAOB
Available:			
Current Year Appropriation	₱18,204,836.43	₱23,393,902.73	₱23,393,902.73*
Continuing Appropriation	10,268,989.69	2,577,600.00	3,937,800.00*
Special Trust Fund	5,979,166.72	5,979,166.72	0.00
Total	34,452,992.84	31,950,669.45	27,331,702.73
Utilization:			
Current Year Appropriation	12,156,762.20		17,345,828.50
Continuing Appropriation	8,238,089.69	17,892,528.50	546,700.00
Special Trust Fund	0.00		
Total	20,394,851.89	17,892,528.50	17,892,528.50
Balance:			
Current Year Appropriation	6,048,074.23		6,048,074.23
Continuing Appropriation	2,030,900.00	14,058,140.95	3,391,100.00
Special Trust Fund	5,979,166.72		
	₱14,058,140.95	₱14,058,140.95	₱9,439,174.23

**Amounts were taken from the Final Budgets indicated in the reports*

The foregoing discrepancies cast doubts on the accuracy of the presented available balances of the LDRRM Fund current and continuing appropriations, and the unexpended QRF and MOOE transferred to the STF, and of the amounts utilized during the year as well as the balances as of yearend.

We recommended that the a) Municipal Accountant and the Municipal Budget Officer immediately reconcile their records on DRRMF in coordination with the MDRRM Officer to present the correct amounts in the NTFS, SCBAA, SAAOB and in the Monthly Report on the Sources and Utilization of the DRRM Fund; b) Municipal Accountant immediately reconstruct the SLs for all transfers of unexpended DRRMF to the STF by year of transfer; and c) Municipal Accountant and the Municipal Treasurer cause the immediate transfer of the unexpended DRRMF to the LDRRMF STF bank account.

The Municipal Mayor already gave instructions to the Municipal Accountant on the reconstruction of the SLs for the DRRM fund and once completed, will be submitted to the Audit Team. On June 23, 2022, the Management also submitted proof that the transfer of the unexpended balance of the CY 2021 DRRM fund to the STF bank account was already done on May 6, 2022.

- 5. Several deficiencies were noted in the budgeting and utilization of the funds for DRRM and for the rehabilitation and recovery program for the victims of Super Typhoon Odette such as: (a) realignment of DRRMF Capital Outlay of ₱9,018,154.48 to MOOE of MDRRM Office; (b) variance of ₱552,500.00 on the reported appropriations for the Grants and Donations; (c) unsubmitted disbursement vouchers; (d) ineligible expenditures charged to the MDRRM Fund; and (e) food supplies totaling ₱10,237,480.00 recorded as outright expenses despite absence of proof of receipt and distribution to intended beneficiaries of the procured goods for COVID-19 operations.**

Review of the budgeting and utilization of LDRRMF for CY 2021 and the funds appropriated for the rehabilitation and recovery program for the victims of Super Typhoon Odette that happened on December 17, 2021 revealed the following:

- a. Appropriations of the DRRMF Continuing Capital Outlay from CYs 2016, 2018 and 2019 totaling ₱9,018,154.48 realigned to the Grants and Donations were lodged under the MDRRM Office***

Section 5.1.11 of COA Circular No. 2012-002 provides that all the unexpended/unobligated balance of LDRRMF for CO shall be made continuing in the General Fund books until the projects funded therefore are completed and any savings shall be available for use in the disaster risk reduction and management activities as provided in the LDRRMFIP.

Item 4.4 of the National Disaster Risk Reduction and Management Council-Department of the Interior and Local Government-Department of Budget and

Management-Civil Service Commission (NDRRMC-DILG-DBM-CSC) Joint Memorandum Circular No. 2014-1 dated April 4, 2014, states that *Other MOOE, and other capital outlay requirements of the LDRRMO or BDRRMC in the implementation of DRRM programs shall be charged to the Local DRRM Fund (LDRRMF) subject to the provisions of the Joint NDRRMC, DBM, and DILG Memorandum Circular No. 2013-1 and COA Circular No. 2012-002.*

On December 20, 2021, the Sanggunian enacted Ordinance No. 446 or Supplemental Budget (SBudget) No. 4 authorizing the utilization of savings from Personal Services (PS) and realignment of Maintenance and Other Operating Expenses (MOOE) and continuing Capital Outlays (COs) of various offices and funds for the payment of Other Personnel Benefits and grant of financial assistance for the victims of Super Typhoon Odette. Details are as follows:

Table 5.1 Fund Sources and New PPAs covered by SBudget No. 4

		Amount
Sources of Funds:		
1. Savings		
	Savings from Unfilled Position (January to December 2021)	₱19,855,965.34
	Savings from Other Personnel Benefits (Medical Health Program)	637,500.00
2. Realignments		
	Maintenance and Other Operating Expenses (All Offices)	18,624,938.69
	Other Continuing Capital Outlay - Non-Office	9,018,154.48
	Continuing Capital Outlay (All Offices)	15,581,802.39
	Capital Outlay for CY 2021	14,885,348.43
Total		78,603,709.33
Expenditures:		
1. PS		
	Other Personnel Benefits (OPB)	5,215,000.00
	OPB-Gratuity/Terminal Leave Benefits	700,000.00
2. MOOE		
	Grants and Donations	72,688,709.33
Total		₱78,603,709.33

Verification of the breakdown of the sources of funds for SBudget No. 4 revealed that the Other Continuing Capital Outlay–Non-Office totaling ₱9,018,154.48, as shown in the Table 5.1, pertained to the continuing CO of the MDRRMF from CYs 2016, 2018 and 2019, to wit:

Table 5.2 Breakdown of the Other Continuing CO (DRRMF)

DRRMF-CO	Amount
2016	
Prov. to Palawan State University	₱300,000.00
2018	
Purchase of Emergency Rescue Vehicle	50,000.00
Purchase of 1 unit Service Vehicle (MDAC)	39,800.00
2019	
Radio Communication Equipment	420,000.00
Purchase of Portable Tank	189,800.05

DRRMF-CO	Amount
Purchase of Trailer Tank	40,000.00
Risk And Hazard Mapping	18,702.00
Prov. to Western Philippine University	500,000.00
Aid to PCSD	200,000.00
(Unidentified Year)	
Subsidy to BUB Support Program	286,964.79
Ordinance No. 425, s.2021*	
Construction of Sanitary Landfill	3,486,443.82
Purchase of 1 unit Mini Backhoe	3,486,443.82
Total	₱9,018,154.48

**Realignment from DRRMF Continuing CO for CYs 2016 and 2019*

Per SAAOB and SCBAA for the continuing CO as of December 31, 2021, the appropriations for the PPAs totaling ₱9,018,154.48 realigned thru SBudget No. 4 was deducted from their respective budgets under the continuing CO of DRRM Fund and was added to the budget of the MDRRM Office for Donations under the MOOE. As a result, the MDRRM funds was reduced by ₱9,018,154.48 and the utilization of it under the MDRRM Office was no longer included/reported in the Monthly Report on Sources and Utilization of the DRRM Fund in CY 2021. Any unexpended balance from the realigned DRRM funds were not computed and included in the amount to be transferred to the Special Trust Fund (STF).

Although the implementing unit is still the MDRRM Office, the realigned budget from the DRRM Fund- Continuing CO should still be part of that fund.

We recommended that the Municipal Mayor, a) thru the Municipal Budget Officer (MBO) and the MDRRM Officer, ensure that appropriations for DRRM PPAs are realigned and utilized within the DRRM Fund; and b) Municipal Accountant and the MBO compute the unexpended balance from the realigned DRRM Fund of ₱9,018,154.48 and include it in the amount to be transferred to the Special Trust Fund.

The Municipal Accountant explained that of the DRRMF-CO used as funding source of SBudget No. 4, s-2021, only ₱7,691,389.69 was reprogrammed to Grants and Donations intended for typhoon Odette victims. Only ₱1,700,000.00 from the local fund was utilized for financial assistance to typhoon victims since only a few days after the cash advance was drawn from the GF, the trust receipts from the national government were downloaded to the LGU with the same purpose of utilization. The unutilized balance of DRRMF-CO which was inappropriately realigned from the budget of MDRRM Fund to MDRRM Office was already used for SBudget No. 1 in CY 2022 for the implementation of the following projects:

PROJECT	AMOUNT
Casian Isolation Center	₱4,014,000.00
MDRRM Drainage Canal	2,500,000.00
Poblacion Isolation Center Amenities	1,500,000.00
	₱8,014,000.00

The Management stated that the amount of ₱8,014,000.00 was more than the amount realigned in SBudget No. 4, s-2021. The management commented that they will see to it that this will not happen again and that they will abide with the existing policies.

b. Variance of ₱552,500.00 on the reported appropriations for the Grants and Donations on CY 2021 SAAOB and the amount authorized in the SBudget No. 4

As also shown in Table 5.1, a total of ₱72,688,709.33 was appropriated for the Grants and Donations as authorized thru the enactment of SBudget No. 4. The appropriation for the new PPA was distributed to the following offices:

Table 5.3 Breakdown of the Grants and Donations covered by SBudget No. 4

	AMOUNT
MDRRM Office	₱ 70,093,709.33
Mayor's Office	2,595,000.00
TOTAL	₱72,688,709.33

It was observed that the appropriations reported in CY 2021 SAAOB for the Grants and Donations under the MDRRM Office amounting to ₱70,646,209.33 was higher by ₱552,500.00 than the amount authorized in the SBudget No. 4 amounting to ₱70,093,709.33.

We recommended that the Municipal Accountant and the Municipal Budget Officer review the utilization of the Grants and Donations under the MOOE account of the MDRRM Office, investigate the variance of ₱552,5000.00 and submit proof of augmentation/realignment if that amount was found valid and thereafter effect the necessary adjustments to correct the reported utilization.

The MBO and the Municipal Accountant stated that a revised SAAOB reflecting the corrections on the variance of ₱552,500.00 will be submitted to the Audit Team.

c. Unsubmitted disbursement vouchers

One disbursement voucher (DV) paid in CY 2021 for DRRMF-related PPAs and three DVs related to the FAs for calamity victims were already recorded in the GF books but were not yet submitted to the Audit Team, to wit:

Table 5.4 Unsubmitted CA voucher and liquidations related to FAs for Odette victims

JEV No.	PARTICULARS	AMOUNT
2021-12-8042	CA of MT Parapina charged to trust receipts from national fund for Odette victims	₱35,000,000.00
2021-12-8025	Liquidation of CA by MT Parapina	34,821,000.00
2021-12-8026	Liquidation of CA by MT Parapina	1,700,000.00

Table 5.5 Unsubmitted paid voucher for DRRMF-related transactions

JEV NO.	PAYEE	AMOUNT	PARTICULARS
2021-04-002800	JEZ Photo Studio	₱14,000.00	Signages and Tarpaulin

Failure to submit the above paid vouchers and supporting documents precluded evaluation of the validity and legality of the said disbursements paid out of the DRRM fund as well as the liquidations for CAs drawn for typhoon victims/affected families.

We recommended that the Municipal Accountant immediately submit the aforementioned paid vouchers and supporting documents since these were already recognized/recorded in the books of accounts.

The Municipal Accountant committed to immediately submit the lacking JEVs and TDs.

d. Ineligible expenses totaling ₱1,193,784.04 charged against the MDRRM Fund

Review of the registries of MDRRM Funds for CY 2021 revealed that repairs and maintenance and spare parts procured for MDRRM vehicles but were improperly charged against the MDRRM Fund contrary to Item 4.3 of the NDRRMC-DILG-DBM-CSC JMC No. 2014-1 dated April 4, 2014 which provides that *The budgetary requirements for personal services, maintenance and other operating expenditures, and capital outlay of the LDRRMO shall be sourced from the General Fund of the LGU, subject to Section 76 of RA 7160.*

The breakdown of ineligible expenditures is shown in Table 5.6.

Table 5.6 Improper charges against the DRRM Funds

JEV NO.	PAYEE	AMOUNT	PARTICULARS	DRRMF Budget Item
2021-12-7369	AKZ Construction TRading	₱989,824.00*	Spare parts for the MDRRMO Vehicles	Transportation Equipment- ₱499,470.00; R&M- Transportation Equipment- ₱490,354.00
2021-07-3761	Arnond Acebedo II	5,700.00	Reimbursement of repairs and maintenance (R&M) incurred for DRRM vehicle	R&M- Transportation Equipment
2021-07-3767	Arnond Acebedo II	4,600.00		
2021-11-6179	New ZMJ Trading	193,660.04	Spare parts for the vehicles	
		₱1,193,784.04		

**Obligated but still Payable as of 12/31/21*

These expenditures are regular operating expenses and should have been charged to the general fund under the MDRRM Office. Such ineligible expenses depleted the MDRRMF and defeated the purpose of the fund in supporting disaster risk reduction activities that would benefit the community at large.

We recommended that the Municipal Mayor: a) thru the MDRRM Officer, appropriate funds for the repairs and maintenance of the DRRM equipment and

vehicles under the MDRRM Office in the General Fund; and b) thru the Municipal Accountant, MBO and MDRRM Officer, ensure that the allocation and utilization of DRRM Funds are in accordance with the guidelines laid down by the NDRRMC-DBM-DILG JMC No. 2013-1 dated March 25, 2013.

The Management committed to ensure compliance with the audit recommendations and will augment the funds of the MDRRM Office to cover other MOOE related to office expenses.

- e. *Food supplies totaling ₱10,237,480.00 recorded as outright expenses were not supported by Inspection and Acceptance Report (IAR), Requisition Issue Slip (RIS) and proof distribution of the procured goods for COVID-19 operations duly received by the intended beneficiaries*

Below are the food supplies purchased and paid out of the 5% MDRRM Fund and MDRRMO-MOOE Fund. These were taken up in the books as direct expenses instead of inventory account or Welfare Goods for Distribution:

Table 5.7 Food Supplies Expenses under the MDRRM Fund and Office

FUND	JEV NO.	AMOUNT	PARTICULARS
MDRRMO	12-7080	₱ 1,250,000.00	1,000 Sacks of Rice (50kgs)
MDRRMO	10-5535	1,875,000.00	1,500 Sacks of Rice (50kgs)
MDRRMF	08-4119	1,250,000.00	1,000 Sacks of Rice (50kgs)
MDRRMF	12-6748	3,750,000.00	3,000 Sacks of Rice (50kgs)
MDRRMF	05-2620	1,250,000.00	1,000 Sacks of Rice (50kgs)
MDRRMF	10-5517	862,480.00	132 sacks of rice (50kgs), 50 sacks of brown sugar, 100 boxes of coffee, 100 boxes of canned fish and 50 boxes of canned meat (with IAR and SI)
	TOTAL	₱10,237,480.00	

Recording of inventories and supplies as direct expenses is not in keeping with the provisions of Paragraph 44 of the International Public Sector Accounting Standards (IPSAS) No. 12 and Section 114 of the MNGAS for LGUs, Volume I which state that:

(PPSAS) When inventories are sold, exchanged, or distributed, the carrying amount of those inventories shall be recognized as an expense in the period in which the related revenue is recognized. If there is no related revenue, the expense is recognized when the goods are distributed or the related service is rendered....xxx..." (Emphasis Supplied)

(MNGAS) Purchase of supplies and materials for stock, regardless of whether they are consumed within the accounting period, shall be recorded as inventory following the perpetual inventory method. Regular purchases shall be coursed thru the inventory account and

issuances thereof shall be recorded as they take place, except those purchased out of petty cash fund which shall be charged immediately to the appropriate expense accounts.

It was noted in the review of the paid vouchers of the above transactions that payments made were not supported with IAR and RIS. Also, there was no proof of receipt and distribution list of the goods/food packs to legitimate beneficiaries.

Incomplete documentation placed doubts on the regularity and validity of the transaction aside from being contrary to Section 4(6) of Presidential Decree (P.D.) No. 1445 which requires complete documentation of claims against government funds.

We recommended that the Municipal Accountant, in coordination with the MDRRM Officer and GSO, submit the lacking IAR, RIS and proof of receipt and distribution of the welfare goods to the beneficiaries and determine the quantity of items that were already distributed/issued and record the undistributed or remaining food supplies to the appropriate inventory account.

According to the Municipal Accountant, upon delivery, the goods were immediately distributed to the barangays. Henceforth, she will record an inventory account first.

The Municipal Mayor stated that the concerned departments were already instructed to submit the lacking documents. The MDRRM Officer commented that the distribution lists were already submitted to the Accounting Office for validation.

- 6. Procurement of 2,200 COVID-19 antigen testing kits totaling ₱1,586,000.00 was not compliant with the price cap set by the DOH Department Circular (D.C.) No. 2021-0323 dated August 6, 2021. Moreover, technical specifications were not indicated in the Purchase Orders (POs) and the payment was made to one supplier despite absence of License to Operate (LTO) as medical devices seller, as required by the DOH Administrative Order No. 2020-0017 dated May 8, 2020 to all wholesalers and retailers in the medical device industry.**

For CY 2021, a total of 2,200 COVID-19 antigen test kits were purchased by the Municipality in the total amount of ₱1,586,000.00, details of which are presented below.

Table 6.1 Payments of COVID-19 AG Rapid Test Device (Nasal)

JEV No.	SUPPLIER	UNIT COST	QTY (no. of kits)	AMOUNT
2021-10-5379	Princemark Drugmark	₱780.00	1,200	₱936,000.00
2021-12-7641	KMIA Medical and Dental Supplies	650.00	1,000	650,000.00
TOTAL				₱1,586,000.00

Review of the procurement done for the testing kits disclosed the following:

a. ***Lacking technical specifications in the PO***

Section 17.2 of Republic Act (R.A.) No. 9184 provides that *the specifications and other terms in the Bidding Documents shall reflect the necessary specifications required to meet the needs of the Procuring Entity in clear and unambiguous terms.*

In the procurement of goods, it is vital that the description of the items subject of the procurement are clear and unambiguous to avoid confusion and to ensure that such items meet the requirements of the procuring entity.

It was noted in the review of the Purchase Orders (POs) that the item description in the POs only states “AG Rapid Test Device (Nasal)” without specifically indicating the brand name and other important details including the detailed technical description/specification of the testing kits, such as evaluation and performance characteristics as required under COA Circular 96-010 dated August 15, 1996, which prescribed the basic data and information that should invariably appear in the PO.

Department of Health (DOH) Department Circular (DC) No. 2021-0350 or the “Reiteration of Guidance on the Use of COVID-19 Antigen Test Kits” provides that only COVID-19 antigen test kits that have fulfilled all the following criteria may be procured and/or used:

1. Registered by the Philippine Food and Drug Administration (FDA);
AND
2. Validated by the Research Institute for Tropical Medicine (RITM), **OR** WHO Foundation for Innovative New Diagnostics (FIND), **OR** DOH-designated institutions, **OR** those included in the World Health Organization Emergency Use Listing (WHO-EUL)
(<https://ritm.gov.ph/covid-19-kit-evaluation/completed-evaluations/sars-cov-2-rapid-antigen-ag-test/>) **AND**
3. Satisfied the minimum specification of 80% sensitivity and 97% specificity set by the Health Technology Assessment Council (HTAC)

Moreover, DOH DC No. 2020-0160 dated March 31, 2020 requires that *“only DFA-approved rapid antibody test kits may be used to ensure that the tests fall within an acceptable range of quality.”*

The PO which is the contract agreement between the procuring entity and the supplier must provide a clear and exact description to ensure that the goods procured are suitable for the specific needs and quality preference of the end-user. COVID-19 rapid testing kits are used as detection tools for the existence of the SARS-CoV-2 virus, the causative agent of COVID-19 hence, compliance with the above performance requirements by the DOH is of paramount importance in ensuring that the testing kits procured are safe and highly effective.

Due to the generic terms indicated in the POs, IARs and even in the Sales Invoices, the Audit Team was unable to verify and ascertain whether the COVID-19 antigen and antibody test kits procured are among those which are authorized and approved by the DOH.

b. Not within the price cap set by the DOH D.C. No. 2021-0323 and absence of License to Operate (LTO) as medical devices seller

Per DOH Circular No. 2021-0323 dated August 6, 2021, the distributor cost per unit of rapid antigen testing kits amounts to ₱500.00, comprising the estimated procurement price of ₱452.00 plus a 10% distribution cost of ₱45.20 (the sum was rounded up to the nearest tens). However, we have noted that the acquisition unit costs of the testing kits shown in Table 6.2 are higher than the regular cost provided by the said Circular.

Table 6.2 Unit Cost above Price Cap set by the DOH

JEV No.	Unit Cost per PO	Price Cap	Price Difference	QTY	Excess
2021-10-5379	780.00	500.00	280.00	1200	₱336,000.00
2021-12-7641	650.00	500.00	150.00	1000	150,000.00
					₱486,000.00

We have noted that the unit price per kit in the PO of ₱650,000.00 was exactly the same unit price indicated in its Purchase Request (PR) while the unit price per kit in the PO of ₱936,000.00 was set at ₱800 per kit. The unit cost of antigen testing kit could have been pegged in the PR within the price cap set by DOH so that the LGU could avail of a reasonable price offer from suppliers/distributors. Based from the contracted rates obtained by other municipalities from other sellers/suppliers, they were able to purchase antigen test kits for as low as ₱270.00 while others ranged from ₱400.00-500.00 per unit. Since the antigen testing kits were procured thru negotiated procurement under emergency cases, the LGU could have sent request for quotations to sellers/suppliers who can offer lower or reasonable unit price of testing kits.

Due to the Management's lapses in complying with the mandated price cap, the LGU's intent to maximize the funds was not attained. Moreover, the LGU could have saved funds amounting to ₱486,000.00 which could have been utilized for the implementation of other COVID-19 related PPAs.

Further, it was also observed that the contract amounting to ₱650,000.00 was awarded to KMIA Medical and Dental Supplies despite absence of License to Operate (LTO) as Medical Devices Wholesaler/Distributor/Retailer.

DOH Administrative Order No. 2014-0034¹ provides that an LTO is the “*authorization or permission granted by the FDA to the supplier who wish to engage in manufacturing, distribution, importation, exportation, sale, offer for sale, testing and transfer of drug products*”. Item V.A of the same AO states that “*No drug establishment shall manufacture, import, export, sell, offer for sale, distribute, transfer, promote, advertise and/or sponsor any activity that involves drug product without first securing an LTO or an appropriate authorization from FDA.*” (emphasis added)

On May 8, 2020, DOH Administrative Order (AO) No. 2020-0017 entitled “Revised Guidelines on the Unified Licensing Requirements and Procedures of the Food and Drug Administration Repealing Administrative Order No. 2016-003” was issued wherein retailers of medical devices are included in the list of establishments that are required to secure a License to Operate (LTO) from the Food and Drugs Administration (FDA) before engaging in the manufacture, importation, exportation, sale, offering for sale, distribution, transfer, non-consumer use, promotion, advertising or sponsorship activities of health products. Item V.A.2 of the FDA Circular No. 2021-021 dated October 7, 2021 states that an FDA licensed drug retailer that also sells or offers to sell any medical device product shall secure a separate LTO from the FDA as a retailer of medical device.

In the course of our audit, we noted that no LTO from the FDA was attached to the paid voucher for KMIA. A walkthrough of the FDA online verification portal disclosed that the said supplier, although with LTO as drug distributor, was not included in the list of those registered in the medical device industry with LTO.

As part of the post-qualification in determining the eligibility of the supplier, the BAC has the responsibility to verify the validity and completeness of the legal documents of the supplier before recommending award of the contract.

We recommended that the Municipal Mayor, as the head of procuring entity, (a) ensure that the POs are completely and accurately accomplished before its approval and the complete details regarding the specifications of the goods to be procured are clearly indicated in the PO/Contract; and (b) thru the BAC and Municipal Accountant, cause the submission of the authenticated copy of KMIA Medical and Dental Supplies’ License to Operate as medical devices wholesaler/retailer.

We also recommended that the BAC (a) provide the basis in their computation of the estimated unit cost per antigen testing kit procured on CY 2021; (b) in every procurement of drugs and medical devices, require suppliers to submit copies of their FDA-issued LTO and verify it on the FDA online verification portal; and (c) observe due diligence in the determination of price estimates of goods prior to commencing procurement as well as in the evaluation of the legal and technical documents of the supplier.

¹ Rules and Regulations on the Licensing of Establishments Engaged in the Manufacture, Conduct of Clinical Trial, Distribution, Importation, Exportation, and Retailing of Drug Products, and Issuance of Other Related Authorizations

The Municipal Mayor took note of the observation made by the Audit Team on the lacking technical specifications in the POs covering the procurement of testing kits. He stated that the matter will be discussed in the next BAC Meeting to ensure compliance with the guidelines provided under Section 17. 2 of R.A. No. 9184 and COA Circular No. 96-010.

In their letter-reply, the Management explained that by August 2021, breakthrough infections, increased transmissions and the threat of Delta variant has generated the demand for COVID-19 test kits. For the municipality's procurement of 1,200 kits with PR date August 5, 2021, the DOH Department Circular No. 2021-0323 dated August 6, 2021, with effectivity date of August 16, 2021, was not taken into consideration as the PR was issued the day after the date of the Circular.

Also, the Management viewed the audit recommendations in a positive way. The Municipal Mayor called the attention of the BAC and TWG on the subject matter, instructed them to adhere to the price cap provided in the issuance/s of the DOH and other authorities and reminded them to observe due diligence in the determination of price estimates of goods prior to commencing procurement as well as in the evaluation of the legal and technical documents of the supplier.

Likewise, the Municipal Mayor has directed the Municipal Accountant to cause the immediate submission of KMIA Medical and Dental Supplies' License to Operate as medical devices wholesaler/retailer.

During exit conference, the Management commented that they made sure that the COVID-19 testing kits they procured were of quality and reliable as to the accuracy of the results because they do not want to have false negative or false positive results on suspected COVID-19 patients. They also commented that false positive causes additional expenses on the part of the LGU since they have to pay for the accommodation, food and other isolation/quarantine expenses.

Utilization of Local Government Support Funds (LGSF)

- 7. Several deficiencies were noted in the accounting and utilization of Local Government Support Fund (LGSF) and other fund transfers from national governments such as (a) non-implementation of project costing ₱10,989,753.00 that resulted in its cancellation; (b) payments totaling ₱7,994,388.93 were directly debited to Due to NGAs thereby understating the Construction-in-progress (CIP) and the Road Networks accounts; (c) LGU's counterpart out of the 20% Development Fund amounting to ₱17,385,456.60 was erroneously recorded to the Due to NGAs; (d) incomplete documentation; and (e) non-utilization of fund totaling ₱5,840,964.67 thereby depriving the intended beneficiaries of the immediate benefits that could have been derived therefrom.**

The Municipal Government of Taytay, Palawan (MGTP) received the following LGSF from CY 2017 to 2020, to wit:

Table 7.1 LGSF received by MGTP

	DATE OF RECEIPT	PROJECT	FUNDS RECEIVED	COMPLETION DATE
CY 2019 LGSF- AM	11/30/19	Construction of Local Access Road, Sitio Lake Danao, Bgy. Poblacion	₱6,157,850.00	12/30/20
LGSF-AM	09/29/17 and 07/24/18	Construction of Evacuation Facility Phase I and II (Phase I with Design)	20,576,881.00	12/15/20
CY 2019 LGSF-FA	06/25/20	Rehabilitation, Repair and Improvement of Slaughterhouse	2,000,000.00	04/15/21
CY 2020 LGSF-AM	10/07/20	Construction of Evacuation Center in Bgy. Casian, Taytay	4,144,000.00	on-going
LGSF-SALINTUBIG 2020	November 2020	LGSF-SALINTUBIG FY2020- Expansion and Rehabilitation of Pamantolon and Poblacion Water System Level III	10,989,753.00	Cancelled
		TOTAL	₱43,868,484.00	

Review of the accounting and utilization of funds received from the national government agencies disclosed the following:

- a. **Delayed implementation of the Expansion and Rehabilitation of Pamantolon and Poblacion Water System Level III funded by Local Government Support Fund– Assistance (LGSF)- SALINTUBIG 2020 with fund amounting to ₱10,989,753.00 resulted in the cancellation of the said project and refund of the funds received by the Municipality, thereby defeating the purpose for which the fund was established.**

On November 30, 2020, the Municipal Accountant recognized in the trust fund (TF) book the receipt of ₱10,989,753.00 representing the downloaded funds from the LGSF-Salintubig 2020 intended for the implementation of Expansion and Rehabilitation of Pamantolon and Poblacion Water System Level III project of the Municipality of Taytay, Palawan.

The said fund was received in CY 2020 yet it was still unutilized as of December 31, 2021. The project to be funded was not implemented within the schedule, hence the fund/project was terminated and the full amount of the funds received was returned to the Bureau of Treasury on February 24, 2022.

Cancellation of projects funded by the national government agencies was a lost opportunity of the LGU, in that while having additional fund for developing and improving the facilities which are much needed by its constituents, its planning and engineering arms were not able to respond positively in achieving the objective of the national government in providing potable water for the people of Taytay, particular those constituents of Barangays Pamantolon and Poblacion.

We recommended that the Municipal Mayor, thru the Municipal Engineer and the MPDC, submit an explanation on the non-implementation of the project and ensure that future projects funded by the LGSF are well-planned and procurement-and-implementation-ready and strictly comply with the guidelines related to implementation of the LGSF projects.

During the exit conference, the Management explained that the LGSF-SALINTUBIG 2020 was not implemented because the water source for the proposed project was already used for a certain project of National Irrigation Administration (NIA). The farmers using the project of NIA had a negative reaction about the SALINTUBIG project as they will be deprived of their water source if continued. The problem on the water source was not immediately discovered. It was only after validation of the site with the DILG, or two years after, that the funds were released to the LGU. The LGU requested for the realignment of the project to another location but unfortunately, the DILG did not approve the proposal.

- b. **Payment for the Construction of Local Access Road at Sitio Lake Danao (2019 LGSF-Assistance to Municipalities (AM)) and Improvement of Slaughter House (2019 LGSF- Financial Assistance (FA) to LGUs) amounting to ₱6,108,284.96 and ₱1,886,103.97, respectively, were directly debited to Due to National Government Agencies (NGAs) account, thereby understating the Construction-in-progress (CIP) and the Road Networks accounts, respectively, by the same amounts as of yearend.**

It was noted that the full payment for the Construction of Local Access Road at Sitio Lake Danao was recorded in the TF books as follows:

JEV NO.	ACCOUNT TITLE	DEBIT	CREDIT
2021-04-0117	Due to NGAs	₱6,108,284.96	
	Cash in Bank- LCCA		₱5,665,434.30
	Due to BIR		381,767.81
	Guaranty/Security Deposits Payable		61,082.85
	<i>Full payment to Seven Digit Construction & Trucking Services Corp. for the Construction of Local Access Road, So. Lake Danao</i>		
		₱6,108,284.96	₱6,108,284.96

Likewise, payments of construction materials and labor component of the Improvement of Slaughter House totaling ₱1,886,103.97 were recorded in the TF book as debit to Due to NGAs account, to wit:

Table 7.2 Costs to complete the Improvement of Slaughter House

JEV No.	PARTICULARS	AMOUNT
2020-12-0437	Construction Materials	₱1,386,833.97
2020-12-0438	Wages-November 16-30, 2020	56,460.00
2020-12-0439	Wages-December 1-15, 2020	61,880.00
2020-12-0440	Wages-December 16-29, 2020	52,360.00
2021-02-0046	Wages-January 4-15, 2021	38,500.00
2021-02-0047	Wages-January 4-15, 2021	46,560.00
2021-03-0048	Wages-February 1-15, 2021	46,230.00
2021-03-0049	Wages-February 16-28, 2021	69,700.00
2021-03-0098	Wages-March 1-15, 2021	43,580.00
2021-03-0099	Wages-March 16-31, 2021	49,000.00
2021-04-0119	Wages-April 5-15, 2021	35,000.00
	Total Debits to Due to NGAs Account	₱1,886,103.97

As can be gleaned from the foregoing tables, all expenditures paid against the funds received were recorded as a debit to the Due to NGAs account instead of a debit to an asset account. It must be noted that the Due to NGAs is only debited or closed when there is already a submission of the liquidation report and the purpose of the fund has been fulfilled.

Due to the outright closing of the above expenditures to the Due to NGAs account, the Road Networks and the CIP accounts were understated by ₱6,108,284.96 and ₱1,886,103.97, respectively, as of December 31, 2021. This also resulted in the non-transfer of the completed assets from the TF to the General Fund contrary to Section 104 of MNGAS for LGUs, Volume I.

We recommended that the Municipal Accountant make the necessary adjustments to reflect the correct CIP and Due to NGAs account balances in the Trust Fund books and for the immediate transfer of the completed assets to the General Fund.

The Municipal Accountant commented that she will make the necessary adjustments to correct the balances of the affected accounts.

- c. LGU's Counterpart for the LGSF-AM-Construction of Evacuation Facility Phase I and II totaling ₱17,385,456.60 sourced from its 20% Development Fund and DRRM Fund, was erroneously recorded to the Due to NGAs account, thus overstating that account by the same amount as of yearend.**

The Construction of Evacuation Center at Bgy. Poblacion Phases I and II (Phase I with Design component) was funded by the LGSF-AM. The LGU counterpart for the implementation of Phase I was charged against the 20% DF while LGU counterpart for Phase II was sourced from both 20% DF and DRRMF. Both contracts for Phases I and II were awarded to Futuristic Trading and Construction. Project costs for each Phase are presented below.

	PHASE I	PHASE II	TOTAL
Advance Payment	₱ 2,218,644.76	₱ 3,999,173.30	₱ 6,217,818.06
Total Progress Billings	12,572,320.31	22,661,982.05	35,234,302.36
Totals	₱14,790,965.07	₱ 26,661,155.35	₱41,452,120.42

Details of fund sharing are as follows:

Table 7.3 LGSF and LGU Counterpart for the Construction of Evacuation Center

Date	Reference	Particulars	AMOUNT	RECORDED TO
12/31/17	ADA 2017-Tr4B-0077	LGSF-AM downloaded to LGU	₱13,292,000.00	Due to NGAs
08/01/18	ADA 2018-Tr4B-0065	LGSF-AM downloaded to LGU	7,284,881.00	Due to NGAs
12/19/19	JEV No. 2019-12-000696/ OR No. 8004032	Transfer of funds from 20%DF	1,500,000.00	Due to NGAs (should be credited)

Date	Reference	Particulars	AMOUNT	RECORDED TO
07/15/20	JEV No. 2021-07-000278/ OR No. 8483192	Transfer of funds from MDRRMF Continuing	15,885,456.60	to Trust Liabilities)
08/31/21	JEV No. 2021-08-000249/ OR No. 5912802	Transfer of funds from 20%DF	3,500,000.00	Subsidy from Other Funds (should be credited to Trust Liabilities)
		TOTAL	₱41,462,337.60	

The total LGSF-AM transferred to the Municipality of Taytay by the national government amounted only to ₱20,576,881.00, however the balance of the Due from NGAs pertaining to that project has an ending balance of ₱37,962,337.60 in CY 2021. The excess amount was due to incorrect treatment of the counterpart received by the TF from the GF totaling ₱17,385,456.60, which was recorded as a credit to Due to NGAs instead of Trust Liabilities.

We recommended that the Municipal Accountant make the necessary adjustments to reflect the correct Due to NGAs and Trust Liabilities account balances pertaining to LGSF-AM Construction of Evacuation Facility.

The Municipal Accountant also commented that she will make the necessary adjustments to correct the balances of the affected accounts.

d. Two completed LGSF projects were not supported with complete technical documents contrary to Section 4(6) of the Presidential Decree No. 1445

Post-audit of two completed LGSF projects revealed that the following technical documents were not submitted:

PROJECT NAME	LACKING DOCUMENTS
Rehabilitation, Repair and Improvement of Slaughterhouse	Latest Statement of Work Accomplished (SWA submitted was only for the labor component), Certificate of Completion, Inspection Report, As-built Plans
Construction of Local Access Road, Sitio Lake Danao, Bgy. Poblacion	As Built-Plans

These lacking documents are needed in the conduct of evaluation as to engineering and technical aspects of the projects, inspection/validation of work accomplishments on infrastructure projects and determination of validity of expenditures incurred thereon.

Payment of transactions despite incomplete supporting documents is contrary to Section 4(6) of the P.D. No. 1445 which requires that “Claims against government funds shall be supported with complete documentation.”

We recommended that the Municipal Accountant, in coordination with the Municipal Engineer, immediately submit the lacking documents supporting the payments relative to the implementation of the aforesaid LGSF projects.

The Management agreed to comply with the audit recommendation.

- e. **Fund Transfers from Other National Government Agencies totaling ₱5,840,964.67 remained utilized as of yearend, thereby depriving the intended beneficiaries of the immediate benefits that could have been derived therefrom had the projects been promptly implemented.**

The schedule of the subsidiary ledger balances of the Due to NGAs under the TF books showed the following funds that remained unutilized as of December 31, 2021:

Table 7.4 Unimplemented Projects funded by NGAs

DATE RECEIVED	PROJECT	AMOUNT
Bal. since 2016	BUB 2016 Small Diversion Dam	₱ 840,000.00
Bal. since 2016	Covered Gym 2nd Floor Municipal Extension	1,000,964.67
Bal. since 2017	Pamana Hall	1,500,000.00
01/31/21	DA-Agri-Pinoy Rice Achiever's Award Prize	1,000,000.00
09/30/21	DOLE-Busy Bees Community Bakery Project and Poblacion Fish And Seaweeds Products Processing	1,500,000.00
	TOTAL	₱5,840,964.67

As shown in the above Table, the projects for the first three funds were unimplemented for a long period of time while the last two funds received in CY 2021 remained unutilized as of yearend thus, the objectives/intent of the national government/source agencies in transferring the funds were not achieved.

The failure of the Municipality to fully implement the abovementioned projects/programs within the scheduled time also delayed the benefits that could be enjoyed by the intended beneficiaries and may result in termination of the project/program if not immediately acted upon.

We recommended that the Municipal Mayor direct the MPDC, Municipal Engineer and other implementing offices or focal person assigned to the projects and programs funded by NGAs to act with dispatch on their immediate implementation to avoid cancellation and possible refund of the funds received by the Municipality.

The Management explained that the Small Diversion Dam, Covered Gym and Pamana Hall are no longer doable but the source agency did not approve the intention of the LGU to return the funds. However, the LGU stated that they will communicate with the source agencies for the return of the unutilized balances and will submit to the Audit Team a status report indicating reasons for the non-implementation of the said projects.

Refund of balances of trust receipts to the national treasury

- 8. Unused balances totaling to ₱1,777,131.27 under Trust Fund were not returned to the source agencies after completion of the project contrary to the provisions of Section 4.9 of COA Circular No. 94-013 dated December 13, 1994. Meanwhile, on March 28, 2022, the Municipality refunded to the National Treasury the amount of ₱262,626.04 while the unused balance of BGCM fund as of December 31, 2021 amounted only to ₱184,316.04, hence the over-remittance of ₱78,310.00.**

COA Circular No. 94-013 dated December 13, 1994 prescribes the rules and regulations in the grant, utilization and liquidation of funds transferred to implementing agencies. Section 4.9 thereof provides that *“The Implementing Agency (IA) shall return to the Source Agency (SA) any unused balance upon completion of the project.”*

Item 6.4.8.3 of DILG Memorandum Circular No. 2019-71 dated May 20, 2019 states that *For completed projects, the Municipality shall revert to the BTr the undisbursed funds after the Final Payment as recognized by the Municipal Accountant within the fiscal year.*

Item 3.14 of DBM LBC No. 119 dated July 15, 2019, as amended by LBC No. 199-B dated September 4, 2020, states that *The LGSF-FA to LGUs shall be recorded as trust by the LGUs for the specified purpose(s) for which the funds were received. Funds which remain unutilized as of December 31, 2020 shall be reverted to the National Treasury by the recipient LGUs.*

Contrary to the aforementioned provisions, it was noted that the Due to NGAs account as of December 31, 2021 still included unutilized balances of various completed projects totaling ₱1,777,131.27 which were not yet returned to the source agencies concerned. Details are provided in the following table.

Table 8.1 Unused balances of trust receipts from NGAs

Source Agency	Project/Program	Balance	Remarks
DSWD	SLP Hog Raising	₱175,070.00	Completed in 2021
DTI	GPBP Project	240,000.00	
DA	BUB-2015 Bagsakan Center	942.00	
DA	BUB 2015- Organic Vegetable Production	159,500.00	
DA	BUB 2015- Pancol Food Processing	83,941.00	
DA	BUB 2015- Rice Production	1,700.10	
DA	BUB 2016- Banbanan Birthing Facilities	213,434.00	
DA	BUB 2016- Combine Harvester	2,000.00	Balance since 2017
DA	BUB 2016- Flatbed Dryer	305,500.00	
DA	BUB 2016- Handtractor w/ trailer	28,000.00	
DA	BUB 2016- Integrated Community Food Production	230,380.00	Completed in 2021
DILG	AM 2019 Local Access Road to Bgy. Poblacion	46,715.04	

Source Agency	Project/Program	Balance	Remarks
DOH	Taytay-El Nido Zoning (ILHZ) Health Board	9,120.00	Balance since 2019
DPWH	Liminangcong MPB	166,547.40	Balance since 2017
DOT	Pancol Tourism Viewdeck	68.00	Balance since 2019
BOF	Bureau of Fire	222.70	Completed in 2021
DOLE	DOLE-IVB c/o George Balofinos	50.00	Balance since 2020
DENR	Materials Recovery Facility	55.00	Balance since 2017
DBM	Rehabilitation, Repair and Improvement of Slaughterhouse	113,886.03	Completed in 2021
	Total	₱1,777,131.27	

The Municipality received a grant from the national government in the amount of ₱33,966,422.00 on April 16, 2020. This fund, also known as BGCM, was equivalent to one-month FY 2020 Internal Revenue Allotment (IRA) which will be utilized for the duration of the State of Calamity. A total of ₱33,703,795.96 was charged against the BGCM or a utilization rate of 99.23%, thus leaving a balance of ₱262,626.04 as of December 31, 2020.

On November 2021, the Municipal Accountant recorded an adjusting entry amounting to ₱78,310.00 to correct the previous entries made in CY 2020 on the erroneous charging of wages to the General Fund. This amount was in addition to the total expenditures against the BGCM, thus leaving a balance of ₱184,316.04 for BGCM. However, the refund made by the LGU to the national treasury on March 28, 2022 amounted to ₱262,626.04, hence an over-remittance of ₱78,310.00.

We recommended that the Municipal Mayor, (a) thru the Municipal Accountant, review the Memoranda of Agreement pertaining to the aforesaid unutilized balances of completed projects and communicate with the source agencies for the immediate return of such balances; and (b) carefully review the total utilization of the trust receipts to avoid excessive refund to the source agency and/or national treasury.

The Municipal Mayor has directed the Municipal Accountant and other concerned offices to act jointly and abide by the recommendations of the Audit Team and coordinate directly with the source agencies to cause the return of the unutilized balances immediately.

Non-implementation of audit recommendations on a private building located in the public market site

- A private/commercial building under the name of Municipal General Services Officer was allowed to occupy an area or operate business within the public market site, a land owned by the Republic of the Philippines and administered by the Municipality of Taytay, without valid tenurial instrument contrary to the provisions of Section 4(2) of the Presidential Decree No. 1445 and Section 89(a)(5) of the Republic Act No. 7160.**

Based on the Tax Declaration (TaxDec) of the land in Barangay Poblacion where the Municipal Public Market is located, the real property is owned by the Republic of the Philippines, of which the beneficial use thereof has been granted to the MGTP. As already communicated thru AOM No. T-19-007 (2018) dated May 9, 2019 duly received by the Management on May 21, 2019, a commercial building situated within the public market site was issued with TaxDec in CY 2014 under the name of Engr. Manuel O. Confesor, Municipal General Services Officer (GSO) of the Municipality of Taytay despite absence of a Contract of Lease or other tenurial instrument.

Despite the prior audit observation, it was noted on the Assessment Roll as of February 9, 2022 that a new TaxDec (with effectivity in CY 2019) for the said commercial building located in the public market site, with Property Identification No. (PIN) 066-23-001-22-001-(1005), is still under the name of the Municipal GSO, Engr. Confesor.

Pursuant to Section 490(b)(3)(i) of R.A. No. 7160 or the Local Government Code of 1991, it is the duty of the GSO to take custody of and be accountable for all properties, real or personal, owned by the LGU and those granted to it in the form of donation, reparation, assistance, and counterpart of joint projects. Allowing a private building or structure to occupy a government's land without valid tenurial instrument, considering that the administrator/beneficial user is the LGU Taytay, conflicts with the duty of a GSO. Such condition also contravenes the principle provided for under Section 4(2) of the P.D. No. 1445 which states that "*Government xxx property shall be xxx used solely for public purposes*" and is also a violation of Section 89(a)(5) of R.A. No. 7160 which provides that "*It shall be unlawful for any local government official or employee, directly or indirectly, to possess or use any public property of the LGU for private purposes.*"

It was also mentioned in the previously issued AOM that the said building consisted of stalls occupied by 15 stallholder in CY 2018, of which only three had business permits and paid business taxes on that year. There was no record of collection of rental fees for the public market lot, building permit fees, business taxes and business permit fees as lessor and real property taxes on the building from Engr. Confesor in CY 2018.

To have an update on the action taken by the Management on the said AOM, the Audit Team sent a letter to the Management dated January 31, 2022, requesting for the submission of the following documents:

1. Certified copy of the Contract of Lease or other tenurial instrument for the building under the name of Engr. Confesor and the Lease Agreements with the occupants/stallholders and their business permits, if any;
2. Proof that the TaxDec of the building located in the public market site under the name of Engr. Confesor is already transferred under the name of the MGTP, including certified copy of the cancellation of his TaxDec, if any; and
3. Record of collection of rental fees, business taxes and business permit fees as lessor and real property taxes on building from Engr. Confesor duly certified by the Municipal Treasurer.

As of this writing, only the list of stallholders, copies of Mayor's permit and lease agreements/contracts pertaining to the public market building owned by the LGU were submitted and none of the documents related to the building declared under the name of GSO Confesor was provided to the Audit Team.

The observation on the public market lot being occupied by the building under the name of GSO Confesor was included in Finding No. 11 of CY 2018 Annual Audit Report (AAR) on the Municipality, with audit observation and recommendation provided below.

Private persons were allowed to construct houses, buildings and other structures and conduct business within the public market site and in the reclamation project of the municipal government without valid tenurial instruments, building permits and business permits contrary to Sections 301 and 302 of P.D. No. 1096 or the National Building Code of the Philippines (NBCP) and Articles A and C, Chapter III, Sangguniang Bayan (SB) Ordinance No. 269-A, series of 2017 or the Revised Municipal Revenue Code of Taytay, Palawan (2017), thus rental fees, taxes and other revenues due the municipal government were not collected.

We recommended that the concerned municipal government officials a) institute legal proceedings for the removal of the illegally constructed structures and for the collection of taxes and revenues due the municipal government; and b) apprise the Audit Team of the actions taken by each office on subject structures and businesses from the start of construction and business operation up to present. Filing of appropriate administrative and criminal charges against municipal government officials who failed to perform their duties and thus responsible for the use of government properties for private purposes and proliferation of illegally constructed structures in the municipal government properties is likewise recommended.

In the years 2020 and 2021, the Audit Team followed up the submission of the Municipality's action plan and status of implementation (AAPSI) of the audit recommendations embodied in the prior years' AARs, of which the above finding and recommendation was also included. Neither action plan nor status report was submitted to the Audit Team except for the Management comment on June 25, 2021 which says that *"The subject structures are under the jurisdiction of the Philippine Reclamation Authority (PRA) and such legal proceedings should emanate from the said national agency"*. On December 7, 2021, the Audit Team requested again for information on the status of implementation and proof of LGU's compliance to the aforementioned audit recommendations. The Municipal Mayor informed the Audit Team, thru a letter dated January 7, 2022, that *following the cease-and-desist order of the Philippine Reclamation Authority (PRA) dated April 16, 2019, up to even date, the Municipal Government of Taytay did not allow, even one private individual or corporation, to undertake any further reclamation works or activities within the Barangay Poblacion*. The Management also

provided the Audit Team a copy of their letter to the General Manager of the PRA dated December 16, 2021 requesting for reconsideration of the LGU's application and renewal of the Memorandum of Understanding (MOU) signed by the LGU Taytay and PRA on January 30, 2018 as well as the copy of PRA's reply to the LGU Taytay dated March 3, 2022, advising the latter to comply with the requirements of Sections 4.1 and 5.1 of the PRA Administrative Order (A.O.) No. 2019-4 in relation to the LGU's application for the Phase 2 reclamation project and to conform with the requirements for the presidential proclamation and titling of the existing reclaimed land (Phase 1) pursuant to PRA A.O. No. 2021-01 dated February 15, 2021 and DENR A.O. No. 2018-14 dated July 10, 2018.

Moreover, as a reply to AOM No. T2022-01 dated March 1, 2022 regarding the non-submission of the Agency Action Plan and Status of Implementation (AAPSI) for the prior years' audit recommendations, the Management also replied that *"Given the fact that jurisdiction over reclamation projects fall under the PRA, a letter addressed to the PRA's General Manager and CEO was submitted on December 16, 2021 which sought assistance on the appropriate course of action on the matter."* From CY 2019 up to this date, the Management failed to submit the LGU's action plan and the status of implementation of the audit recommendation. The Management's comments always pertain only to the structures located in the reclamation area and was keeping mum about the actions taken to address the issue on the private/commercial building located in the public market site.

Several business establishments continue to operate in the reclamation area even in the absence of tenurial instruments and building permits. Based on the Assessment Roll dated February 9, 2022, there are 31 commercial buildings and 14 residential buildings constructed and four (4) machineries installed in the existing reclaimed land *(Detailed list was provided to the Management.)*

As to the reclaimed land (Phase 1) that is still under the jurisdiction of the PRA, the issue on the illegal structures existing in that area should be at the proper disposition of the PRA, DENR (environmental aspect) and PNP (in the case of implementing the cease-and-desist order). However, since the LGU, as stated in the letter dated December 16, 2021 addressed to PRA, signified its intention to reapply for the reclamation project on a site which was already occupied by various structures without tenurial instruments, the Audit Team would still like to emphasize the following provisions:

National Building Code of the Philippines states that:

Section 301. Building Permits.

No person, firm or corporation, including any agency or instrumentality of the government shall erect, construct, alter, repair, move, convert or demolish any building or structure or cause the same to be done without first obtaining a building permit therefor from the Building Official assigned in the place where the subject building is located or the building work is to be done.

Section 302. Application for permits.

In order to obtain a building permit, the applicant shall file an application therefor in writing and on the prescribed form from the Office of the Building Official. Every application shall provide at least the following information:

- (2) **Certified true copy of the TCT covering the lot on which the proposed work is to be done. If the applicant is not the registered owner, in addition to the TCT, a copy of the **contract of lease** shall be submitted;***

Article A, Chapter III of the 2017 Revised Revenue Code of Taytay provides:

*Section 1 **Mayor's Permit.** – All persons are required to obtain a Mayor's Permit for the privilege of conducting business within the municipality.*

Section 5. Administrative Provisions. – (b) Application for Mayor's Permit. An application for a Mayor's Permit shall be filed with the Office of the Municipal Mayor. The form for the purpose shall be issued by the same Office and shall set forth the requisite information including the name and residence of the applicant, the description of business or undertaking that is to be conducted, and such other data or information as may be required.

1. For a newly started business

k. Contract of Lease, if leasing

l. Certificate of Inspection from building official

Section 444(b)(3)(vi) of R.A. No. 7160 states the following power of the Municipal Mayor:

*For efficient, effective and economical governance the purpose of which is the general welfare of the municipality and its inhabitants pursuant to Section 16 of this Code, the municipal mayor shall: (vi) Require owners of illegally constructed houses, buildings or other structures to obtain the necessary permit, subject to such fines and penalties as may be imposed by law or ordinance, or to make necessary changes in the construction of the same when said construction violates any law or ordinance, or to **order the demolition or removal of said house, building or structure within the period prescribed by law or ordinance;***
(emphasis supplied)

Granting that the LGU has not yet acquired absolute ownership or beneficial use over the existing reclamation site and that the authority over the subject land still remains under the jurisdiction of the PRA, the Municipal Government of Taytay is expected to take actions needed to safeguard its interest considering the LGU's intention to resubmit application to the PRA for the undertaking of reclamation project (Phase 2) and for

acquiring presidential proclamation and titling of the existing reclaimed land (Phase 1) in favor of the Municipality.

We recommended that the:

- a. Municipal Mayor and the Municipal General Services Officer render a satisfactory written justification on the continued existence of private commercial building owned by the GSO, Engr. Confesor on the public market site as well as the failure of the Management to take action against the use of government property for private purpose;**
- b. Municipal Mayor and the Municipal Engineer strictly observe the requirements on the issuance of business and building permits particularly the mandatory tenurial instrument in order to stop proliferation of illegally constructed buildings/structures;**
- c. Municipal Treasurer and the Market Supervisor immediately submit the (i) updated list of actual occupants of the said private commercial building in the public market site; (ii) certified copies of contract of lease or other tenurial instrument for the building under the name of Engr. Confesor and/or lease agreements with the occupants/stallholders and their business permits; and (iii) record of rental fees, business taxes and business permit fees collected from Engr. Confesor on leasing his commercial building; and**
- d. Municipal Mayor fast track the LGU's application to the PRA and compliance to the requirements laid down by the PRA A.O. Nos. 2019-4 and 2021-01 for undertaking the reclamation project (Phase 2) and acquiring legal rights/title over the existing reclaimed land (Phase 1).**

The Management, in their reply dated May 20, 2022, stated that the private building declared in the name of Engr. Confesor was constructed sometime in year 2005 in the area declared as swampland (marine zone) and owned by the Republic of the Philippines. It was only in year 2006, after the construction of the Taytay Public Market, that the same area was declared in the name of the Municipal Government of Taytay, Palawan (MGTP). Engr. Confesor's building was built before the MGTP laid claim to the area, hence it cannot be said that the construction was allowed by the MGTP. The Management deemed that it was not within its ambit to demand statutory compliance from an entity beyond its legal bounds. The MGTP also commented that the Tax Declaration (TaxDec) is for taxation purposes only and it does not and cannot by itself alone confer any ownership or legal title to the property. According to the Municipal Assessor, in the previous years, the only requirements for the issuance of TaxDec are the sworn statement of the fair market value of the property and an ocular inspection. This was in accordance with the memorandum issued by the Provincial Assessor's Office which they only complied with. It was only after receipt of the AOM that they require the building permit and tenurial instrument for the issuance of TaxDec.

Moreover, the Management commented that they cannot secure the documents pertaining to actual occupants of the said private commercial building in the public market site as requested by the Audit Team from the Municipal Treasurer and the Market Supervisor since they deemed it inappropriate to request or demand such documents from personalities which the LGU has no jurisdiction.

During the exit conference on June 16, 2022, GSO Confesor stated that he will submit a map showing the location of the subject property under his name. According to the Municipal Accountant, GSO Confesor will waive his rights over the building and turn it over to the MGTP, however, the GSO has yet to settle first the taxes and penalties due from him. The Management committed to ensure that GSO Confesor will immediately pay the taxes and penalties due and the Municipal Assessor afterwards will process the transfer of the TaxDec in the name of MGTP, in coordination with the Provincial Assessor. On June 23, 2022, a copy of the real property tax receipt dated June 21, 2022 evidencing the total payment of ₱65,075.64 for the land declared as owned by GSO Confesor was submitted to the Audit Team (name of payee in the OR was unreadable).

The Management also stated that following the cease-and-desist order dated April 16, 2019 issued by the PRA, no other private individual or corporation was allowed to undertake any reclamation activities or construction works in the reclaimed area. They also commented that the MGTP was already taking the necessary steps to acquire legal rights over the existing reclamation area to determine the exact boundaries of the 2,316 square meters land. To fast track the application from the PRA, the MGTP, thru the Municipal Mayor, appropriated an amount needed to carry out the plan of availing the provisions of the PRA A.O. Nos. 2019-4 and 2021-01. According to the Municipal Mayor, the team he created to focus on complying the reclamation requirements was sent to Manila to make representations with the PRA. The Municipal Budget Officer, who is also a member of the said team, informed the Audit Team that the PRA already accepted the intention of the MGTP's resubmission of their application for the existing reclamation area and its processing is underway.

For the issuance of business and building permits, the Management committed to comply with the audit recommendations.

Auditor's Rejoinder

The Management's statement that it cannot be said that the construction was allowed by the MGTP because the private building owned by GSO Confesor was built before the MGTP laid claim on it was misplaced. As already mentioned, an audit observation regarding this matter was already issued in year 2019, however, the Management failed to act on this and still allowed the said commercial building to occupy the area and operate business within the public market site. For so many years, the MGTP already knew that the building is without valid tenurial instrument, yet no action was taken for the reason that GSO Confesor has unpaid taxes and penalties, but we also noted how

swiftly GSO Confesor paid the taxes of ₱65,075.64 immediately after the exit conference conducted on June 16, 2022.

The building was easily named in favor of GSO Confesor without any requirements or proof of ownership or tenurial instruments, yet its transfer to the LGU is hindered just because of unpaid property taxes. This is an indication of the failure of the Municipal Mayor and the Municipal Engineer to exercise the power and duties given to them pursuant to Section 444(b)(3)(vi) of R.A. No. 7160, 2017 Revised Revenue Code of Taytay and the National Building Code of the Philippines.

As to the non-submission of the documents pertaining to actual occupants of the subject private commercial building in the public market site, the Management deemed it inappropriate to request or demand such documents from personalities which the LGU has no jurisdiction. With this, the Management is hereby reminded of the following provisions of 2017 Revised Revenue Code of the Municipality:

Section 4(d), Article F of Chapter II- Upon payment of the tax levied, any person engaged in business subject to the business tax paid based on gross sales and/or receipts shall submit a sworn statement of his gross sales/receipts for the preceding calendar year or quarter in such a manner and form as may be prescribed by the Municipal Treasurer. Should the taxpayer fail to submit a sworn statement of gross sales or receipts due among others to his failure to have a book of accounts, records or subsidiaries for his business, the Municipal Treasurer or his authorized representatives may verify or assess the gross sales or receipts of the taxpayer under the best available evidence upon which the tax may be based.

Section 1, Article A of Chapter III- All persons are required to obtain a Mayor's permit for the privilege of conducting business within the municipality

Section 5, Article A of Chapter III- (a) The Municipal Mayor shall supervise and regulate all establishments and places where business is conducted. Xxx. (b) [requirements for application of Mayor's Permit] xxx, Contract of lease, if leasing and Certificate of Inspection from building official, xxx. A Mayor's Permit shall not be issued to Any person who has unsettled tax obligation, debt or other liability to the government.

The requested documents, if existing and available, could have been easily provided by the Management since per records, the owner is GSO Confesor, who is also employed by the MGTP. The Audit Team would like to emphasize again that allowing the GSO's private building in the government's land, of which the MGTP is the administrator/beneficial user, without valid tenurial instrument is in conflict with the duty of a GSO and a violation of Section 89(a)(5) of R.A. No. 7160.

Implementation of Taytay Municipal-wide Water Systems Development Project

10. Eight audit recommendations from Finding No. 4 of the CY 2017 Annual Audit Report pertaining to the procurement and implementation of the Taytay Municipal-wide Water System Development Project (TMWSDP) remained unimplemented as of December 31, 2021.

On February 15, 2018, Audit Observation Memorandum (AOM) No. T-18-002(2017) was issued to the MGTP, communicating therein the results of the audit and evaluation of the procurement and implementation of the Taytay Municipal-wide Water System Development Project (TMWSDP) with total Approved Budget for the Contract (ABC) of ₱195,550,000.00. Eight audit observations and recommendations of the said AOM were also incorporated in the CY 2017 Annual Audit Report (AAR), to wit:

Finding No. 4 of CY 2017 AAR - Several deficiencies were noted in the implementation of the TMWSDP with total approved budget of ₱195,550,000.00.

- 4.a Use and development of water sources of the twenty-three water supply systems that constitute the TMWSDP were not supported with valid water permits from the National Water Resources Board (NWRB) contrary to Article 13 of P.D. No. 1067 or The Water Code of the Philippines.

We recommended for the municipal government, through the Municipal Mayor, immediately secure the required water permits from the NWRB and submit authenticated copies thereof to the Auditor.

- 4.b The municipal government started to operate and maintain the Timburan River Water System, provide water supply service to individual households in Barangays Pamantolon and Poblacion and charge rates therefor without first securing Certificate of Compliance and approved water rates/tariffs from NWRB contrary to Sections 17 to 19 of the Revised IRR of PD No. 1067 (Water Code of the Philippines) and Sections 13 to 15 of Commonwealth Act No. 146 or the Public Service Act.

We recommended for the municipal government, through the Municipal Mayor, to 1) submit the plans, specifications and implementation schedules of the twenty-three water supply systems to the NWRB for approval and secure duly approved copies thereof to be used as reference in project monitoring and in NWRB, MDFO and COA-Technical Audit Specialist (TAS) project inspection; 2) immediately request for NWRB inspection of the completed water supply systems and obtain Certificates of Compliance therefor; and 3) review and submit the water tariffs proposal to the NWRB for approval.

- 4.c The terms of the Subproject Loan Agreement (SPLA) between the municipal government and the Municipal Development Fund Office (MDFO) on the use of loan proceeds, loan releases and project implementation were not complied with.

We recommended for the municipal government, through the Municipal Mayor, to immediately request for the necessary amendment of the SPLA, identify the Level II and III water systems in the amended SPLA and submit for reference in audit authenticated copies of the 1) amended SPLA; 2) Program of Works used as basis for the cost allocation in Annex 2 of the SPLA dated September 8, 2016; 3) BSP Monetary Board opinion on the monetary and balance of payments implications of subject domestic borrowing of the municipal government in compliance with Section 123 of RA No. 7653 (the New Central Bank Act) and BSP Circular No.769 dated September 26, 2012; 4) certification on the debt service and borrowing capacity of the municipal government obtained from the Department of Finance – Bureau of Local Government Finance (DOF-BLGF); and 5) Executive Order establishing the Subproject Implementation Unit in accordance with Section 5.2(d)(1) of the SPLA.

- 4.d The municipal government implemented “by administration” the TMWSDP with a total approved budget of ₱190,550,000.00 without meeting the conditions and requirements for the use of “by administration” mode of implementing infrastructure projects set forth in Section 3.0, Annex A of the GPPB Resolution No. 018-2006 dated December 6, 2006 as amended.

We recommended that the Municipal Mayor together with the Bids and Awards Committee (BAC), the Municipal Engineer and the Municipal Planning and Development Coordinator 1) re-evaluate the economic, financial and technical viability of the TMWSDP; 2) review the implementation and procurement methods adopted for the project and the terms of contracts entered in relation thereto; and 3) inquire on the legal implications and advisability of availing the remedy of contract termination for convenience as provided under Section III.B of Annex A of GPPB Resolution No. 018-2004 dated December 22, 2004 should this proved to be in the best interest of the municipal government.

- 4.e The use of the Agency-to-Agency mode of procurement for the labor, equipment rental and engineering superintendence components of the TMWSDP was not in accordance with the provisions of Annex A of GPPB Resolution No. 18-2007 dated May 31, 2007, as amended.

We recommended that the Municipal Mayor together with the BAC and the Municipal Engineer 1) re-evaluate the procurement method adopted and the PGP’s qualification as a servicing agency; 2) review the terms

of the Agency-to-Agency Agreement for necessary amendments; and 3) furnish the Auditor copies of the aforementioned documents necessary for evaluation of compliance of the conditions set forth in Section 5 of Annex A of GPPB Resolution No. 18-2007 dated May 31, 2007, as amended.

- 4.f The municipal government failed to present proof of posting of Notice of Award, Notice to Proceed and Contract for the material component of the TMWSDP and proof of posting of Notice of Award under the Agency-to-Agency Agreement for its labor and overhead components contrary to the provisions of Section 37.1.6 and 37.4.2 of the Revised IRR of RA No. 9184 and Section 6.f of Annex A of GPPB Resolution No. 018-2007 dated May 31, 2007, as amended.

We recommended for the immediate submission of the printout copies of postings in the PhilGEPS and certification from the Head of the BAC Secretariat on posting at conspicuous place in the municipal government's premises of the subject Notices of Award, Notice to Proceed and Contract. Henceforth, we recommend for the municipal government, through the BAC, to see to it that the provisions of RA No. 9184 and its IRR on advertisement and posting of procurement-related notices are complied with.

- 4.g Copies of contracts, technical documents and delivery/acceptance reports on the TMWSDP were not submitted to the Auditor within the prescribed period contrary to the provisions of Sections 3.1.1 and 3.1.3 of COA Circular No. 2009-001 dated February 12, 2009 and Section 6.9 of COA Circular No. 2009-002 dated May 18, 2009, thereby preventing timely review, evaluation, inspection and communication of any deficiencies found in audit.

We recommended for the immediate submission of the required technical and detailed engineering documents and of an accounting of the remaining materials amounting to ₱115,163,465.30 which should have been fully delivered by Atlanta Industries Inc. as of March 14, 2017. Henceforth, we recommend strict adherence to the provisions of COA Circular No. 2009-001 dated February 12, 2009 and Section 6.9 of COA Circular No. 2009-002 dated May 18, 2009.

- 4.h The water supply system was not duly established as a public utility and no special account and separate financial statements were prepared for its operation contrary to the provisions of Section 313 of RA No. 7160, Sections 105, 107 and 110, NGAS Manual for LGUs, Volume I and the 2008 DBM Budget Operations Manual for LGUs.

We recommended for the Municipal Accountant to maintain separate books of accounts and prepare separate financial statements for the water supply system and other duly created public utilities and economic enterprises of the municipal government. The budget for public utilities and economic enterprises should likewise be presented separately in the Annual Budget in accordance with the provisions of DBM LBC No. 112 dated June 10, 2016. We further recommend that the guidelines for the setting up and operation of public utilities and local economic enterprises now contained in DBM LBC No. 111 dated June 10, 2016 be strictly observed.

In the years 2020 and 2021, the Audit Team followed up the submission of the Municipality's action plan and status of implementation (AAPSI) of the audit recommendations embodied in the prior years' AARs, of which the aforementioned findings and recommendations were also included, yet no AAPSI was submitted. On May 16, 2022, the Audit Team requested again for information on the status of implementation. As proof of LGU's compliance to the said audit recommendations, the Management was required to submit the authenticated copies of the following:

1. Water Permits from the National Water Resources Board (NWRB)
2. Approval from NWRB of the plans, specifications, and implementation schedules of the twenty-three water supply systems
3. Certificate of Compliance issued by the NWRB for the completed structures
4. NWRB-approved Water Tariffs
5. Amended Subproject Loan Agreement (SPLA) between the MGTP and Municipal Development Fund Office (MDFO)
6. Program of Works used as basis for the cost allocation in Annex 2 of the SPLA dated September 8, 2016
7. Authenticated BSP Monetary Board opinion on the monetary and balance of payments implications of subject domestic borrowing of the municipal government in compliance with Section 123 of RA No. 7653 and BSP Circular No.769 dated September 26, 2012
8. Certification on the debt service and borrowing capacity of the municipal government obtained from the DOF-BLGF;
9. Executive Order establishing the Subproject Implementation Unit in accordance with Section 5.2(d)(1) of the SPLA
10. Amendments on the Agency-to-Agency Agreement between the MGTP and Provincial Government of Palawan (PGP), if any
11. Proof of posting of the Notices of Award, Notice to Proceed and Contract in the PhilGEPS website of the procurement of the material and labor component of the project, if any
12. Plans and Drawings for the following:

Surface water sources 1. Alacalian River WS • Site Plan • Spillway	Groundwater sources (cont.) 15. Debangon Deepwell WS • Site Section • Site Development Plan
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2. Banbanan Falls WS • Site Plan • Spillway 3. Bilaran Falls WS (Calawag) • Site Plan • Spillway and Riprap Concreting 4. Canique Falls WS (Pularaquen) • Site Plan • Spillway 5. East Danao Lake WS Phase II (Bantulan and Biton) • Site Plan (Biton) • Site Section • Site Development Plan • Solar Water Pumping Station • Concrete Elevated Tank (Biton) • Lumber Bridge 6. Ilotan River WS (Pancol) • Site Plan • Spillway and Riprap Concreting 7. Malinao River WS (Busy Bees and Sandoval) • Site Plan • Pipe Layout - Sandoval • Spillway and Riprap Concreting 8. San Jose River WS • Site Plan • Spillway and Riprap Concreting • Diversion Channel • Chlorinator House • Perimeter Fence • Guard House 9. Timburan (Poblacion) River WS (Pamantolon, Poblacion and Pularaquen) • Pipe Layout – Pularaquen 10. Toytoyin Falls WS (Cataban, Bagong-Bayan, Aberawan and Bebeladan) • Site Plan • Pipe Layout–Bagong-Bayan, Aberawan and Bebeladan • Spillway • Guard House 11. West Danao Lake WS (Poblacion, Bato, Abongan and Libertad) • Site Plan (Bato, Abongan and Libertad) • Site Section (Bato, Abongan and Libertad) • Site Development Plan • Multimedia Filter (Bato, Abongan and Libertad) • Chlorinator House • Lumber bridge • Solar Water Pumping Station • Guard House • Perimeter Fence Groundwater sources 12. Baras Deepwell WS	• Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House 16. Depla Deepwell WS • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House 17. Liminangcong Deepwell WS (Liminangcong and Tumbod) • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House 18. Maytegued Deepwell WS • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House 19. Menapla Deepwell WS • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House 20. New/Old Guinlo Deepwell WS • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House 21. Paly Deepwell WS • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House 22. Silangga Deepwell WS • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence
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• Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House	• Guard House
13. Batas Deepwell WS • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House	23. Talog Deepwell WS (Talog and Paglaum) • Site Section • Site Development Plan • Solar Water Pumping Station • 60 cu.m. Ground Tank (Paglaum) • Chlorinator House • Perimeter Fence • Guard House
14. Casian Deepwell WS • Site Section • Site Development Plan • Solar Water Pumping Station • Chlorinator House • Perimeter Fence • Guard House	

13. Complete set of detailed engineering outputs as required under Annex A of the Revised I.R.R. of R.A. No. 9184

14. Inspection and Acceptance Report (IAR) and Delivery Receipts for the materials procured from Atlanta Industries Inc. (for the remaining undelivered materials amounting to ₱107,106,795.32)

As of this writing, the MGTP has yet to comply with the letter-request of the Audit Team. Non-submission of the AAPSI for the audit recommendations pertaining to TMWSDP hindered the Audit Team from evaluating the actions taken by Management, if any, relative to its implementation.

We recommended that the Municipal Mayor, as the agency head, direct the concerned department heads to submit written justification on the non-submission of the information on the actions taken by the MGTP and/or reasons for non-implementation, otherwise, provide proof of compliance to the audit recommendations indicated in Finding No. 4 of CY 2017 AAR.

The Management commented during the exit conference that some of the audit recommendations can no longer be implemented because they are now planning to rescind the Agency-to-Agency contract with the PGP. The MGTP will discuss with the new administration of the PGP regarding the expected several changes of the agreement and is planning to implement the remaining projects thru straight contract. The Management also informed the Audit Team that only the implementation of the seven projects from the original 23 WS will be continued.

As for the recommendation on the amendment of the Sub-project Loan Agreement (SPLA), the Management commented that the original loan amount will no longer be availed and only a total loan proceeds of ₱95,358,855.55 was downloaded to the LGU,

which was intended for completion of the seven WS. Amendment of the SPLA is no longer possible because the MDFO was already abolished and the Land Bank of the Philippines is only a collecting agent for the loan agreements executed by the MDFO.

Further, the Municipal Accountant explained that she could not provide separate financial statements for the operation of the water supply system and treat it as a special account since it was not yet established as a public utility by the MGTP, thru the Sanggunian. The Management also informed the Audit Team that the expenditures incurred in relation to the operations of these WS were still funded by the General Fund proper while the collections from the WS already operating were maintained in the Trust Fund books since there was still no clear agreement on the management of the WS and no usufruct or legal right was granted to the MGTP as of this date. According to the Municipal Administrator, the plant is owned by the PGP and only the distribution lines were owned by the MGTP.

During exit conference, the Management also committed to submit the water permit for the Pamantolon WSS. In their letter reply submitted on June 23, 2022, the Municipal Mayor stated that directives have been given to the concerned department heads. The audit recommendations were well taken by the concerned offices, however, they requested for ample time to fully implement the other recommendations. The Management assured the proper monitoring of strict compliance with the said recommendations to avoid future procedural lapses in the implementation of the pertinent existing laws, rules and regulations.

11. Several deficiencies were noted in the procurement, implementation and disbursements pertaining to Taytay Municipal-Wide Water System Development Project with total approved budget of ₱195,550,000.00 financed by MDFO loan, the amortization and interests of which were paid out of the 20% Development Fund.

As mentioned earlier, the TMWSDP is a construction of Level II and III water supply system (WSS) consisting of twenty-three (23) water sources. Presented in Table 11.1 are the locations, intended service areas and the ABC of each WSS.

Table 11.1 Schedule of Taytay Municipal-Wide Water System Development Project

Water System (WS)	ABC	Materials	Labor, Equipment Rental and OCM
Surface water sources			
1. Alacalian River WS	₱ 3,864,000.00	₱ 3,075,719.70	₱ 788,280.30
2. Banbanan Falls WS	3,822,000.00	3,044,400.01	777,599.99
3. Bilaran Falls WS	6,763,000.00	5,398,076.07	1,364,923.93
4. Canique Falls WS	4,355,000.00	3,454,496.45	900,503.55
5. East Danao Lake WS Phase II	12,504,000.00	10,454,495.83	2,049,504.17
6. Ilotan River WS	4,151,000.00	3,305,830.74	845,169.26
7. Malinao River WS	4,217,000.00	3,347,281.00	869,719.00
8. San Jose River WS	3,445,000.00	2,738,604.92	706,395.08
9. Timburan (Poblacion) River WS	4,431,000.00	3,609,578.34	821,421.66

Water System (WS)	ABC	Materials	Labor, Equipment Rental and OCM
10. Toytoyin Falls WS	3,383,000.00	2,680,139.42	702,860.58
11. West Danao Lake WS	45,255,000.00	36,187,063.43	9,067,936.57
Ground water sources			
12. Baras Deepwell WS	5,820,000.00	4,581,192.54	1,238,807.46
13. Batas Deepwell WS	5,710,000.00	4,465,420.85	1,244,579.15
14. Casian Deepwell WS	11,250,000.00	8,852,866.30	2,397,133.70
15. Debangan Deepwell WS	4,950,000.00	3,842,143.25	1,107,856.75
16. Depla Deepwell WS	5,120,000.00	3,986,843.02	1,133,156.98
17. Liminangcong Deepwell WS	15,060,000.00	12,083,517.13	2,976,482.87
18. Maytegued Deepwell WS	6,085,000.00	4,808,518.20	1,276,481.80
19. Minapla Deepwell WS	4,962,000.00	3,851,110.05	1,110,889.95
20. New/Old Guinlo Deepwell WS	8,800,000.00	7,111,400.18	1,688,599.82
21. Paly Deepwell WS	9,343,000.00	7,574,961.38	1,768,038.62
22. Silangga Deepwell WS	5,167,000.00	4,029,950.48	1,137,049.52
23. Talog Deepwell WS	12,093,000.00	9,914,995.04	2,178,004.96
Total	₱190,550,000.00	₱152,398,604.33	₱38,151,395.67

To finance the project, the MGTP obtained a loan from the Municipal Development Fund Office (MDFO) of the Department of Finance (DOF) in the amount of ₱190,553,000.00, which was approved by the MDFO on May 29, 2015 and was covered by a Sub-project Loan Agreement (SPLA) dated September 8, 2016.

In implementing the said project, the MGTP separated the procurement of the materials and labor components. The materials with a total ABC of ₱152,398,604.33 (see Table 11.1) were procured through public bidding and the bid of Atlanta Industries, Inc. amounting to ₱145,201,377.30 was declared as the single calculated and responsive bid by the MGTP Bids and Awards Committee (BAC). The Notice of Award (NOA) was received by Atlanta Industries Inc. on March 9, 2016. Thereafter, MGTP and Atlanta Industries Inc. entered into a Contract on March 17, 2016 for the delivery of materials amounting to ₱145,201,377.30 and the Notice to Proceed (NTP) was received by the supplier on March 23, 2016.

The labor, equipment rental and engineering superintendence components were procured through negotiated procurement under Section 53(e) of R.A. No. 9184 referred to as Agency-to-Agency Agreement. On March 2, 2016, the MGTP represented by the former Mayor, Romy L. Salvame, entered into an Agency-to-Agency Agreement with the Provincial Government of Palawan (PGP) represented by the Governor, wherein the PGP as servicing agency, would provide for the manpower in the construction of the project through the employment of in-house labor, job orders or pakyaw contracting system. The contract amount of ₱38,151,395.68 indicated in the Agency-to-Agency Agreement pertains to the labor, equipment rental and overhead, contingencies and miscellaneous (OCM) components of the project per approved Program of Works (POW) (see Table 11.1).

The MGTP entered into a PGP-Taytay Water System Joint Management Memorandum of Agreement with the PGP on April 6, 2017 relative to the joint management of the water system.

Several deficiencies noted in the evaluation of the implementation of the TMWSDP are as follows:

- a. **Of the 23 water supply systems (WSS), six are still on-going while 17 remained unimplemented as of December 31, 2021, indicating that the TMWSDP was not implemented in accordance with the project duration indicated in the POWs and project implementation schedule provided in the Feasibility Study, which is part of the Agency-to-Agency Agreement signed by and between the MGTP and PGP.**

In the implementation of the Agency-to-Agency Agreement with the PGP for the labor, equipment rental and engineering superintendence components of the TMWSDP with a total contract of ₱38,151,395.67, the following expenditures for the said project as of December 31, 2021 are as follows:

Table 11.2 Implementation Schedule and Actual Project Accomplishment

JEV NO.	DATE	PARTICULARS	NET AMOUNT
05-610-17	05/08/17	Advances to Contractors	₱5,722,709.35
2020-10-6481	10/30/20	1st progress billing- labor component (₱7,187,044.01 net of ₱5,722,709.35 advance payment)	1,464,334.66
		TOTAL	₱7,187,044.01

The MGTP paid an advance payment of ₱5,722,709.35 equivalent to 15% of the contract of ₱38,151,395.67 even without legal basis. Neither the guidelines for Pakyaw Contracting System nor the Agency-to-Agency Agreement allows the advance payment of 15% of the contract amount. It is only allowed for the procurement for goods, services and infrastructure projects for mobilization. It must be emphasized that the agreement with the PGP was not the entire infrastructure project but only the labor component. Even if the provision for the advance payment for infrastructure projects will be applied in this case, the MGTP still violated the provision of Item 4.2, Annex E of the Revised I.R.R. of R.A. No. 9184 for not requiring the PGP to submit an irrevocable standby letter of credit of equivalent value from a commercial bank, a bank guarantee or a surety bond callable upon demand, before releasing the payment.

The disbursement voucher and supporting documents for the payment of the first progress billing of the PGP was only submitted to the Audit Team on June 18, 2021, in compliance with the AOM issued on June 3, 2021 regarding unsubmitted transaction documents. Although the advance payment was already fully recouped from the first progress billing of the PGP, it must be noted that the construction of the 23 WSS projects were already beyond their respective target completion date, yet there

was no 100% Statement of Work Accomplished (SWA) submitted or no final billing was claimed as of end of 2021.

The Table below shows the implementation schedule and the latest work accomplished for labor component of each WSS.

Table 11.3 Implementation Schedule and Actual Project Accomplishment

WS	PER CONTRACT	PGP's Latest Accomplishment (net of Variation order)	Estimated Implementation Schedule	Calendar Days to complete	Target Completion Date
<i>Surface water sources</i>					
1. Alacalian River WS	₱788,280.30	₱0.00	08/09/16	80	10/28/16
2. Banbanan Falls WS	777,599.99	0.00	09/21/16	60	11/20/16
3. Bilaran Falls WS	1,364,923.93	981,084.27	05/10/16	80	07/29/16
4. Canique Falls WS	900,503.55	0.00	12/22/16	60	02/20/17
5. East Danao Lake WS Phase II	2,049,504.17	1,030,966.11	07/20/16	60	09/18/16
6. Ilotan River WS	845,169.26	0.00	10/03/16	60	12/02/16
7. Malinao River WS	869,719.00	742,999.28	04/01/16	120	07/30/16
8. San Jose River WS	706,395.08	0.00	11/03/16	60	01/02/17
9. Timburan (Poblacion) River WS	821,421.66	584,195.08	03/28/16	Not indicated	cannot be determined
10. Toytoyin Falls WS	702,860.58	0.00	07/01/16	90	09/29/16
11. West Danao Lake WS	9,067,936.57	2,370,210.00	04/13/16	150	09/10/16
<i>Groundwater sources</i>					
12. Baras Deepwell WS	1,238,807.46	0.00	07/12/17	60	09/10/17
13. Batas Deepwell WS	1,244,579.15	0.00	07/12/17	120	11/09/17
14. Casian Deepwell WS	2,397,133.70	0.00	01/15/17	60	03/16/17
15. Debangon Deepwell WS	1,107,856.75	0.00	09/08/17	60	11/07/17
16. Depla Deepwell WS	1,133,156.98	0.00	05/18/17	120	09/15/17
17. Liminangcong Deepwell WS	2,976,482.87	0.00	01/18/17	150	06/17/17
18. Maytegued Deepwell WS	1,276,481.80	0.00	06/14/17	120	10/12/17
19. Minapla Deepwell WS	1,110,889.95	0.00	03/23/17	60	05/22/17
20. New/Old Guinlo Deepwell WS	1,688,599.82	1,477,589.27	02/01/17	60	04/02/17
21. Paly Deepwell WS	1,768,038.62	0.00	05/03/17	60	07/02/17
22. Silangga Deepwell WS	1,137,049.52	0.00	04/15/17	60	06/14/17
23. Talog Deepwell WS	2,178,004.96	0.00	02/25/17	120	06/25/17
TOTAL	₱38,151,395.67	₱7,187,044.01			

The numer of calendar days (CDs) to complete or the period of construction was obtained from the POW of each WSS while the starting date of implementation was extracted from the contract signed by MGTP and Atlanta Industries, Inc, supplier of the construction materials for this project. Same with the target completion dates shown in Table 11.3, the project implementation schedule provided in the Feasibility Study, attached as Annex D to the Agency-to-Agency contract with PGP, also showed that all the 23 WSS projects should have been fully completed by CY 2017. More than

five years had lapsed yet the SWA signed by the Head-Project Engineer of the PGP, Municipal Engineer and Former Municipal Mayor of MGTP reported only six WSS (with only a total of 19% work accomplishment) as on-going projects while the other 17 WSS remained unimplemented or not yet even started as shown in the SWA where zero work accomplishment was reported.

The MGTP was put at an unfavorable position since the Agency-to-Agency Agreement has no provision on liquidated damages as required under Section 68 of the Revised I.R.R. of R.A. No. 9184. By failing to fix the construction schedule and include a provision on liquidated damages in the said Agreement and by not requiring performance security, the MDTP gave the PGP undue control over project implementation and completion to its disadvantage as resources were already committed to the project. The Agency-to-Agency Agreement likewise has no provision on warranties and posting of warranty security under Section 62 of the same I.R.R. to cover for structural defects or failures.

Furthermore, the SWA for the first progress billing only pertained to the labor component of the project, hence does not reflect the true percentage of completion and actual cost incurred to date for the project as a whole. Also, the SWA already included the labor cost of variation orders even if the additional cost was not approved by the MGTP and the source of funding was not yet determined. Table 11.4 shows the cost of variation orders for material and labor components of the project.

Table 11.4 Variation Orders

MATERIALS		LABOR	
Cost of Variation Order No. 1	₱ 931,787.95	Cost of Variation Order No. 1	₱ 239,785.28
Original Contract Amount	145,201,377.30	Original Contract Amount	38,148,946.88
Percentage of Variation No. 1	0.64%	Percentage of Variation No. 1	0.63%

The receipt of variation orders for the materials and labor components were only “acknowledged” by the Municipal Engineer and the former Municipal Mayor. It was the Provincial Engineer and the Governor who checked and approved the materials and labor variation orders, thus inconsistent with Item 1.5(d) of Annex E of the Revised I.R.R. of R.A. No. 9184 which states that “The Head of the Procuring Entity or his duly authorized representative, acting upon the recommendation of the technical staff or appropriate office, shall approve the Change Order or Extra Work Order after being satisfied that the same is justified, necessary, and in order.”

Further review of the attachments disclosed that the amount of ₱931,787.95 in the variation order for materials did not reconcile with the computed additional cost of materials amounting to ₱694,286.93 in the detailed estimates, resulting in a variance of ₱237,501.02.

It is worthy to note that the Municipal Accountant did not consider the labor variation cost in paying the first billing made by the PGP due to lack of basis.

To date, the SWA for the entire project, which means both material and labor components, was neither submitted to the Audit Team nor attached to the paid voucher related to the implementation of the project. The SWA attached to the first billing would not suffice without the material costs already utilized in each WSS project.

The project implementation was already beyond the project duration indicated in each POW and in Annex D of the Agency-to-Agency Agreement. All 23 WSS should have been completed by CY 2017, yet the percentage of completion is way too low as of December 31, 2021. For projects which were not completed within the contract expiration date, the Management need to take appropriate actions and remedies pursuant to the following guidelines:

Section 68 of the Revised I.R.R. of R.A. No. 9184. ***Liquidated Damages-*** *All contracts executed in accordance with the Act and this IRR shall contain a provision on liquidated damages which shall be payable by the contractor in case of breach thereof. For the procurement of Goods, Infrastructure Projects and Consulting Services, the amount of the liquidated damages shall be at least equal to one-tenth of one percent (0.001) of the cost of the unperformed portion for every day of delay. Once the cumulative amount of liquidated damages reaches ten percent (10%) of the amount of the contract, the Procuring Entity may rescind or terminate the contract, without prejudice to other courses of action and remedies available under the circumstances.*

Section 8, Annex “E” of the R-IRR of R.A. No. 9184 provides:

8.4. *In case that the delay in the completion of the work exceeds a time duration equivalent to ten percent (10%) of the specified contract time plus any time extension duly granted to the contractor, the procuring entity concerned may rescind the contract, forfeit the contractor's performance security and takeover the prosecution of the project or award the same to a qualified contractor through negotiated contract.*

8.5. *In no case however, shall the total sum of liquidated damages exceed ten percent (10%) of the total contract price, in which event the contract shall automatically be taken over by the procuring entity concerned or award the same to a qualified contractor through negotiation and the erring contractor's performance security shall be forfeited. The amount of the forfeited performance security shall be aside from the amount of the liquidated damages that the contractor shall pay the government under the provisions of this clause and impose other appropriate sanctions. (Emphasis supplied)*

Item III.A.2, Annex “I” of the 2016 Revised I.R.R. of R.A. No. 9184 or the Guidelines on Termination of Contracts states that:

The Procuring Entity shall terminate a contract for default when any of the following conditions attend its implementation:

- a) *Due to the Contractor’s fault and while the project is on-going, it has incurred negative slippage of fifteen percent (15%) or more in accordance with Presidential Decree 1870;*
- b) *Due to Contractor’s fault and after the contract time has expired, it has incurred a negative slippage of ten percent (10%) or more in the completion of the work; XXX*

Furthermore, in connection with the delayed implementation of the TMWSDP, the Audit Team reiterated the previous audit finding on the implementation “by administration” of the said project.

Appendix 1 of the Revised I.R.R. of R.A. No. 9184 prescribes the guidelines for the implementation of infrastructure projects by administration. Section 3 of the Guideline provides the rules and regulations concerning its use and application as quoted hereunder:

3.0 Conditions and Requirements for the use of “By Administration”

3.1 Xxx.

3.2 To undertake projects by administration, the implementing agency must:

- a. *have a track record of having completed, or supervised a project, by administration or by contract, similar to and with a cost of at least fifty percent (50%) of the project at hand, and*
- b. *own the tools and construction equipment to be used or have access to such tools and equipment owned by other government agencies.*

The criteria for evaluating the track record and capability of implementing agencies shall be in accordance with the guidelines to be issued by the Department of Public Works and Highways in consultation with the leagues enumerated under the Local Government Code.

3.3 *Any project costing Twenty Million Pesos (P20,000,000) or less may be undertaken by administration or force account by the implementing agency concerned. A project costing over Twenty Million Pesos (P20,000,000) may be undertaken by the agency concerned only in the following cases:*

- a. emergency arising from natural calamities or where immediate action is necessary to prevent imminent loss of life or property;*
- b. to comply with government commitments, as certified by the concerned government authority;*
- c. failure to award a contract after competitive bidding for a valid cause;*
- d. termination or rescission of contract;*
- e. areas with critical peace and order problems as certified by the Local Peace and Order Council;*

PROVIDED, that prior authority shall be obtained from the Secretary of Public Works and Highways, if the project cost is Twenty Million (P20,000,000) up to Fifty Million Pesos (P50,000,000.00), or from the President of the Philippines, upon the favorable recommendation of the Secretary of Public Works and Highways, if the project cost is more than Fifty Million Pesos (P50,000,000.00).

3.4 *No contractor shall be used by the procuring entity, directly or indirectly for works undertaken by administration.*

3.5 *Xxx.*

3.6 *Xxx.*

3.7 *The manual labor component of projects undertaken by administration may be undertaken in-house by the implementing agency concerned, by job-order or through the pakyaw contracting system. In-house labor is undertaken if the workers are employees or personnel occupying regular plantilla positions in the implementing agency. Job-order contracts shall be governed by relevant Commission on Audit (COA) and/or Civil Service Commission (CSC) rules.*

The MGTP implemented the TMWSDP even without meeting the track record and capability requirements in Section 3.2 of Appendix 1 of the Revised I.R.R. and despite absence of prior authority from the President of the Philippines, upon favorable recommendation of the Secretary of Public Works and Highways, to undertake the project by administration, contrary to the provisions of Section 3.3. of the Guideline.

Further, engaging the services of the PGP as servicing agency in an Agency-to-Agency Agreement for the labor, equipment rental and engineering superintendence components of the project is conflicting with the conditions set forth in the afore-cited Sections 3.4 and 3.7 of Appendix 1 of the Revised I.R.R. of RA No. 9184 and not in consonance with the definition of the term “by administration” provided by Section 2.1 of the said Guideline which states that:

2.1 “By Administration” refers to the procedure by which the implementation of an infrastructure project is carried out under the administration and supervision of the concerned agency through its own personnel.

In the implementation of TMWSDP, the MGTP is the procuring and implementing entity, however it was noted that the plans and drawings, POWs and Detailed Estimates and Bill of Materials for the project were prepared and approved by the officials of the PGP, the servicing agency, in violation of Section 17.6 of the Revised I.R.R. of R.A. No. 9184 which provides that the detailed engineering for the procurement of infrastructure projects shall be approved by the Head of the Procuring Entity or his duly authorized representative, to wit:

17.6. Detailed Engineering for the Procurement of Infrastructure Projects

No bidding and award of contract for infrastructure projects shall be made unless the detailed engineering investigations, surveys and designs, including the acquisition of the ROW, for the project have been sufficiently carried out and duly approved in accordance with the standards and specifications prescribed by the Head of the Procuring Entity concerned or his duly authorized representative, and in accordance with the provisions of Annex “A” of this IRR.

It also bears emphasis that the Agency-to-Agency Agreements may only be resorted to as a mode of procurement if the infrastructure project is implemented “by contract”. Implementation “by contract” means that the infrastructure project **in its entirety** will be procured through public bidding or through negotiated procurement whenever justified by the conditions set forth in R.A. No. 9184 and its Revised I.R.R. Such was not the case in the implementation of TMWSDP as the materials and labor components were procured separately.

Appendix 6 of the Revised I.R.R. of R.A. No. 9184 (edition prior to 2016 Revised I.R.R.) prescribes the guidelines for the use of the Agency-to-Agency mode of procurement under Section 53.5 of the same I.R.R. Section 5 thereof set forth the conditions when a government agency may procure from another government agency without need of public bidding, quoted as follows:

5. General Conditions

- a. Agency-to-Agency Agreements may only be resorted to if the following conditions are complied with:*
 - i. Conduct of a Cost-benefit Analysis by the Procuring Agency indicating that entering into an Agency-to-Agency Agreement with the Servicing Agency is more efficient and economical for the government;*
 - ii. Total amount of all goods, consulting, and infrastructure projects undertaken or to be undertaken through Agency-to-Agency Agreements shall not exceed twenty-five percent (25%) of the Procuring Entity's total procurement budget for each category (i.e., goods, infrastructure, or consulting) as reflected in its approved APP;*
 - iii. Servicing Agency has the mandate to deliver the goods and services required to be procured or to undertake the infrastructure project or consultancy required by the Procuring Agency; and*
 - iv. Servicing Agency owns or has access to the necessary tools and equipment required for the project.*
- b. In addition, for procurement of infrastructure projects under Agency-to-Agency agreements, the Servicing Agency must comply with the following conditions:*
 - i. It must have a track record of having completed, or supervised a project, by administration or by contract, similar to and with a cost of at least fifty percent (50%) of the project at hand; and*
 - ii. It shall not directly or indirectly engage private contractors to undertake the project and may only implement the infrastructure project in-house, by job-order, or through the pakyaw contracting system.*

In-house labor is undertaken if the workers are employees or personnel occupying regular plantilla positions in the Servicing

Agency. Job-order contracts shall be governed by the applicable rules of the Commission on Audit and/or Civil Service Commission. Pakyaw Contracting System shall be governed by Section 4 of the GPPB Revised Guidelines for the Implementation of Infrastructure Projects by Administration.

The MGTP BAC, in its Resolution No. 2015-11A dated April 7, 2015, recommended the Agency-to-Agency Agreement but did not include results on verification of compliance with the conditions provided in Section 5 above. The use of Agency-to-Agency mode of procurement was not justified because the BAC failed to present documents that would establish compliance of the following conditions:

1. Total amount of all infrastructure projects undertaken through Agency-to-Agency Agreements did not exceed 25% of the Procuring Entity's total procurement budget for infrastructure as reflected in its approved Annual Procurement Plan (APP).
2. Servicing Agency has the mandate to undertake the infrastructure project required by the Procuring Agency.
3. Servicing Agency owns or has access to the necessary tools and equipment required for the project.
4. Servicing Agency has the track record of having completed, or supervised a project, by administration or by contract, similar to and with a cost of at least fifty percent (50%) of the project at hand.

Delayed implementation of the TMWSDP may have been the result of the improper application of the "by administration" mode of project implementation and lack of proper monitoring/evaluation of the projects.

The Management was reminded of the provision of Section 5.02(b) and Annex 5 of the SPLA which states that construction of the water supply systems approved under the SPLA should have been completed by September 2017.

We recommended that the Municipal Mayor: (a) together with the BAC and the Municipal Engineer, ensure that the implementation and procurement methods adopted for infrastructure projects and the terms of contracts entered into by the MGTP are in accordance with the Revised I.R.R. of R.A. No. 9184 and other related laws, rules and regulations; (b) thru the Municipal Engineer, review the necessity and validity of the variation orders before approval; (c) thru the Municipal Accountant, strictly observe the provisions of the Revised I.R.R. on releasing advance payment for all contracts and ensure the completeness of supporting documents before making payment; and (d) in view of the delayed implementation for more than five years, take appropriate actions and avail of the

remedies pursuant to Section 68, Section 8 of Annex E and Section III.A.2, Annex I of the Revised I.R.R. of R.A. No. 9184.

During the exit conference, the Management informed the Audit Team that from 23 water supply systems (WSS), they will only implement seven WSS which were already started and/or with expenditures already incurred such as materials delivered and paid. They also committed to comply with the audit recommendations.

b. Construction materials totaling ₱107,106,895.32 or 73.76% of the contract amount were not delivered by Atlanta Industries, Inc. within the agreed delivery period indicated in the contract agreement.

The material component of the TMWSDP with ABC of ₱152,398,604.33 was separately procured by the MGTP. On March 17, 2016, the MGTP entered into a contract with Atlanta Industries, Inc., for the delivery of the material components of the project with contract amount of ₱145,201,377.30. Details are provided in Table 11.4.

Table 11.4 Materials Component

Water System (WS)	ABC for Materials	Per Contract***	DELIVERY SCHEDULE	AMOUNT DELIVERED
Surface water sources				
1. Alacalian River WS	₱3,075,719.70	₱2,930,464.74	07/25/16	
2. Banbanan Falls WS	3,044,400.01	2,900,624.17	09/06/16	
3. Bilaran Falls WS	5,398,076.07	5,143,144.74	04/25/16	₱2,095,698.00
4. Canique Falls WS	3,454,496.45	3,291,353.25	12/07/16	
5. East Danao Lake WS Phase II	10,454,495.83	9,960,768.34	07/05/16	5,356,992.98
6. Ilotan River WS	3,305,830.74	3,149,708.48	09/18/16	
7. Malinao River WS	3,347,281.00	3,189,201.20	03/28/16	1,069,518.00
8. San Jose River WS	2,738,604.92	2,609,270.66	10/18/16	
9. Timburan (Poblacion) River WS	3,609,578.34	3,439,111.20	03/28/16	
10. Toytoyin Falls WS	2,680,139.42	2,553,566.27	06/16/16	694,350.00
11. West Danao Lake WS	36,187,063.43	34,478,081.17	03/29/16	25,554,879.00
Groundwater sources				
12. Baras Deepwell WS	4,581,192.54	4,364,839.62	03/14/17	
13. Batas Deepwell WS	4,465,420.85	4,254,535.40	03/14/17	
14. Casian Deepwell WS	8,852,866.30	8,434,777.90	12/31/16	
15. Debangon Deepwell WS	3,842,143.25	3,660,692.92	03/14/17	
16. Depla Deepwell WS	3,986,843.02	3,798,559.05	03/14/17	
17. Liminangcong Deepwell WS	12,083,517.13	11,512,856.94	01/03/17	804,911.00
18. Maytegued Deepwell WS	4,808,518.20	4,581,429.52	03/14/17	
19. Minapla Deepwell WS	3,851,110.05	3,669,236.25	03/08/17	
20. New/Old Guinlo Deepwell WS	7,111,400.18	6,775,554.84	01/15/17	2,518,233.00
21. Paly Deepwell WS	7,574,961.38	7,217,223.74	03/14/17	
22. Silangga Deepwell WS	4,029,950.48	3,839,630.70	03/14/17	
23. Talog Deepwell WS	9,914,995.04	9,446,746.20	02/10/17	
Total	₱152,398,604.33	₱145,201,377.30		₱38,094,581.98

***Prorated based on the ABC per project/WS over total ABC

The amount of ₱145,201,377.30 had no detailed breakdown attached to the contract, thus it was prorated using the ABC per project/WSS over total ABC. The Notice to Proceed (NTP) was received by the supplier on March 23, 2016 with delivery schedule per project indicated in the contract agreement with Atlanta Industries, Inc. (see Table 11.4).

Based on the CIP subsidiary ledger as of December 31, 2021 and on the supporting documents to the payments made to Atlanta Industries, Inc., construction materials were delivered only for seven WSS, reckoning from the date of the NTP. There was no delivery for the other 16 WSS and only 26.24% of the contract or ₱38,094,581.98 worth of materials were delivered as of December 31, 2021. The Table below shows the delivery receipts attached to the paid vouchers.

Table 11.5 Delivery receipts attached to the billings of Atlanta Industries, Inc.

1ST BILLING (JEV No. 09-131-17)			
Water System (WS)	Date Received	DR No.	Amount
Bilaran Falls WS (Calawag)	04/25/16	709575	₱ 1,873,818.00
Malinao River WS (Busy Bees)	03/28/16	709574	1,069,518.00
Toytotin Falls WS	06/16/16	709577	694,350.00
West Danao Lake WS	03/29/16	709571	5,992,640.00
West Danao Lake WS	03/29/16	709572	18,506,239.00
Liminangcong Deepwell WS	01/03/17	709576	804,911.00
New/Old Guinlo Deepwell WS	01/15/17	709578	1,096,436.00
			₱30,037,912.00

2ND BILLING (JEV No. 18-09-2908)			
Water System (WS)	Date Received	DR No.	Amount
Bilaran Falls WS (Calawag)	04/12/16	644367	221,880.00
West Danao Lake WS	03/08/16	709689	1,056,000.00
New/Old Guinlo Deepwell WS	12/21/16	709687	157,797.00
	01/05/17	709690	1,264,000.00
East Danao Lake WS Phase II	05/29/16	644358	1,440,000.00
	06/23/16	754574	3,916,992.98
	06/23/16	709635	
	06/10/16	644333	
	06/23/16	709646	
	06/23/16	709647	
	06/15/16	709753	
			₱8,056,669.98

The delivery of the materials should have been completed by March 14, 2017 (see Table 11.4), yet the materials amounting to ₱107,106,795.32 remained undelivered as of December 31, 2021, which was already more than five years from the date of the NTP. In this case, the Management also need to take appropriate actions and avail of the remedies pursuant to Section 68 of the 2016 Revised I.R.R. of R.A. No. 9184 and the following guidelines of the said I.R.R., to wit:

Item 3 of Annex D- Liquidated Damages

- 3.1 When the supplier fails to satisfactorily deliver goods under the contract within the specified delivery schedule, inclusive of duly granted time extensions, if any, the supplier shall be liable for damages for the delay and shall pay the procuring entity liquidated damages, not by way of penalty, an amount equal to one-tenth (1/10) of one percent (1%) of the cost of the delayed goods scheduled for delivery for every day of delay until such goods are finally delivered and accepted by the procuring entity concerned.
- 3.2 The procuring entity need not prove that it has incurred actual damages to be entitled to liquidated damages. Such amount shall be deducted from any money due or which may become due to the supplier, or collected from any securities or warranties posted by the supplier, whichever is convenient to the procuring entity concerned. **In no case shall the total sum of liquidated damages exceed ten percent (10%) of the total contract price, in which event the procuring entity concerned may rescind the contract and impose appropriate sanctions over and above the liquidated damages to be paid.**

Item III.A.1 of Annex I- Termination for Default

1. In contracts for Goods: The Procuring Entity shall terminate a contract for default when any of the following conditions attend its implementation:
 - a) Outside of force majeure, the Supplier fails to deliver or perform any or all of the Goods within the period(s) specified in the contract, or within any extension thereof granted by the Procuring Entity pursuant to a request made by the Supplier prior to the delay, and such failure amounts to at least ten percent (10%) of the contract price; xxx.

Delayed delivery of construction materials also hindered the timely implementation of the water system projects. Due to apparent laxity of the Management to monitor the project implementation, liquidated damages already exceeded the maximum 10% of the total contract cost. Also, the Management failed to terminate the contract despite the supplier's non-compliance with the terms and conditions of the contract for more than five years.

We recommended that the Municipal Mayor (a) issue termination of contract to the erring supplier pursuant to Item III.A.1 of Annex I of the 2016 Revised I.R.R. of R.A. No. 9184; (b) thru the BAC, consider issuing a Blacklisting Order in accordance with the Uniform Guidelines For Blacklisting Of

Manufacturers, Suppliers, Distributors, Contractors And Consultants provided in Appendix 17 of the said I.R.R; and (c) require the concerned officials to render a written justification on their failure to monitor the supplier's compliance on the terms of the contract and failure to recommend its termination despite the lapse of five years.

During the exit conference, the Management informed the Audit Team that there was no notice or written document yet pertaining to the termination of contract with Atlanta Industries, Inc., however, they stated that the LGU is firm on not paying the supplier as the liquidated damages (LD) already exceeded the amount to be paid to the supplier. The Municipal Accountant only stopped computing for LD upon approval of the SB Resolution that only seven WSS will be implemented.

The Management also explained that there was confusion on the part of the Atlanta Industries Inc., because the PGP and the MGTP has different instructions on the delivery of the construction materials.

The Audit Team emphasized to the Management that they had failed to terminate the contract of the supplier of the materials at the time the delay was already equivalent to the amount of more than ten percent of the contract price. The Management was also reminded that in the event the liquidated damages already exceeded the 10% of the contract price, they should already rescind the contract and forfeit the performance security pursuant to the Revised I.R.R. of R.A. No. 9184.

c. Failure of the Municipal Engineer to monitor and report the status of implementation of the Taytay Municipal-wide Water System Development Project contrary to COA Circular No. 2013-004 dated January 30, 2013.

Based on the Report on the Status of Implementation of the Infrastructure Projects of the Municipality during CY 2021, there was no information provided for the 23 water systems of the TMWSDP. The Municipal Engineer failed to report the status of TMWSDP implementation, which is contrary to COA Circular No. 2013-004 dated January 30, 2013 and not in consonance with the government's policy on full disclosure.

The latest Statement of Work Accomplished (SWA) was already requested from the Management in prior years, yet no compliance was made on the submission of the said document including the other lacking technical documents. To obtain the total cost incurred as of December 31, 2021, the Audit Team got the data from the Construction-in-Progress (CIP) subsidiary ledgers of the 23 WS. Details are shown in the following table.

Table 11.6 CIP subsidiary ledgers as of December 31, 2021

Water System (WS)	Total Contract Amount***	Materials	Labor	Total Cost Incurred to Date
Surface water sources				
1. Alacalian River WS	₱ 3,718,745.04	₱0.00	₱0.00	₱0.00
2. Banbanan Falls WS	3,678,224.16	0.00	0.00	0.00
3. Bilaran Falls WS	6,508,068.67	2,095,698.00	981,084.27	3,076,782.27
4. Canique Falls WS	4,191,856.80	0.00	0.00	0.00
5. East Danao Lake WS Phase II	12,010,272.51	5,356,992.98	1,030,966.11	6,387,959.09
6. Ilotan River WS	3,994,877.74	0.00	0.00	0.00
7. Malinao River WS	4,058,920.20	1,069,518.00	742,999.28	1,812,517.28
8. San Jose River WS	3,315,665.74	0.00	0.00	0.00
9. Timburan (Poblacion) River WS	4,260,532.86	0.00	584,195.08	584,195.08
10. Toytoyin Falls WS	3,256,426.85	694,350.00	0.00	694,350.00
11. West Danao Lake WS	43,546,017.74	25,554,879.00	2,370,210.00	27,925,089.00
Groundwater sources				
12. Baras Deepwell WS	5,603,647.08	0.00	0.00	0.00
13. Batas Deepwell WS	5,499,114.55	0.00	0.00	0.00
14. Casian Deepwell WS	10,831,911.60	0.00	0.00	0.00
15. Debangan Deepwell WS	4,768,549.67	0.00	0.00	0.00
16. Depla Deepwell WS	4,931,716.03	0.00	0.00	0.00
17. Liminangcong Deepwell WS	14,489,339.81	804,911.00	0.00	804,911.00
18. Mayteged Deepwell WS	5,857,911.32	0.00	0.00	0.00
19. Minapla Deepwell WS	4,780,126.20	0.00	0.00	0.00
20. New/Old Guinlo Deepwell WS	8,464,154.66	2,518,233.00	1,477,589.27	3,995,822.27
21. Paly Deepwell WS	8,985,262.36	0.00	0.00	0.00
22. Silangga Deepwell WS	4,976,680.22	0.00	0.00	0.00
23. Talog Deepwell WS	11,624,751.16	0.00	0.00	0.00
TOTAL	₱183,352,772.97	₱38,094,581.98	₱7,187,044.01	₱45,281,625.99

***Total Contracts for Materials and Labor Component (Atlanta and PGP)

As can be gleaned from the preceding schedule, only 24.70% (₱45,281,625.99/₱183,352,772.97) of the entire project had expenditures as of December 31, 2021. However, this information does not reflect the true percentage of completion for each WSS because the materials paid were directly capitalized or recorded by the Municipal Accountant in the CIP accounts.

Low percentage of completion is an indication that the MGTP failed to properly supervise, monitor, and take necessary actions to address the delay in the implementation of TMWSDP.

Table 11.7 below shows the total loan proceeds and expenditures charged against the loan as of December 31, 2021.

Table 11.7 Loan Proceeds and Expenditures charged against the loan

JEV NO.	DATE	PARTICULARS	LOAN PROCEEDS	ATLANTA INDUSTRIES, INC.	PGP
04-001-17	04/30/17	1 st loan release	₱11,445,418.70		
06-001-17	06/02/17	2 nd loan release	30,663,611.82		
2020-05-2867	05/29/20	3 rd loan release	53,249,825.03		
09-131-17	09/22/17	First delivery of materials		₱30,037,912.00	
2018-09-2908	09/27/18	Second delivery of materials		8,056,569.98	
05-610-17	05/08/17	Advances to Contractors			₱5,722,709.35
2020-10-6481	10/30/20	1st progress billing- labor component (net of advance payment)			1,464,334.66
		TOTAL	₱95,358,855.55	₱38,094,481.98	₱7,187,044.01

Per accounting records, a total of ₱95,358,855.55 loan proceed was already released to the MGTP as of May 29, 2020, yet only ₱45,281,525.99 was disbursed for the materials and labor component. The amortization of the loan and interests are being paid out of the 20% Development Fund. Possible revenues from the operations of the 23 water supply systems could have contributed to the repayment of loan or improve the cash inflows of the Municipality had the projects been completed within the project implementation schedule.

We recommended that the Municipal Engineer: (a) immediately submit the latest Statement of Work Accomplished (showing both the material and labor component) and Statement of Time Elapsed to the Audit Team; and (b) together with the Municipal Planning and Development Coordinator (MPDC), monitor and take necessary actions to address the delay in the project implementation and ensure that future projects are implemented in accordance with the agreed project schedule and plans.

The Municipal Engineer committed to comply with the recommendations and to include the status of implementation of the TMWSD projects in the quarterly reports of the infrastructure projects.

Procurement of goods

- 12. Contracts for the procurement of goods intended for donations totaling ₱1,133,526.00 were doubtful due to inconsistencies in the dates of the supporting documents of disbursement vouchers casting doubts on the integrity of the procurement process and the regularity of the expenditures.**

For CY 2021, the Municipal Government of Taytay appropriated a total budget of ₱3,500,000.00 for its KARAMAY Program under the Community Affairs- Mayor's Office

and also provided funds for Donations under the Mayor's Office with a total of ₱13,577,000.00.

Procurement of goods under the Donation and/or Karamay Program of the LGU were mostly done thru Negotiated Procurement under Small Value Procurement. Audit of disbursements charged against the aforesaid funds disclosed doubtful contracts paid in CY 2021, as enumerated below.

Table 12.1 Donated goods

JEV No.	PARTICULARS (Fund)	AMOUNT	PERTINENT DATES	AR DATES		
2021-05-2769	General Merchandise-monobloc chairs, tshirts, sporting goods, fan, grass cutter and rechargeable speakers (MOOE-Donations)	₱194,150.00	PR-03/18/21 RFQ posted in PhilGEPS-03/25/21 NOA-04/05/21 PO-04/07/21 IAR-04/13/21	01/04/21 01/08/21 01/14/21 01/18/21	01/20/21 01/21/21 01/22/21 01/25/21	02/05/21 03/08/21 05/03/21 05/07/21
2021-06-3183	Hardware and construction materials (MOOE-Donations)	180,976.00	PR-04/16/21 RFQ posted in PhilGEPS-04/23/21 NOA-04/30/21 PO-05/03/21 IAR-05/18/21	01/04/21 01/14/21 01/15/21 01/15/21 01/15/21 01/15/21	01/18/21 01/22/21 01/25/21 01/25/21 01/29/21 02/05/21 02/09/21	02/10/21 03/17/21 03/17/21 03/22/21 05/18-30/21
2021-09-4455	Construction Materials and Supplies (Donations-Karamay Program)	189,600.00	PR-05/31/21 RFQ posted in PhilGEPS-06/10/21 NOA-06/18/21 PO-06/21/21 IAR-07/22/21	06/07/21 06/10/21 06/14/21 06/15/21 06/18/21 06/21/21 06/21/21 06/22/21 06/22/21 06/25/21 06/25/21 06/25/21 06/30/21 07/01/21 07/05/21 07/05/21	07/05/21 07/07/21 07/07/21 07/09/21 07/09/21 07/12/21 07/13/21 07/14/21 07/23/21 07/23/21 07/26/21 07/26/21 07/26/21 07/26/21 07/27/21 07/29/21 07/29/21	07/30/21 07/30/21 07/30/21 07/30/21 08/03/21 08/04/21 08/05/21 08/09/21 08/09/21 08/09/21 08/10/21 08/10/21 08/10/21 08/16/21 08/16/21 08/16/21 08/18/21
2021-10-5726	Construction Materials and Supplies (Donations-Karamay Program)	189,600.00	PR-07/05/21 RFQ posted in PhilGEPS-07/09/21 NOA-07/19/21 PO-07/21/21 IAR-08/22/21	08/05/16 06/25/21 07/16/21 07/17/21 07/18/21 07/26/21 08/16/21 08/16/21 08/16/21 08/17/21 08/19/21	09/01/21 09/01/21 09/01/21 09/02/21 09/02/21 09/02/21 09/02/21 09/07/21 09/08/21 09/08/21 09/08/21	09/15/21 09/15/21 09/20/21 09/20/21 09/20/21 09/20/21 09/20/21 09/20/21 09/23/21 09/23/21 09/27/21

JEV No.	PARTICULARS (Fund)	AMOUNT	PERTINENT DATES	AR DATES		
				08/20/21	09/08/21	09/28/21
				08/23/21	09/09/21	09/28/21
				08/23/21	09/09/21	09/29/21
				08/25/21	09/13/21	09/29/21
				08/26/21	09/15/21	09/30/21
				08/31/21		
2021-12-6445	Construction Materials and Supplies (Karamay Program)	189,600.00	PR-10/05/21 RFQ posted in PhilGEPS-10/16/21 NOA-10/27/21 PO-10/28/21 IAR-11/29/21	06/07/21 07/19/21 07/26/21 09/06/21 09/09/21 09/10/21 09/24/21 09/24/21 09/30/21 10/01/21 10/01/21 10/08/21 10/11/21 10/11/21 10/11/21 10/11/21	10/12/21 10/12/21 10/12/21 10/12/21 10/12/21 10/13/21 10/13/21 10/18/21 10/18/21 10/18/21 10/18/21 10/19/21 10/20/21 10/20/21 10/21/21 10/21/21	10/21/21 10/21/21 10/21/21 10/26/21 10/26/21 10/27/21 10/27/21 10/29/21 10/29/21 10/29/21 11/02/21 11/02/21 11/03/21 11/04/21 11/05/21 11/05/21 11/08/21
2021-12-7627	Construction Materials and Supplies (Karamay Program)	189,600.00	PR-10/15/21 RFQ posted in PhilGEPS-11/03/21 NOA-11/10/21 PO-11/11/21 IAR-12/10/21	11/03/21 11/08/21 11/08/21 11/09/21 11/10/21 11/10/21 11/10/21 11/10/21 11/10/21 11/11/21 11/11/21 11/11/21 11/13/21 11/15/21 11/15/21 11/15/21 11/16/21 11/16/21	11/16/21 11/18/21 11/19/21 11/19/21 11/23/21 11/26/21 11/26/21 11/29/21 11/29/21 11/29/21 11/29/21 12/02/21 12/02/21 12/02/21 12/02/21 12/02/21 12/03/21	12/05/21 12/06/21 12/07/21 12/07/21 12/10/21 12/10/21 12/12/21 12/13/21 12/13/21 12/13/21 12/13/21 12/13/21 12/13/21 12/14/21 12/14/21 12/14/21
	TOTAL	₱1,133,526.00				

The preceding table shows the inconsistencies in the procurement of goods as evidenced by the dates of receipt by the beneficiaries/recipient per attached Acknowledgement Receipts (ARs) which were mostly prior to the dates of the PRs, Request for Quotation (RFQ) posted in the PhilGEPS website, Notice of Award (NOA), PO and Inspection and Acceptance Reports (IARs).

Since the PRs, NOAs, contracts/POs, and IARs were prepared, signed/approved after the actual receipt of the donated goods by the recipients, as shown in the ARs, there is an indication that the goods delivered on the dates highlighted in the above Table were not

covered with contract, thus compromising the integrity of the procurement process and the propriety of the said transactions.

We recommended that the Bids and Awards Committee (BAC) render a satisfactory explanation/justification on the noted discrepancies in the procurement of goods intended for donation which are deemed inconsistent with the guidelines of R.A. No. 9184 and its Revised I.R.R.

We also recommended that the Municipal Accountant thoroughly review the supporting documents of the goods as part of her internal audit service to the Municipality.

The Management commented that although there were inconsistencies in the procurement done by the LGU, they assured that the items donated were actually received and used by the recipients/beneficiaries. Because of the urgent need of the bereaved families, materials for the burial of the deceased family member were immediately given/distributed to those with requests. However, the Management stated that they will take serious action on this matter and also committed to implement the audit recommendations.

In order to avoid similar problem in the procurement of donated goods, the Audit Team also suggested to the Management to stop procuring the materials for burial purposes and instead augment the monetary burial assistance equivalent to the cost of the donation for construction materials so that the requestor can directly purchase the needed materials.

Implementation of Infrastructure Projects

- 13. Lapses were noted in the implementation of infrastructure projects funded by the 20% Development Fund (DF), Loan, Trust Fund and GF-Proper such as: (a) forty-five (45) infrastructure projects with project costs totaling ₱168,858,511.93 remained unimplemented as of yearend while 55 projects were not included in the status report of implementation contrary to COA Circular No. 2013-004 dated January 30, 2013; (b) unreconciled accounting records and budget reports on the total actual costs incurred to date per project; (c) absence of CIP ledgers or schedules for completed and on-going projects; (d) lacking technical documents for projects implemented “by administration”; (e) lacking As-built plans and revised S-curve for seven projects implemented thru straight contracts; and (f) unrecorded projects implemented by the barangays due to absence of proof of completion.**

In line with the State’s policy of full disclosure of all transactions involving public interest and recognizing the right of the people to information on matters of public concern COA Circular No. 2013-004 dated January 30, 2013 requires that:

- 2.1 At the beginning of the year, all government agencies shall provide their respective assigned Supervising Auditors (SAs) and Audit Team Leaders (ATLs) with a list of all on-going government*

projects/programs/activities (“PPA”) and those that are to be implemented during the year. The list shall include the project name; implementing unit, office or division if it is not the agency as a whole; brief description of the PPA; contractor or supplier, if any; mode of procurement; funding source; cost or approved budget; project duration including start and completion date; and location. Other information on the PPA may be requested by the SA or ATL anytime for audit purposes.

- 3.1 The Head of Agency shall inform its SA and ATL within ten (10) days after the award of the infrastructure project or before the start of the program/activity that the appropriate project signboards and/or public notices are already posted, and the SA and ATL shall validate the same.*
- 3.2 Based on the data sourced from the monthly monitoring report prepared by the agency and verified by the Technical Audit Specialist of this Commission, the Project Status (in Annex “A”) should be maintained as current as possible and updated, xxx.*

The Municipal Engineer failed to provide at the beginning of the year the list of all on-going municipal infrastructure projects and those that are to be implemented during the year 2021. It was only on February 14, 2022 that the Municipal Engineering Office (MEO) was able to submit the required quarterly reports on the implementation of infrastructure projects from January to December 2021. However, that report was also returned to the MEO due to incomplete details of the projects and other information that need revision as well as the lacking documents such as Statement of Work Accomplishment (SWA) and Program of Works (POW) and other supporting documents vital in the verification of the project status reported by MEO. The revised status report prepared by the MEO was only resubmitted on April 13, 2022 (thru email), however, details were still incomplete. The delayed submission of the said report affected the timely verification of the projects’ status of implementation. This also resulted in the Audit Team’s delayed submission of the Quarterly Report of the Publicized Government PPAs to the Director, COA Regional Office No. IV-B, for consolidation and transmittal to the COA Chairperson pursuant to Section 3.3 of COA Circular No. 2013-004 dated January 30, 2013.

Based on the reports submitted, the Municipality of Taytay had completed 21 infrastructure projects during CY 2021, as enumerated below.

Table 13.1 Completed Projects in CY 2021

FUND SOURCE	PROJECT NAME	ABC	ACTUAL COST TO COMPLETE (per SAAOB)	DATE COMPLETED (per SWA)
CY 2020- LGSF FY 2019	Rehabilitation, Repair and Improvement of Slaughterhouse	₱2,000,000.00	₱1,886,103.97	04/15/21
CY 2016, 20% DF	Riprapping/BackFilling of Liminangcong Public Market	1,000,000.00	992,730.00	11/15/21
CY 2021, MMO	Poblacion- Construction of 2 Units CR (Jaes)	130,000.00	129,995.00	10/20/21

FUND SOURCE	PROJECT NAME	ABC	ACTUAL COST TO COMPLETE (per SAAOB)	DATE COMPLETED (per SWA)
CY 2018, 20% DF	BDAF -San Jose (Construction of Boat Landing per Mun. Ord. No. 412-2021	200,000.00	192,340.00	10/15/21
CY 2019, 20% DF	Libertad (Construction of Multi-Purpose Hall)***	1,400,000.00	1,400,000.00**	12/15/21
CY 2020, 20% DF (SB)	Tumbod (Construction of Barangay Road)	1,000,000.00	983,775.00	10/15/21
CY 2020, 20% DF	Tumbod (Construction of Road)	500,000.00	481,040.00	10/15/21
CY 2021, 20% DF	Abongan- Concreting of Barangay Road- Purok Matahimik	1,770,000.00	1,463,001.82	12/15/21
CY 2021, 20% DF	Abongan- Concreting of Barangay Road- Purok Pag-asa	1,230,000.00	1,172,840.00	10/30/21
CY 2021, 20% DF	Calawag- Concreting of Barangay Road (New Site)	2,000,000.00	1,998,576.09	11/30/21
CY 2021, 20% DF	Maytegued- Const. of 1 Unit Senior Citizen Center***	1,100,000.00	1,099,392.00	10/06/21
CY 2021, 20% DF	Depla- Construction of 1 Unit Senior Citizen Center***	1,100,000.00	1,099,392.00	10/06/21
CY 2020, 20% DF	Health Facility Enhancement Program (Construction of Maternal Home)***	3,000,000.00	2,983,828.76	07/25/21
CY 2021, 20% DF	Calawag-Concreting of Barangay Road (Purok Boulevard)	1,000,000.00	932,389.02	08/09/21
CY 2018, 20% DF	Depla (Construction of Nutrition Center)	500,000.00	496,684.84	09/30/21
CY 2020, 20% DF (SB)	Poblacion (Completion of Health Center-Sitio Igang)	300,000.00	282,638.40	09/30/21
CY 2017, 20% DF and Cont. MO	Construction of Barangay Stage, Depla	525,335.00	525,335.00	09/30/21
CY 2018, 20% DF	Liminangcong (Construction of Drainage Canal-Purok Masagana)	600,000.00	589,004.00	05/11/21
CY 2019, 20% DF	Maytegued (Construction of Farm to Market Road)	800,000.00	762,706.18	03/15/21
CY 2020, 20% DF	Libertad (Concreting of FMR from Proper to Crossing Malinao)	3,000,000.00	2,444,718.11	04/15/21
CY 2021, OVM (SB)	Construction of New Legislative Conference Hall***	1,300,000.00	1,300,000.00**	12/06/21
TOTAL		₱24,455,335.00	₱23,216,490.19	

** Contract Amount not indicated in the report

*** Implemented thru straight contract

Of the 21 completed projects, five were implemented thru straight contracts while the 16 infrastructure projects were implemented “by administration”. The total actual costs incurred by the Municipality to complete those projects were lower by ₱1,238,844.81 as compared to the total ABC.

Aside from the aforesaid delayed submission of status report of projects, the following are the additional observations noted in the audit of the implementation of infrastructure project during the year 2021:

a. Unimplemented and on-going projects as of yearend

To review the completeness of the status report of projects submitted by the MEO, the Audit Team checked the annual and supplemental budgets, CY 2021 SAAOB as well as the registries submitted by the Municipal Budget Officer (MBO) to account for projects

with obligated expenditures (ongoing projects) and projects with appropriations that remained unutilized/unobligated (not yet implemented/started) as of December 31, 2021.

Table 13.2 Unimplemented and On-going Projects in CY 2021

FUND SOURCE	PROJECT NAME	ABC	
ONGOING PROJECTS			
CY 2019, 20% DF	Tumbod (Construction of Multi-Purpose Hall Phase I)	₱1,600,000.00	
CY 2021, 20% DF	Tumbod- Completion of Multi-Purpose Hall	200,000.00	
CY 2020, 20% DF	Tumbod (Construction of MPH)	1,500,000.00	
CY 2020, LGSF-AM	Construction of Evacuation Center in Bgy. Casian, Taytay	4,142,969.18	
OCD, Trust Fund 2021	Construction of 60 rooms for COVID-19 Isolation Facilities	24,614,224.49	
CY 2021, MMO	Rehabilitation of Poblacion Wharf	200,000.00	
CY 2021, 20% DF	Debanan- Completion of Multi-Purpose Hall	300,000.00	
CY 2020, 20% DF (SB)	Debanan (Construction of Multi-Purpose Building-MPB)	3,000,000.00	
CY 2021, 20% DF	Banbanan (Construction of boat Landing)	2,000,000.00	
CY 2021, 20% DF	Poblacion- Concreting of Montevista Barangay Road	1,000,000.00	
CY 2021, 20% DF	Old Guinlo- Concreting of Barangay Road-Sitio Campo	3,000,000.00	
CY 2020, 20% DF	Biton (Construction of 2 Storey Evacuation Center)	3,000,000.00	
CY 2021, 20% DF	Biton- Completion of Multi-Purpose Hall	300,000.00	
CY 2020, 20% DF	Tumbod (Construction of Boat Landing)	2,000,000.00	
CY 2020, 20% DF	Pamantolon (Construction of Drainage Canal)	1,000,000.00	
CY 2020, 20% DF	San Jose (Concreting of Barangay Road)	500,000.00	
CY 2020, 20% DF (SB)	Rehabilitation of Arado II Bridge	300,000.00	
CY 2020, 20% DF (SB)	New Guinlo (Completion of Multi-Purpose Building-Bgy. Hall)	340,000.00	
CY 2021, 20% DF	San Jose- Concreting of Barangay Road	3,000,000.00	
CY 2021, 20% DF	San Lorenzo, Poblacion-Rehabilitation of Waterway/Replacement of RCCP	200,000.00	
CY 2020, 20% DF	Pamantolon (Renovation of Evacuation Center)	500,000.00	
CY 2020, 20% DF	Liminangcong (Rehabilitation of Creek)	3,000,000.00	
CY 2020, 20% DF	Sandoval (Construction of Mangrove Boardwalk)	3,000,000.00	
CY 2020, 20% DF (SB)	Talog (Construction of Multi-Purpose Pavement-MPP)	400,000.00	
CY 2019, 20% DF	New Guinlo (Construction of Multi-Purpose Hall- Sitio Minara to Barangay Proper per Mun. Ord. No. 412-2021)	750,000.00	
CY 2019, 20% DF	Casian (Construction/Concreting of MPP Proper)	800,000.00	
CY 2019, 20% DF	Talog (Construction of MPP- Sitio Magsasaka)	800,000.00	
CY 2019, 20% DF	Construction of Access Road to Alacalian National High School	465,000.00	
CY 2019, 20% DF	Construction of FMR- Sitio Quilala to Sitio Tabuyo, Poblacion	8,311,137.80	
CY 2019, 20% DF	Banbanan (Construction of Small Water Impounding-Sitio Calapa)	500,000.00	
CY 2018, 20% DF	Bato (Construction of MPH (DCC)	700,000.00	
Cont., MMO	MO (Construction of MPH (DCC) Bato Proper former Completion of Calabucay DCC-Bato	1,300,000.00	
CY 2018, 20% DF	Construction of Access Road to CLR Airport-Ord. No. 329-19	4,145,830.00	
CY 2018, 20% DF	Construction of FMR-Arado Faith Adventist Academy, Poblacion	3,808,740.00	
CY 2018, 20% DF	Libertad (Construction of FMR	4,045,430.00	
Cont., MMO	MO (Construction of MPB- Banbanan Nat'l High School Former Construction of 2 Classroom MPH-Sitio Pinagpla, Alacalian	2,400,000.00	
Cont., MMO	Additional Fund (Municipal Annex Building)	4,799,763.00	
CY 2018, 20% DF	Construction of MPH/DCC Sitio Malinao, Libertad	744,152.52	NR
CY 2021, MEPO	Other Land Improvement (Fencing Extension)	97,483.00	NR

FUND SOURCE	PROJECT NAME	ABC	
TMWSDP	Bilaran Falls Water System	6,763,000.00	NR
TMWSDP	East Danao Lake Water System Phase II	12,504,000.00	NR
TMWSDP	Malinao River Water System	4,217,000.00	NR
TMWSDP	Timburan (Poblacion) River Water System	4,431,000.00	NR
TMWSDP	Toytoyin Falls Water System	3,383,000.00	NR
TMWSDP	West Danao Lake Water System	45,255,000.00	NR
TMWSDP	Liminangcong Deepwell Water System	15,060,000.00	NR
TMWSDP	New/Old Guinlo Deepwell Water System	8,800,000.00	NR
CY 2020, 20% DF (SB)	Calawag (Concreting of Barangay Road)	800,000.00	NR
CY 2020, 20% DF (SB)	Silanga (Construction of Barangay Road)	600,000.00	NR
CY 2019, 20% DF	Batas (Construction of Multi-Purpose Hall)	2,300,000.00	NR
CY 2019, 20% DF	Bato- (Construction of Multi-Purpose Hall-Purok Norte per Mun. Ord. No. 412-2021)	500,000.00	NR
CY 2019, 20% DF	San Jose (Construction of Multi-Purpose Hall)	1,400,000.00	NR
CY 2018, 20% DF	BDAF-Paglaum (Construction of FMR per Mun. Ord. No. 412-2021)	200,000.00	NR
CY 2017, 20% DF	Talog (Construction of DCC)	218,000.00	NR
CY 2017, 20% DF	Poblacion (Construction of San Lorenzo Drainage Canal)	235,727.40	NR
CY 2017, 20% DF	BDAF-Paglaum (Construction of FMR per Mun. Ord. No. 412-2021)	200,000.00	NR
CY 2016, 20% DF	BDAF-Paglaum (Construction of FMR per Mun. Ord. No. 412-2021)	200,000.00	NR
CY 2015, 20% DF	BDAF-Paglaum (Construction of FMR per Mun. Ord. No. 412-2021)	200,000.00	NR
Cont., MMO	MO (Poblacion Drainage Canal)	260,620.00	NR
Cont., Market	Market (Renovation of Public Market)	3,346,397.70	NR
Cont., SEF	I-Construction of 2 Rooms CR w/ Washing Facility	260,000.00	NR
CY 2018, 20% DF	Counterpart Assistance to Disadvantage Municipality (Reprogrammed to Construction of Evacuation Center Phase II-Sitio Culanga, Poblacion Ord. No. 391-2020)	3,500,000.00	NR
CY 2021, MMO	Repairs and Maintenance of Roads and Bridges	3,700,000.00	NR
	TOTAL ONGOING PROJECTS	₱211,098,475.09	
UNIMPLEMENTED PROJECTS			
CY 2021, MMO	Bantulan-Construction of MPB (Sitio Sader)	2,400,000.00	
CY 2021, MMO	San Jose- Construction of Barangay Learning Center (Sitio Bulalo)	2,000,000.00	
CY 2021, MMO	Liminangcong-Construction of Tulduan MPB (2 Rooms Elem. School	2,400,000.00	
CY 2021, 20% DF	Casian-Construction of Multi-Purpose Hall	3,000,000.00	
CY 2021, 20% DF	Bato- Construction of Box Culvert	3,000,000.00	
CY 2021, 20% DF	Talog- Construction of farm to Market Road	3,000,000.00	
CY 2021, 20% DF	Poblacion-Concreting of Barangay Road- Sitio Montevista to senior High	5,076,995.43	
CY 2021, 20% DF	Puralaquen-Improvement of Water System	3,400,000.00	
CY 2021, 20% DF	Banbanan-Construction of Water System	2,250,000.00	
CY 2021, 20% DF	Liminangcong- Construction of Water System (Sitio Binaluan)	2,500,000.00	
CY 2021, 20% DF	Pancol- Construction of Water System (Sitio Sigpit)	2,400,000.00	
CY 2021, 20% DF	Casian-Construction/Installation of Desalination Plant/Facility	5,100,000.00	
CY 2020, 20% DF	Maytegued (Construction of Evacuation Center)	1,500,000.00	
CY 2020, 20% DF	Debanagan (Concreting of Road- Purok 1-4)	3,000,000.00	
CY 2020, 20% DF	Construction of Mayat Training Dormitory	820,000.00	
Cont., MMO	MO-Construction of Mayat Training Dormitory	1,620,000.00	
CY 2021, MAO	Construction of Multi-Purpose Building	6,000,000.00	NR
CY 2021, MDRMO	Power Supply System (Installation of Beacon Lightings with Solar Power Supply and Weather Monitoring Camera)	1,600,000.00	NR
CY 2021, 20% DF	Equity to KALAHI CIDSS NCDDP	5,000,000.00	NR
TMWSDP	Alacalian River Water System	3,864,000.00	NR
TMWSDP	Banbanan Falls Water System	3,822,000.00	NR
TMWSDP	Canique Falls Water System	4,355,000.00	NR
TMWSDP	Ilotan River Water System	4,151,000.00	NR

FUND SOURCE	PROJECT NAME	ABC	
TMWSDP	San Jose River Water System	3,445,000.00	NR
TMWSDP	Baras Deepwell Water System	5,820,000.00	NR
TMWSDP	Batas Deepwell Water System	5,710,000.00	NR
TMWSDP	Casian Deepwell Water System	11,250,000.00	NR
TMWSDP	Debangan Deepwell Water System	4,950,000.00	NR
TMWSDP	Depla Deepwell Water System	5,120,000.00	NR
TMWSDP	Maytegued Deepwell Water System	6,085,000.00	NR
TMWSDP	Minapla Deepwell Water System	4,962,000.00	NR
TMWSDP	Paly Deepwell Water System	9,343,000.00	NR
TMWSDP	Silangga Deepwell Water System	5,167,000.00	NR
TMWSDP	Talog Deepwell Water System	12,093,000.00	NR
CY 2020, 20% DF	Improvement of Sandoval- Silanga Road	15,000,000.00	NR
CY 2020, 20% DF (SB)	Construction of Tourism Information Center	4,092,554.00	NR
CY 2018, 20% DF	Casian (Construction of MPH Ord. No. 352-19)	200,000.00	NR
CY 2018, 20% DF	Maytegued (Concreting of MPP within Barangay Plaza)	200,000.00	NR
CY 2017, 20% DF	BDAF (Maytegued MPH-Ord. No. 352-19)	200,000.00	NR
CY 2017, 20% DF	BDAF (Casian MPH-Ord. No. 352-19)	200,000.00	NR
CY 2017, 20% DF	Casian (Construction of MPP)	400,000.00	NR
CY 2017, 20% DF	BDAF-San Jose (Rehabilitation of Electrification Site per Mun. Ord. No. 412-2021)	200,000.00	NR
CY 2014, 20% DF	Completion of Municipal Annex Building	1,112,679.80	NR
CY 2014, 20% DF	Completion of Municipal Retaining wall	849,282.70	NR
Cont., MMO	Calawag (Completion of Calawag Wharf)	200,000.00	NR
TOTAL UNIMPLEMENTED PROJECTS		₱168,858,511.93	

“NR” - Status of Implementation not reported by Engineering Office

It was noted that 55 projects (marked as NR or “not reported” in Table 13.1) were not included in the report, thus the status of implementation of these projects could not be verified contrary to COA Circular No. 2013-004 dated January 30, 2013.

As shown in Table 13.2, 45 infrastructure projects with ABC totaling ₱168,858,511.93 were not yet implemented or started in CY 2021. These projects funded by the General Fund Proper and 20% Development Fund (DF) were incorporated in the Annual Investment Plan of the Municipality of Taytay, which means that these were identified as priority projects to be implemented in each budget year, yet remained unimplemented as of December 31, 2021.

It may be understood that during CY 2020, timely implementation of the projects were adversely affected by the COVID-19 pandemic due to travel restrictions, limited workforce and availability of construction materials and supplies. However, Table 13.2 also shows that there are projects funded from years prior to CY 2020 which remained unimplemented while others were still on-going or not yet completed as of yearend. On-going projects may be acceptable in some degree however projects that have not yet even started should be provided with sufficient satisfactory explanation.

The lack of proper planning and adequate monitoring/evaluation of infrastructure projects may have prevented the management from ensuring the efficiency of operations and taking necessary actions to address delays in project implementation. In relation to this, we cite the following pertinent provisions of the R.A. No. 7160 are as follows:

Section 109. *Functions of Local Development Councils.* - (a) *The provincial, city, and municipal development councils shall exercise the following functions: Xxx..*

- (5) *Coordinate, monitor and evaluate the implementation of development programs and projects;*

Section 476(b) *The **planning and development coordinator** shall take charge of the planning and development office and shall:*

- (4) *Monitor and evaluate the implementation of the different development programs, projects, and activities in the local government unit concerned in accordance with the approved development plan;*

Section 477(b) *The **engineer** shall take charge of the engineering office and shall:*

- (3) *Administer, coordinate, supervise, and control the construction, maintenance, improvement, and repair of roads, bridges, and other engineering and public works projects of the local government unit concerned;*

Attention is also invited to the Section 3.2 of DBM-Department of Finance (DOF)-DILG JMC No. 2020 No. 1 dated November 4, 2020, which is the revised guidelines on the appropriation and utilization of the 20% DF:

3.2 The LGUs are enjoined to observe the following policies and guidelines in the appropriation and utilization of the 20% DF:

3.2.1 The 20% DF shall be utilized to finance the LGUs' priority development projects, as embodied in their respective duly approved local development plans, and medium-term and annual investment programs, which should be harmonized with the Regional Development Plan and the Philippine Development Plan.

3.2.2 The development projects that may be included under the 20% DF shall be those that are necessary, appropriate, or incidental to efficient and effective local governance, and those which are essential to the promotion of the general welfare of the people.

3.2.3 **The LGUs shall ensure that the development projects to be funded out of the 20% DF are well-planned and procurement-and-implementation-ready.** (emphasis ours)

b. Unreconciled accounting records and budget reports for infrastructure projects

Verification of the CY 2021 SAAOB and registries revealed that the total obligated amounts for the following projects differ from the total recorded costs per Construction-in-progress (CIP) ledger, to wit:

Table 13.3 Difference of Project Costs per Accounting Records and per Budget Reports

PROJECT NAME	Registry	CIP Ledger	DIFFERENCE
Alacalian (Construction of Multi-Purpose Hall-Sitio Pinagpala)	₱1,590,666.04	₱1,454,513.13	136,152.91
Pularaquen (Completion of Multi-Purpose Hall)	950,607.60	1,214,700.00	(264,092.40)
Health Facility Enhancement Program (Construction of Maternal Home)	2,983,828.76	2,989,180.67	(5,351.91)
Libertad (Concreting of FMR from Proper to Crossing Malinao)	2,444,718.11	2,870,710.15	(425,992.04)
		TOTAL	₱(559,283.44)

Review of the CIP ledger for the Construction of Multi-purpose Hall, Sitio Pinagpala, Bgy. Alacalian implemented thru straight contract with a contract cost of ₱2,295,313.13 revealed that the recorded costs incurred to date was understated by ₱840,800.00 due to incorrect posting of adjusting entry amounting to ₱840,800.00. Moreover, the costs incurred to date for the Concreting of FMR from Proper to Crossing Malinao project could not be determined due to unreliable record for that PPE. The amount of ₱2,870,710.15 was obtained by the Audit Team from three different ledgers.

There are 23 water systems implemented under the Taytay Municipal-wide Water System Development project funded by the loan from MDFO. It was also noted that the remaining appropriations per registry differ from the remaining balance computed based on accounting records. Details are as follow.

Table 13.4 Variances on the Remaining Appropriations per Accounting Records and per Registry

Water System (WS)	ABC-Materials	Delivered and Paid (CIP ledger)	Remaining Appropriations		VARIANCE
			Per Audit	Per SAAOB	
Alacalian River WS	₱3,075,719.70	₱0.00	₱3,075,719.70	₱2,997,914.70	₱77,805.00
Banbanan Falls WS	3,044,400.01	0.00	3,044,400.01	2,966,595.01	77,805.00
Bilaran Falls WS	5,398,076.07	2,095,698.00	3,302,378.07	3,219,841.07	82,537.00
Canique Falls WS	3,454,496.45	0.00	3,454,496.45	3,385,268.25	69,228.20
East Danao Lake WS Phase II	10,454,495.83	5,356,992.98	5,097,502.85	5,097,502.85	0.00
Ilotan River WS	3,305,830.74	0.00	3,305,830.74	3,228,025.74	77,805.00
Malinao River WS	3,347,281.00	1,069,518.00	2,277,763.00	2,209,356.00	68,407.00
San Jose River WS	2,738,604.92	0.00	2,738,604.92	2,660,799.92	77,805.00
Timburan (Poblacion) River WS	3,609,578.34	0.00	3,609,578.34	3,609,578.34	0.00
Toytoyin Falls WS	2,680,139.42	694,350.00	1,985,789.42	1,915,727.42	70,062.00
West Danao Lake WS	36,187,063.43	25,554,879.00	10,632,184.43	10,554,379.43	77,805.00
Baras Deepwell WS	4,581,192.54	0.00	4,581,192.54	4,501,687.54	79,505.00
Batas Deepwell WS	4,465,420.85	0.00	4,465,420.85	4,408,625.85	56,795.00
Casian Deepwell WS	8,852,866.30	0.00	8,852,866.30	8,778,213.30	74,653.00

Water System (WS)	ABC-Materials	Delivered and Paid (CIP ledger)	Remaining Appropriations		VARIANCE
			Per Audit	Per SAAOB	
Debangan Deepwell WS	3,842,143.25	0.00	3,842,143.25	3,763,338.25	78,805.00
Depla Deepwell WS	3,986,843.02	0.00	3,986,843.02	3,907,503.02	79,340.00
Liminangcong Deepwell WS	12,083,517.13	804,911.00	11,278,606.13	11,200,591.13	78,015.00
Maytegued Deepwell WS	4,808,518.20	0.00	4,808,518.20	4,730,713.20	77,805.00
Minapla Deepwell WS	3,851,110.05	0.00	3,851,110.05	3,772,314.05	78,796.00
New/Old Guinlo Deepwell WS	7,111,400.18	2,518,233.00	4,593,167.18	4,512,658.18	80,509.00
Paly Deepwell WS	7,574,961.38	0.00	7,574,961.38	7,496,153.38	78,808.00
Silangga Deepwell WS	4,029,950.48	0.00	4,029,950.48	3,953,729.49	76,220.99
Talog Deepwell WS	9,914,995.04	0.00	9,914,995.04	9,837,190.04	77,805.00
				VARIANCE	₱1,596,316.19
<i>*Labor component of the projects was not included above since variance was only noted in the material component budget</i>					

The review of the obligated amounts in the registries against the recorded costs in the accounting records were only conducted by the Audit Team for a very few projects since the ledgers submitted by the Accounting Office pertain mostly to projects implemented thru straight contract (see the next finding on the absence of CIP ledgers or schedules for infrastructure projects).

c. Absence of CIP ledgers or schedules for completed and on-going projects

Infrastructure projects which are not supported with schedules or CIP ledgers are the following:

Table 13.5 Completed and On-going projects without Schedule/CIP ledger

FUND SOURCE	PROJECT NAME	Actual Cost Incurred to Complete
COMPLETED		
CY 2020- LGSF FY 2019	Rehabilitation, Repair and Improvement of Slaughterhouse	₱1,886,103.97
CY 2016, 20% DF	Riprapping/BackFilling of Liminangcong Public Market	992,730.00
CY 2021, MMO	Poblacion- Construction of 2 Units CR (Jaes)	129,995.00
CY 2018, 20% DF	BDAF -San Jose (Construction of Boat Landing per Mun. Ord. No. 412-2021	192,340.00
CY 2019, 20% DF	Libertad (Construction of Multi-Purpose Hall)	1,400,000.00
CY 2021, 20% DF	Abongan- Concreting of Barangay Road- Purok Matahimik	1,463,001.82
CY 2021, 20% DF	Abongan- Concreting of Barangay Road- Purok Pag-asa	1,172,840.00
CY 2021, 20% DF	Calawag- Concreting of Barangay Road (New Site)	1,998,576.09
CY 2021, 20% DF	Maytegued- Construction of 1 Unit Senior Citizen Center	1,099,392.00
CY 2021, 20% DF	Depla- Construction of 1 Unit Senior Citizen Center	1,099,392.00
CY 2021, 20% DF	Calawag-Concreting of Barangay Road (Purok Boulevard)	932,389.02
CY 2018, 20% DF	Depla (Construction of Nutrition Center)	496,684.84
CY 2020, 20% DF (SB)	Poblacion (Completion of Health Center-Sitio Igang)	282,638.40
CY 2017, 20% DF and Cont. MO	Construction of Barangay Stage, Depla	525,335.00
CY 2018, 20% DF	Liminangcong (Construction of Drainage Canal-Purok Masagana)	589,004.00
CY 2019, 20% DF	Maytegued (Construction of Farm to Market Road)	762,706.18
CY 2021, OVM (SB)	Construction of New Legislative Conference Hall	1,300,000.00
	TOTAL	₱16,323,128.32

FUND SOURCE	PROJECT NAME	OBLIGATION AS OF 12/31/21
ONGOING PROJECTS		
CY 2021, MMO	Repairs and Maintenance of Roads and Bridges	3,607,209.88
CY 2021, MMO	Rehabilitation of Poblacion Wharf	167,765.00
CY 2021, 20% DF	Debanan- Completion of Multi-Purpose Hall	300,000.00
CY 2020, 20% DF (SB)	Debanan (Construction of Multi-Purpose Building-MPB)	1,009,739.07
CY 2021, 20% DF	Poblacion- Concreting of Montevista Barangay Road	838,429.85
CY 2021, 20% DF	Old Guinlo- Concreting of Barangay Road-Sitio Campo	1,903,043.20
CY 2020, 20% DF	Biton (Construction of 2 Storey Evacuation Center)	494,800.68
CY 2020, 20% DF	Tumbod (Construction of Boat Landing)	1,874,666.50
CY 2020, 20% DF	San Jose (Concreting of Barangay Road)	295,890.00
CY 2020, 20% DF (SB)	Rehabilitation of Arado II Bridge	222,199.84
CY 2020, 20% DF (SB)	New Guinlo (Completion of Multi-Purpose Building-Bgy. Hall	130,551.00
CY 2021, 20% DF	San Jose- Concreting of Barangay Road	11,100.00
CY 2021, 20% DF	San Lorenzo, Poblacion-Rehabilitation of Waterway/Replacement of RCCP	5,560.00
CY 2020, 20% DF	Pamantolon (Renovation of Evacuation Center)	374,117.00
CY 2020, 20% DF	Liminangcong (Rehabilitation of Creek)	1,800,000.00
CY 2020, 20% DF	Sandoval (Construction of Mangrove Boardwalk)	1,429,639.80
CY 2020, 20% DF (SB)	Talog (Construction of Multi-Purpose Pavement-MPP)	240,000.00
CY 2019, 20% DF	New Guinlo (Construction of Multi-Purpose Hall- Sitio Minara to Barangay Proper per Mun. Ord. No. 412-2021)	431,470.43
CY 2019, 20% DF	Casian (Construction/Concreting of MPP Proper)	480,000.00
CY 2019, 20% DF	Talog (Construction of MPP- Sitio Magsasaka)	480,000.00
CY 2019, 20% DF	Construction of Access Road to Alacalian National High School-Ord. No 349	320,948.94
CY 2019, 20% DF	Construction of FMR- Sitio Quilala to Sitio Tabuyo, Poblacion- Ord. No. 349	1,044,297.80
CY 2019, 20% DF	Banbanan (Construction of Small Water Impounding-Sitio Calapa)	441,474.38
CY 2018, 20% DF	Construction of Access Road to CLR Airport-Ord. No. 329-19	3,027,119.42
CY 2018, 20% DF	Construction of FMR-Arado Faith Adventist Academy, Poblacion-Ord No. 329-19	2,901,138.94
CY 2018, 20% DF	Libertad (Construction of FMR- Ord. No. 329-19	2,242,866.60
CY 2018, 20% DF	Construction of MPH/DCC Sitio Malinao, Libertad	744,152.52
CY 2021, MEPO	Other Land Improvement (Fencing Extension)	97,483.00
CY 2020, 20% DF (SB)	Calawag (Concreting of Barangay Road)	582,031.50
CY 2020, 20% DF (SB)	Silanga (Construction of Barangay Road)	593,646.36
CY 2019, 20% DF	Batas (Construction of Multi-Purpose Hall)	2,295,952.04
CY 2019, 20% DF	Bato- (Construction of Multi-Purpose Hall-Purok Norte per Mun. Ord. No. 412-2021)	497,805.00
CY 2019, 20% DF	San Jose (Construction of Multi-Purpose Hall)	1,398,640.98
CY 2018, 20% DF	BDAF-Paglaum (Construction of FMR per Mun. Ord. No. 412-2021)	190,232.00
CY 2017, 20% DF	Talog (Construction of DCC)	55,000.00
CY 2017, 20% DF	Poblacion (Construction of San Lorenzo Drainage Canal)	234,848.42
CY 2017, 20% DF	BDAF-Paglaum (Construction of FMR per Mun. Ord. No. 412-2021)	200,000.00
CY 2016, 20% DF	BDAF-Paglaum (Construction of FMR per Mun. Ord. No. 412-2021)	199,667.90
CY 2015, 20% DF	BDAF-Paglaum (Construction of FMR per Mun. Ord. No. 412-2021)	200,000.00
Cont., MMO	MO (Poblacion Drainage Canal)	260,620.00
Cont., Market	Market (Renovation of Public Market)	2,798,825.00
Cont., SEF	I-Construction of 2 Rooms CR w/ Washing Facility	259,245.00
	TOTAL	₱36,682,178.05

Although the e-NGAS generates subsidiary ledger (SL) based on the entries made by the Accounting Office, these SLs could not be relied upon since it was found in audit that multiple SLs were maintained for one project or the related expenditures of each project were separately entered into two or more different SLs, or in some cases, projects implemented by administration have separate SLs for materials and for labor component. This happened due to the different project “names” that were encoded per JEV in the system even if the expenditures pertain to one and the same project, thus the purpose of maintaining the SL was not served, contrary to Section 114(2) of P.D. No. 1445 which requires that *subsidiary records shall be kept where necessary*. Ideally, the SL of PPE is on a per item/PPE basis to easily facilitate the recognition and derecognition in the books upon procurement and retirement/disposal, respectively.

The foregoing observation regarding the SLs per project had been brought to the attention of the Management last year. The Audit Team has required the submission of the schedules or SLs per project as supporting document to the MEO’s report on the status of implementation of projects since accurate SLs could not be easily obtained from the eNGAS.

Due to absence of reliable schedule of SL balances, the Audit Team could not immediately verify the accuracy of the actual work accomplishment reported per project by the MEO.

d. Lacking technical documents for projects implemented “by administration”

In submitting the status report of projects, the Audit Team required that the copies of the following technical documents for projects implemented by “administration”:

<i>For completed projects:</i> • Program of Works (POW) • Plans and Drawings (with technical specifications) • Statement of Work Accomplishment (SWA) • Fuel Consumption Report • Equipment Utilization Report • PERT-CPM or Construction Schedule • Certificate of Completion • Inspection Report • As-built Plan • Labor- contract and paid payroll of job order personnel • Materials- PO/contract, PR and IAR • Pictures- properly labeled and with coordinates to describe the exact location (particularly road construction projects)	<i>For on-going projects:</i> • POW • SWA
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As previously mentioned, the Municipal Engineer belatedly submitted the status report on the implementation of the infrastructure projects during CY 2021. To

extend assistance to the MEO, the Municipal Accountant submitted technical documents for eight projects implemented by administration prior to CY 2021 and only four projects implemented in CY 2021. There was no submission of the SWA indicating the percentage of completion for both materials and labor component, or the project as a whole, Certificate of Completion, Inspection Report, As-built plan and pictures.

Without the schedules or SLs showing the JEV numbers, payees/suppliers and amounts per expenditure of each project as well as the SWA duly signed by the Municipal Engineer, the Audit Team could not validate the paid vouchers related to the projects as well as verify the percentage of completion or the reported total costs incurred to date for each project implemented by administration.

e. Lacking As-built plans and revised S-curve for seven projects implemented thru straight contracts

Audit of the paid vouchers for the following projects implemented thru straight contracts revealed various lacking documents, to wit:

Table 13.6 Lacking Technical Documents

PROJECT	CONTRACTOR	CONTRACT AMOUNT	LACKING DOCUMENTS
Construction of Depla MPH	JAS Trading and Construction	₱1,999,475.01	As-built Plan
Banbanan MPH	Johnstar Trading and Construction	2,295,313.13	
Health Facility Enhancement Program (Construction of Maternal Home)	E.V. Villaos Trading	2,983,828.76	Revised S-curve
Alacalian (Construction of Multi-Purpose Hall-Sitio Pinagpala)	Johnstar Trading and Construction	2,295,313.13	Revised S-Curve and As-built Plan
Poblacion (Construction of Multi-Purpose Hall-Sitio Nalbot)	JAS Trading and Construction	1,996,117.27	As-built Plan
Pularaquen- Construction of Multi-purpose Hall		1,097,054.16	
Talog- Construction of Multi-purpose Hall		1,097,054.16	

These lacking documents are needed in the technical evaluation and inspection of the above completed projects.

f. Completed infrastructure projects, which were implemented by the barangays, could not be recognized in the books due to absence of proof of completion and inspection report from the Municipal Engineer

The MGTP transferred funds to the barangays for the implementation of various projects programmed and funded under the 20% DF from different budget years. Upon inquiry with the Municipal Accountant, several barangays already submitted their liquidations pursuant to the requirement of their MOA with the LGU.

However, the completed projects were not booked by the Municipal Accountant due to absence of supporting documents such as Certificate of Completion, POW, Plans, pictures, and Inspection Report from the Municipal Engineer.

We recommended that the:

- a. Municipal Engineer and the Municipal Planning and Development Coordinator (MPDC) fast track the implementation of the infrastructure projects and ensure that all projects are strictly monitored and implemented in accordance with plans and schedules;**
- b. MPDC and the Local Development Council establish priorities during investment programming and include in the Annual Investment Program only those programs and projects which are feasible, specifically identified and with resource requirements that are based on duly approved POWs and Detailed Cost Estimates;**
- c. Municipal Accountant and the Municipal Budget Officer, in coordination with the Municipal Engineer, reconcile their records to determine the correct total actual cost incurred for each project;**
- d. Municipal Engineer (i) ensure that the status report of all infrastructure projects of the municipality is complete and supported with SWA and other documents required for technical evaluation and inspection; (ii) provide the completion and inspection report and other documents necessary in the recording of the projects implemented by the barangays; and (iii) henceforth, strictly comply with the requirements of COA Circular No. 2013-004; and**
- e. Municipal Accountant (i) submit the schedule of the SL balances of the CIP account as well as the schedule of the related expenditures of completed projects already transferred to PPE account to facilitate validation of the reported actual work accomplished per project; and (ii) in coordination with the Municipal Engineer, submit the aforementioned lacking technical documents of the projects.**

The Management agreed to implement the audit recommendations. They commented that one of the reasons for non-implementation or delayed implementation of projects was the lack of tenurial instrument such that many projects have locations which are still classified as timberland. However, to address the issue, the Management decided to reprogram/realign some of the projects to locations with tenurial instruments to ensure immediate utilization of the funds for the implementation of priority development projects.

Compliance with Tax Laws and Remittances to GSIS/Pag-Ibig/HDMF

- 14. The year-end balances of Due to BIR, GSIS and PhilHealth included negative balances totaling ₱299,328.89 which connotes over-remittances while balances totaling ₱16,341.69 were not supported with subsidiary schedules.**

Due to BIR, GSIS, Pag-IBIG and PhilHealth accounts showed a total balance of ₱5,339,708.79 as of December 31, 2021, as presented in the following table:

Table 14.1 Schedule of Due to BIR, GSIS, Pag-IBIG and PhilHealth

Account	Balance per Subsidiary Schedules	Negative Balances	Remitted in January 2022
Due to BIR			
General Fund			
Individual Withholding Tax	₱651,163.29	₱(30,500.78)	₱1,209,997.95
1% EWT	155,084.02	0.00	
2% EWT	126,181.13	0.00	
3% Non VAT	1,922.60	0.00	
5% VAT	618,870.52	0.00	
5% EWT	3,219.21	0.00	
1% Non VAT	30,152.80	0.00	
Special Education Fund			
1% EWT	3,025.80	0.00	18,661.28
2% EWT	1,359.48	(0.02)	
5% VAT	18,527.80	0.00	
Sub-total	1,609,506.65	(30,500.80)	1,228,659.23
Due to GSIS			
General Fund			
Life and Retirement (Personal Share)	698,622.63	(68,922.99)	2,478,599.12
Life and Retirement (Govt. Share)	896,792.13	(92,089.43)	
Employees Compensation Contribution	29,210.92	(3,074.96)	
Consolidated Loan	385,303.85	(39,288.57)	
Policy Loan	32,068.02	(10,991.98)	
Optional Loan	719.12	0.00	
Educational Assistance Loan	25,733.73	(1,083.35)	
Calamity/Emergency Loan	64,392.48	(4,316.90)	
Optional Life	393.12	(1,249.46)	
E-Card Plus Loan	800.00	0.00	
GFAL Loan	452,804.62	(7,707.56)	
MPL	150,152.70	(21,736.15)	
Computer Loan	18,683.27	0.00	
For reconciliation	(10,202.66)	(10,202.66)	
Sub-total	2,745,473.93	(260,664.01)	2,478,599.12
Due to Pag-ibig			
General Fund			
Personal Premiums	133,367.13	0.00	287,807.57
Government Premiums	133,367.15		
Multi Purpose Loan	4,171.84		
Modified Pag-Ibig II (MP2)	3,000.00		
Sub-total	273,906.12	0.00	287,807.57

Account	Balance per Subsidiary Schedules	Negative Balances	Remitted in January 2022
Due to PhilHealth			
<i>General Fund</i>			
Personal Premiums	352,347.97	(4,081.91)	184,164.81
Government Premiums	352,335.09	(4,082.17)	
For reconciliation	6,139.03	0.00	
Sub-total	710,822.09	(8,164.08)	184,164.81
Total	₱5,339,708.79	₱(299,328.89)	₱4,179,230.73

As shown in the preceding table, negative balances aggregating ₱299,328.89 were noted in the subsidiary schedules which connote over-remittances or erroneous recording of transactions. Also, balances totaling ₱16,341.69 were not supported with subsidiary schedules containing the list of individual employees with the corresponding amount of contributions and loan amortizations which make up the unremitted or negative balances causing difficulty in its remittance to the respective government agencies and/or for the necessary adjustments, as appropriate. Moreover, review of the submitted General Journals for January 2022 revealed that the municipal government remitted only the amount of ₱4,179,230.73 leaving a balance of ₱1,160,478.06.

Inquiry with the Assistant Municipal Accountant disclosed that the unremitted contributions and loan amortizations as well as the incurrence of negative balances was still caused by the difference between the amount of contributions and loan amortizations computed and the amount in the billing sent by the GSIS, Pag-IBIG and Philhealth. The systems used by these agencies do not accept payments unless it is of the same amount as the billing they sent, therefore the Municipality remits only the stated amount in the billing even if it was different from their computation and records. Also, other negative balances from prior years have been carried over and as of this date, reconciliation of these records is still on-going. For the Due to BIR account, the negative balance represents over-remittances and were already adjusted in March 2022. The unremitted balances of these accounts as of December 31, 2021 were remitted only in March 2022.

We recommended that the a) Municipal Accountant complete the reconciliation of their records on Due to GSIS, Pag-IBIG and PhilHealth and provide subsidiary schedules for balances totaling ₱16,341.69 to facilitate remittance to the concerned agencies; b) HRM Officer immediately determine the cause/s of the discrepancies between the computed contributions and loan amortizations and the amounts on the billing sent by these agencies and inform the individuals concerned in order to facilitate the necessary adjustments; and c) Municipal Accountant and the Municipal Treasurer ensure that funds collected by the municipal government in behalf of other government agencies are remitted to them fully and within the prescribed due dates to avoid incurrence of interests and penalties.

The Management commented that the LGU remittances to the said national government agencies are done within the prescribed due date. However, the Municipal Accountant explained that the unremitted amount of withheld taxes and contributions were due to unreconciled billing statements of the GSIS, Pag-ibig and PhilHealth against the

records of the Municipality. The system of these national government agencies does not accept payments if it differs from the billings they sent to the LGU.

In their letter-reply submitted on June 23, 2022, the Management explained that the GSIS Electronic Billing Collection System (EBCS) sends Monthly Electronic Billing Files (EBFs) of the succeeding month to the Accounting Office before the current month's end. Given the fact that billings are received by the LGU in advance, there were instances where changes in the salary of an employee within the month being billed affected the computations for premium contributions. Examples would be promotions and appointments in the organization with varying cut-off dates occurring within the month. Moreover, salary adjustments, in adherence to the Salary Standardization Law, which are reflected thru Notices of Salary Adjustment (NOSAs) and indicated in reports prepared and uploaded by the Human Resource Management Office (HRMO), as the LGU Agency Authorized Office, to the GSIS were not immediately updated in the latter's system. The Accounting Office prepares payrolls based on data provided by the HRMO and remittances, on the other hand, are based on the GSIS electronic billing statement sent. The foregoing circumstances, timing differences so to speak, cumulatively resulted in discrepancies in premiums due as well as loans being deducted from employees' payroll against the amounts remitted to GSIS.

The Municipal Mayor has already directed the concerned offices to continuously coordinate and communicate with these agencies and to abide by the recommendations of the Audit Team to lessen and if possible, zero out discrepancies in the future. The HRMO will inform the individual employee to reconcile their records with the GSIS and the Municipal Accounting Office shall continue to reconcile their individual accounts and their SLs.

During exit conference, the Municipal Accountant also commented that she issues a certification of the amounts withheld and remitted to enable the employees to reconcile their records with the GSIS.

Gender and Development Fund

- 15. The MGTP failed to secure the approval/endorsement of the DILG Provincial Office for the changes made in the approved GAD Plan and Budget (GPB) contrary to the provisions of Sections 4.1.C.6 and 4.1.C.7 of PCW-DBM-DILG-NEDA JMC No. 2013-01 dated July 18, 2013, as amended by PCW-DBM-DILG-NEDA JMC No. 2016-01 dated January 12, 2016.**

PCW-DBM-DILG-NEDA Joint Memorandum Circular (JMC) No. 2013-01 dated July 18, 2013 titled "Guidelines on the Localization of Magna Carta for Women" as amended by PCW-DBM-DILG-NEDA JMC No. 2016-01 dated January 12, 2016 provides that:

5.0 Section 4.1.C.6 (Submission, Review and Approval of LGU GAD Plans and Budgets) is hereby amended to read as follows:

“C.6 Submission, Review and Approval of LGU GAD Plans and Budgets

1) Xxx.

2) *Component cities and municipalities shall submit their GPBs to the PPDO to ensure the alignment of the municipal/city GAD PPAs with the priorities of the province and then from the PPDO to the DILG Provincial Office for its review and endorsement. DILG endorsed GPBs shall be returned to concerned LGUs for incorporation in their annual budgets to be enacted by their Local Sanggunian.*

Xxx.”

Accordingly, the MDTP, for CY 2021, allocated ₱40,487,989.40 for sixty-one GAD PPAs based on the GAD Plan and Budget (GPB) which was reviewed and endorsed by the DILG Provincial Director as to the gender responsiveness of GAD PPAs and compliance with the provisions of PCW-DILG-DBM-NEDA JMC Nos. 2013-01 and 2016-01 based on his certification dated November 25, 2020.

Review and verification of the submitted GAD and budget documents revealed that some PPAs were appropriated for in the annual budget but were not included in the DILG endorsed GPB or conversely. It was also noted that several amounts of GAD appropriations in the GPB differed from those incorporated in the annual budget and from the amounts in the Approved GAD Budget reported in the GAD Accomplishment Report (AR). The reasons were identified in some items and were indicated in the remarks column. Details are shown in the following table:

Table 15.1 Variances of the reported GAD Budget per PPA

LGU PPA	Approved GAD Budget			Remarks
	Annual Budget	GPB	GAD AR	
CLIENT-FOCUSED				
<i>Comprehensive Intervention Against Gender Based Violence</i>				
MOOE	₱1,800,000.00	₱1,700,000.00	₱1,700,000.00	
CO	0.00	3,000,000.00	3,000,000.00	Installation of solar powered streetlights with an approved budget of ₱3,000,000 included in the GPB and GAD AR but was not included in the annual budget. According to management, it was budgeted under the 20% Development Fund as per Ordinance No. 431, s.2021/SB No. 2
<i>Maternal and Child Health Program</i>				
MOOE	3,135,000.00	3,025,000.00	3,025,000.00	
CO	100,000.00	100,000.00	100,000.00	
<i>Family Planning Program</i>				
MOOE	480,000.00	300,000.00	300,000.00	
<i>Environmental and Health Sanitation</i>				

LGU PPA	Approved GAD Budget			Remarks
	Annual Budget	GPB	GAD AR	
MOOE	2,820,000.00	2,820,000.00	2,820,000.00	
CO	450,000.00	0.00	0.00	Other PPE (Water Analysis Equipment) included in the Annual Budget but was not included in the GPB/GAD AR
Nutrition Program				
MOOE	1,105,000.00	2,531,400.00	2,531,400.00	IYCF Program with an approved GAD budget of ₱70,000 not funded because the conduct of training was considered not feasible considering the restrictions brought by COVID-19 pandemic; Dietary Supplementation Program with an approved GAD budget of ₱1,500,000 was funded only ₱300,000 as per the GAD AR because the LGU has received sufficient quantity of Ready-to-Use Supplementary Food (RUSF) during last quarter of year 2020 from the Provincial Nutrition Office, thus only ₱300,000.00 was requested during budget deliberation.
Field Health Services				
MOOE	3,720,000.00	2,900,000.00	2,900,000.00	
Taytay Palawan Water System Operation Program				
MOOE	1,000,000.00	0.00	0.00	Included in the Annual Budget; Not included in the GPB/GAD AR
Indigenous People Welfare and Development Program (DepEd)				
MOOE	538,000.00	0.00	0.00	
ORGANIZATION-FOCUSED				
GAD Focal System Capability and Development Program				
PS	710,000.00	710,000.00	710,000.00	Budget of ₱443,902.73 for the procurement of supplies and office equipment was given by the LGU under the PPA of “the need to operationalize GAD unit operation and GAD PPAs
MOOE	1,555,902.73	4,903,600.00	5,347,502.73	
CO	240,000.00			
Capability and Development Program				
MOOE	890,000.00			

Also, the following changes were likewise noted in the submitted GAD AR however, no document supporting these changes were submitted.

Table 15.2 Changes noted in the GAD AR

Relevant LGU Program or Project	GAD Activity	Performance Indicator and Target	Approved GAD Budget	Variance or Remarks
Women Empowerment	Re-organize & strengthen women groups in the different barangays	No. of women organization/barangays organized	80,000.00	Additional ₱88,000 from reprogramming
GAD Program	Conduct GAD Capacity Development Program Implementation on Monitoring, Assessment and Review by the end of 2021	No. of regular quarterly GFPS meetings conducted=4	48,000.00	₱36,168 balance from procurement and was reprogrammed to the conduct of Gender Sensitivity Training
GAD Program	Preparation and submission of GAD Annual Accomplishment Report 2020 and GAD Plan and Budget 2022	No. of GAD plans and accomplishment submitted=2	12,000.00	Submitted GAD Plan and Accomplishment Report through GPBMS thus total fund was reprogrammed to the conduct of Gender Sensitivity Training
GAD Program	Conduct GST for newly hired LGU employees and Community Volunteers	No. of GST for newly hired LGU employees conducted=2 No. of male and female of newly hired LGU employees attended the GST=100 No. of GST conducted to Community Volunteers=11 No. of male and female attended the conducted GST=440	100,000.00	Additional ₱48,750 from reprogramming of other trainings fund
GAD Program	GAD Unit Operations	No. of Other Supplies procured by end of December 2021	203,902.73	Budget was given by the LGU and was not included to the 5% allotted for GAD Fund
		No. of procured Office Equipment	240,000.00	

The GPB to be incorporated in the annual budget of the Municipality, as well as any changes thereto, should have been reviewed and endorsed by the DILG in accordance with Sections 4.1.C.6 and 4.1.C.7 of PCW-DBM-DILG-NEDA JMC No. 2013-01, as amended. However, as shown in the foregoing tables, the annual budget differed from the submitted DILG endorsed GPB and several changes were made during the year as reported in the GAD AR yet, as per our inquiry with the Management, there was no supplemental GPB prepared and submitted. Evidently, the changes made in the GPB were not submitted for review and approval of the DILG Provincial Director as to the gender responsiveness of GAD PPAs or relevance of the GAD PPAs to the identified gender issues contrary to the provisions of Section 4.1.C.7 which provides:

6.0 Section 4.1.C.7 (Implementation and Monitoring of the LGU GAD Plan and Budget) is hereby amended to read as follows:

“C.7 Implementation and Monitoring of the LGU GAD Plan and Budget

1) Xxx.

2) *The LGUs through their LCEs shall inform the concerned DILG Office in writing if there are changes in the DILG endorsed GPB and/or if there is a need to implement additional PPAs relevant to current gender issues or GAD related undertakings. The concerned DILG Office, in turn, shall acknowledge receipt of the adjusted GPB and shall inform the LGU if the GAD PPAs or activities in the adjusted GPB are in accordance with the JMC, as amended.*
Xxx.”

We recommended that the GFPS ensure that the Annual GPB is incorporated in the Annual Budget, as well as any changes thereto, to ensure gender responsiveness of GAD programs, projects and activities.

The management commented that after deliberation, it was found out that some changes made on the GPB were contrary to the provisions of Sections 4.1.C.6 and 4.1.C.7 of PCW-DBM-DILG-NEDA JMC No. 2013-01 as amended by PCW-DBM-DILG-NEDA JMC No. 2016-01. The management committed that the GPB will be incorporated in the Annual Budget and that all changes made in the PPAs will be submitted to the DILG Provincial Office for their endorsement. They guaranteed to abide with the aforementioned provisions to ensure responsiveness of the GAD PPAs.

B. Unsettled Suspensions, Disallowances and Charges

Unsettled audit disallowances and suspensions amounted to ₱5,926,878.00 and ₱4,799,800.00, respectively, while there are no unsettled charges as of December 31, 2021, as summarized in this table.

Particulars	Balance, Beg. (Dec. 31, 2020)	This Period January 01 to December 31, 2021 (See Details Below)		Balance, End (Dec. 31, 2021)
		NS/ND/NC	NSSDC	
Notice of Suspension	₱4,799,800.00	₱ 0.00	₱ 0.00	₱4,799,800.00
Notice of Disallowance	9,666,878.00	0.00	3,740,000.00	5,926,878.00
Notice of Charge	0.00	0.00	0.00	0.00
Total	₱14,466,678.00	₱ 0.00	₱ 3,740,000.00	₱10,726,678.00

The details of unsettled disallowances are as follows:

Particulars	ND Nos.	Amount	Remarks
1.Romy L. Salvame, Municipal Mayor, and others - Payment for the	18-003-300- (2014 and 2015) dated	₱1,180,280.00	with COA Decision pending

Particulars	ND Nos.	Amount	Remarks
construction of SALINTUBIG project	August 15, 2018		issuance of COA Order of Execution (COE) - The Appeal was dismissed for having been filed out of time
2. Romy L. Salvame, Municipal Mayor, and others – Procurement of one (1) unit secondhand/ reconditioned mini dump truck with lacking supporting documents that will establish the reasonableness of the cost and conformity of the procurement procedures with RA No. 9184 and its 2016 IRR and DBM Budget Circular (BC) No. 446-A dated January 30, 1998	19-002-100-(2017) dated April 2, 2019	1,000,000.00	With Appeal filed at COA Region IVB. The Appellees (auditors) had already submitted answer to the Appeal, pending issuance of COA Region IVB Decision.
3. Romy L. Salvame, Municipal Mayor, and others - Procurement of one (1) unit reconditioned Isuzu double cab dropside with canopy 12 feet cargo truck with lacking supporting documents that will establish the reasonableness of the cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR and DBM Budget Circular (BC) No. 446-A dated January 30, 1998	19-003-100-(2017) dated April 2, 2019	1,100,000.00	With Appeal filed at COA Region IVB. The Appellees (auditors) had already submitted answer to the Appeal, pending issuance of COA Region IVB Decision.
4. Romy L. Salvame, Municipal Mayor, and others - Procurement of one (1) unit Isuzu rebuilt dropside with canopy truck and one (1) unit Isuzu Garbage Compactor rebuilt truck with lacking supporting documents that will establish the reasonableness of the cost and conformity of the procurement procedures with RA No. 9184 and its 2016 IRR and DBM Budget Circular (BC) No. 446-A dated January 30, 1998	19-004-100-(2017) dated April 2, 2019	2,300,000.00	
5. Engagement of services of a private lawyer as consultant	T20-001-100-(2017) dated February 26, 2020	140,000.00	with COA Decision pending issuance of COA Order of Execution (COE)
6. Engagement of services of a private lawyer as consultant	T20-002-100-(2018) dated	101,598.00	

Particulars	ND Nos.	Amount	Remarks
	February 26, 2020		
7. Engagement of services of a private lawyer as consultant	T20-003-100-(2017) dated February 26, 2020	105,000.00	
	Total	₱5,926,878.00	

As for the unsettled audit suspensions, details are as follows:

Particulars	NS Nos.	Amount	Remarks
1. Payment for Janitorial Services - Lack of supporting documents that will establish the validity of the claims, reasonableness of the contract cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR	18-001-100-(2016) dated May 22, 2018	₱1,250,000.00	Lacking documents were substantially submitted but the report of the COA Technical Audit Specialist on the technical evaluation on the reasonableness of contract cost were only received on CY 2022.
2. Payment for Janitorial Services - Lack of supporting documents that will establish the validity of the claims, reasonableness of the contract cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR	18-002-100-(2016) dated May 22, 2018	1,250,000.00	
3. Payment for Janitorial Services - Lack of supporting documents that will establish the validity of the claims, reasonableness of the contract cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR	18-003-100-(2017) dated June 1, 2018	1,249,800.00	
4. Payment for Janitorial Services - Lack of supporting documents that will establish the validity of the claims, reasonableness of the contract cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR	18-004-100-(2017) dated June 1, 2018	1,050,000.00	
	Total		₱4,799,800.00

Municipal Government of Taytay
Detailed Statement of Financial Position
As at December 31, 2021

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
ASSETS				
CURRENT ASSETS				
CASH AND CASH EQUIVALENTS				
Cash on Hand				
Cash-Local Treasury	₱ 2,742,001.60	₱ 261,803.01	₱ 778,870.44	₱ 1,701,328.15
Cash in Bank-Local Currency				
Cash in Bank -Local Currency, Current Account	486,595,086.92	385,944,718.63	7,329,999.95	93,320,368.34
Total Cash and Cash Equivalents	489,337,088.52	386,206,521.64	8,108,870.39	95,021,696.49
INVESTMENTS				
Investments in Time Deposits				
Cash in Bank - Local Currency, Time Deposits	247,688,697.13	247,688,697.13	0.00	0.00
Total Investments	247,688,697.13	247,688,697.13	0.00	0.00
LOANS AND RECEIVABLE ACCOUNTS				
Loans and Accounts Receivable				
Real Property Tax Receivable	7,731,313.38	7,731,313.38	0.00	0.00
Special Education Tax Receivable	7,731,313.38	0.00	7,731,313.38	0.00
Inter-Agency Receivables				
Due from Local Government Units	6,999,578.14	6,999,578.14	0.00	0.00
Intra-Agency Receivables				
Due from Other Funds	49,366,199.90	3,500,200.00	7,697.00	45,858,302.90
Due from Special Accounts	7,865,891.52	7,865,891.52	0.00	
Advances				
Advances for Operating Expenses	34,377,372.00	34,377,372.00	0.00	0.00
Advances for Payroll	506,020.18	506,020.99	0.00	(0.81)
Advances to Officers and Employees	9,230.00	9,230.00	0.00	0.00
Total Loans and Receivables	114,586,918.50	60,989,606.03	7,739,010.38	45,858,302.09
INVENTORIES				
Inventory Held for Consumption				
Fuel, Oil and Lubricants Inventory	280,542.47	280,542.47	0.00	0.00
Chemical and Filtering Supplies Inventory	99,000.00	99,000.00	0.00	0.00
Other Supplies and Materials Inventory	2,328,968.78	2,328,968.78	0.00	0.00
Total Inventories	2,708,511.25	2,708,511.25	0.00	0.00
PREPAYMENTS AND DEFERRED CHARGES				
Prepayments				
Advances to Contractors	1,144,868.81	1,144,868.81	0.00	0.00
Total Prepayments and Deferred Charges	1,144,868.81	1,144,868.81	0.00	0.00
TOTAL CURRENT ASSETS	855,466,084.21	698,738,204.86	15,847,880.77	140,879,998.58
NON-CURRENT ASSETS				
PROPERTY, PLANT AND EQUIPMENT				
Land				
Land	31,982,067.76	31,982,067.76	0.00	0.00
Land Improvements				
Other Land Improvements	10,094,728.03	10,094,728.03	0.00	0.00
Accumulated Depreciation-Other Land Improvements	0.00	0.00	0.00	0.00
Infrastructure Assets				
Road Networks	25,972,507.75	25,972,507.75	0.00	0.00
Accumulated Depreciation - Road Networks	(3,999,918.51)	(3,999,918.51)	0.00	0.00
Flood Control Systems	19,050,426.25	19,050,426.25	0.00	0.00
Accumulated Depreciation-Flood Control Systems	(3,065,013.36)	(3,065,013.36)	0.00	0.00
Water Supply Systems	7,108,241.59	7,108,241.59	0.00	0.00
Accumulated Depreciation-Water Supply Systems	(1,066,236.90)	(1,066,236.90)	0.00	0.00
Power Supply Systems	822,268.90	822,268.90	0.00	0.00
Accumulated Depreciation - Power Supply Systems	(124,968.60)	(124,968.60)	0.00	0.00
Seaport Systems	2,816,250.45	2,816,250.45	0.00	0.00
Accumulated Depreciation-Seaport Systems	(506,925.45)	(506,925.45)	0.00	0.00
Airport Systems	27,674,925.68	27,674,925.68	0.00	0.00
Accumulated Depreciation-Airport Systems	(2,224,335.17)	(2,224,335.17)	0.00	0.00
Parks, Plazas and Monuments	12,781,803.02	12,781,803.02	0.00	0.00

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
Accumulated Depreciation-Parks, Plazas and Monumer	(2,875,906.05)	(2,875,906.05)	0.00	0.00
Other Infrastructure Assets	9,295,535.63	9,295,535.63	0.00	0.00
Accumulated Depreciation-Parks, Plazas and Monumer	(1,683,698.96)	(1,683,698.96)	0.00	0.00
Buildings and Other Structures				
Buildings	82,257,697.60	82,257,697.60	0.00	0.00
Accumulated Depreciation - Buildings	(28,977,511.08)	(28,977,511.08)	0.00	0.00
School Buildings	26,848,848.31	26,541,280.63	307,567.68	0.00
Accumulated Depreciation - School Buildings	(9,555,126.54)	(9,315,941.13)	(239,185.41)	0.00
Hospitals and Health Centers	11,449,692.78	11,449,692.78	0.00	0.00
Accumulated Depreciation-Hospitals and Health Center	(4,841,273.74)	(4,841,273.74)	0.00	0.00
Markets	25,744,828.34	25,744,828.34	0.00	0.00
Accumulated Depreciation-Markets	(11,522,221.61)	(11,522,221.61)	0.00	0.00
Slaughterhouses	1,604,200.39	1,604,200.39	0.00	0.00
Accumulated Depreciation-Slaughterhouses	(469,228.53)	(469,228.53)	0.00	0.00
Other Structures	7,825,126.10	7,825,126.10	0.00	0.00
Accumulated Depreciation - Other Structures	(3,100,942.83)	(3,100,942.83)	0.00	0.00
Machinery and Equipment				
Machinery	2,208,892.91	2,208,892.91	0.00	0.00
Accumulated Depreciation - Machinery	(1,785,680.61)	(1,785,680.61)	0.00	0.00
Office Equipment	12,377,816.62	11,283,922.62	1,093,894.00	0.00
Accumulated Depreciation - Office Equipment	(6,641,814.41)	(6,217,849.68)	(423,964.73)	0.00
Information and Communication Technology Equipmer	24,613,290.57	23,689,225.57	924,065.00	0.00
Accumulated Depreciation - Information and Communication	(15,587,222.63)	(15,115,175.03)	(472,047.60)	0.00
Communication Equipment	3,147,045.80	3,125,342.80	21,703.00	0.00
Accumulated Depreciation - Communication Equipment	(1,623,230.70)	(1,622,905.15)	(325.55)	0.00
Construction and Heavy Equipment	62,082,416.96	62,082,416.96	0.00	0.00
Accumulated Depreciation - Construction and Heavy Equipme	(2,680,804.36)	(2,680,804.36)	0.00	0.00
Disaster Response and Rescue Equipment	5,461,853.49	5,461,853.49	0.00	0.00
Accumulated Depreciation - Disaster Response and Rescue Ec	(3,529,009.17)	(3,529,009.17)	0.00	0.00
Military, Police and Security Equipment	1,212,479.10	1,212,479.10	0.00	0.00
Accumulated Depreciation - Military, Police and Security Eq	(332,080.97)	(332,080.97)	0.00	0.00
Medical Equipment	857,900.00	857,900.00	0.00	0.00
Accumulated Depreciation-Medical Equipment	(197,385.00)	(197,385.00)	0.00	0.00
Sports Equipment	100,000.00	100,000.00	0.00	0.00
Accumulated Depreciation - Sports Equipment	(33,750.00)	(33,750.00)	0.00	0.00
Technical and Scientific Equipment	2,470,452.80	2,437,952.80	32,500.00	0.00
Accumulated Depreciation-Technical and Scientific Equipmen	(1,150,336.64)	(1,150,092.89)	(243.75)	0.00
Other Machinery and Equipment	11,683,347.34	11,431,547.34	251,800.00	0.00
Accumulated Depreciation - Other Machinery and Equipment	(7,210,792.07)	(7,054,513.07)	(156,279.00)	0.00
Transportation Equipment				
Motor Vehicles	52,316,044.37	52,316,044.37	0.00	0.00
Accumulated Depreciation - Motor Vehicles	(29,903,031.74)	(29,903,031.74)	0.00	0.00
Watercrafts	879,048.00	879,048.00	0.00	0.00
Accumulated Depreciation - Watercrafts	(334,816.18)	(334,816.18)	0.00	0.00
Other Transportation Equipment	4,498,000.00	4,498,000.00	0.00	0.00
Accumulated Depreciation-Other Transportation Equipment	(881,235.00)	(881,235.00)	0.00	0.00
Furniture, Fixtures and Books				
Furniture and Fixtures	12,945,628.63	12,502,637.12	442,991.51	0.00
Accumulated Depreciation-Furniture and Fixtures	(6,365,734.98)	(6,118,056.89)	(247,678.09)	0.00
Books	121,100.00	121,100.00	0.00	0.00
Accumulated Depreciation-Books	(95,653.46)	(95,653.46)	0.00	0.00
Construction in Progress				
Construction in Progress - Infrastructures Assets	130,017,728.07	130,017,728.07	0.00	0.00
Construction in Progress - Buildings and Other Structur	152,725,015.46	111,085,050.07	187,845.00	41,452,120.39
Other Property, Plant and Equipment				
Work/Zoo Animals	100,000.00	100,000.00	0.00	0.00
Other Property, Plant and Equipment	1,755,063.00	1,755,063.00	0.00	0.00
Accumulated Depreciation - Other Property, Plant and l	(277,268.60)	(277,268.60)	0.00	0.00
Total Property, Plant and Equipment	632,259,117.85	589,084,355.40	1,722,642.06	41,452,120.39
BIOLOGICAL ASSETS				
Bearer Biological Assets				
Breeding Stocks	312,550.00	312,550.00	0.00	0.00
Total Bearer Biological Assets	312,550.00	312,550.00	0.00	0.00

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
INTANGIBLE ASSETS				
Intangible Assets				
Computer Software	1,592,295.00	1,592,295.00	0.00	0.00
Total Intangible Assets	1,592,295.00	1,592,295.00	0.00	0.00
TOTAL NON-CURRENT ASSETS	634,163,962.85	590,989,200.40	1,722,642.06	41,452,120.39
TOTAL ASSETS	₱ 1,489,630,047.06	₱ 1,289,727,405.26	₱ 17,570,522.83	₱ 182,332,118.97
LIABILITIES				
CURRENT LIABILITIES				
Financial Liabilities				
Accounts Payable				
Accounts Payable	₱ 132,144,908.55	₱ 130,798,959.93	₱ 1,345,948.62	₱ 0.00
Loans Payable - Domestic	4,051,253.32	4,051,253.32	0.00	0.00
Inter-Agency Payables				
Due to BIR	1,609,506.65	1,586,593.57	22,913.08	0.00
Due to GSIS	2,745,473.93	2,745,473.93	0.00	0.00
Due to Pag-IBIG	273,906.12	273,906.12	0.00	0.00
Due to PhilHealth	710,822.09	710,822.09	0.00	0.00
Due to National Government Agencies	133,118,884.48	264,966.49	0.00	132,853,917.99
Due to GOCCs	522,406.38	476,330.17	410.00	45,666.21
Due to LGUs	3,781,667.12	2,920,569.07	716,149.58	144,948.47
Intra-Agency Payables				
Due to Other Funds	49,366,199.90	45,865,999.90	0.00	3,500,200.00
Due to Special Accounts	7,865,891.55	7,865,891.55	0.00	0.00
Trust Liabilities				
Trust Liabilities - Disaster Risk Reduction and Management Fund	8,877,897.57	0.00	0.00	8,877,897.57
Bail Bonds Payable	1,788,994.83	0.00	0.00	1,788,994.83
Guaranty/Security Deposits Payable	3,930,506.08	2,117,933.91	47,488.86	1,765,083.31
Deferred Credits/Uncearned Income				
Deferred Real Property Tax	7,731,313.39	7,731,313.39	0.00	0.00
Deferred Special Education Tax	7,731,313.38	0.00	7,731,313.38	0.00
Other Payables				
Other Payables	33,509,168.83	153,758.24	0.00	33,355,410.59
TOTAL CURRENT LIABILITIES	399,760,114.17	207,563,771.68	9,864,223.52	182,332,118.97
NON-CURRENT LIABILITIES				
Financial Liabilities				
Accounts Payable				
Loans Payable - Domestic	83,781,325.44	83,781,325.44	0.00	0.00
TOTAL NON-CURRENT LIABILITIES	83,781,325.44	83,781,325.44	0.00	0.00
TOTAL LIABILITIES	483,541,439.61	291,345,097.12	9,864,223.52	182,332,118.97
NET ASSETS/EQUITY				
Net Assets/Equity	1,006,088,607.45	998,382,308.14	7,706,299.31	0.00
TOTAL NET ASSETS/EQUITY	1,006,088,607.45	998,382,308.14	7,706,299.31	0.00
TOTAL LIABILITIES AND NET ASSETS/EQUITY	₱ 1,489,630,047.06	₱ 1,289,727,405.26	₱ 17,570,522.83	₱ 182,332,118.97

Municipal Government of Taytay
Detailed Statement of Financial Performance
For the Year Ended December 31, 2021

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND
REVENUE			
Tax Revenue			
Individual and Corporation			
Community Tax	₱ 1,264,442.29	₱ 1,264,442.29	₱ 0.00
Property			
Real Property Tax - Basic	2,443,902.11	2,443,902.11	0.00
Less: Discount on Real Property Tax - Basic	(189,715.37)	(189,715.37)	0.00
Special Education Tax	3,067,452.42	0.00	3,067,452.42
Less: Discount on Special Education Tax	(224,568.96)	0.00	(224,568.96)
Goods and Services			
Business Tax	8,262,365.83	8,262,365.83	0.00
Fines and Penalties			
Tax Revenue-Fines and Penalties-Property Taxes	505,482.93	301,554.85	203,928.08
Tax Revenue-Fines and Penalties-Taxes on Goods and Services	333,544.75	333,544.75	0.00
Share from National Taxes			
Share from Internal Revenue Collections	436,849,311.00	436,849,311.00	0.00
Total Tax Revenue	452,312,217.00	449,265,405.46	3,046,811.54
Business and Service Income			
Service Income			
Permit Fees	4,861,036.65	4,861,036.65	0.00
Registration Fees	1,154,676.60	1,154,676.60	0.00
Registration Plates, Tags and Stickers Fees	300,145.00	300,145.00	0.00
Clearance and Certification Fees	1,553,771.63	1,553,771.63	0.00
Inspection Fees	1,736,384.00	1,736,384.00	0.00
Occupation Fees	860,400.00	860,400.00	0.00
Fines & Penalties - Service Income	99,220.34	99,220.34	0.00
Other Service Income	5,618,817.92	5,618,817.92	0.00
Business Income			
Receipts from Market Operation	1,743,856.00	1,743,856.00	0.00
Receipts from Slaughterhouse Operation	622,315.00	622,315.00	0.00
Garbage Fees	671,500.00	671,500.00	0.00
Hospital Fees	170,495.00	170,495.00	0.00
Interest Income	3,372,661.46	3,372,661.46	0.00
Total Business and Service Income	22,765,279.60	22,765,279.60	0.00
Shares, Grants and Donations			
Shares			
Share from PCSO	8,992.23	8,992.23	0.00
Total Shares, Grants and Donations	8,992.23	8,992.23	0.00
Miscellaneous Income			
Miscellaneous Income	68,691.17	68,691.17	0.00
Total Miscellaneous Income	68,691.17	68,691.17	0.00
TOTAL REVENUE	475,155,180.00	472,108,368.46	3,046,811.54
LESS: CURRENT OPERATING EXPENSES			
Personal Services			
Salaries and Wages			
Salaries and Wages - Regular	71,639,175.42	71,639,175.42	0.00
Salaries and Wages - Casual/Contractual	18,346,745.20	18,346,745.20	0.00
Other Compensation			
Personnel Economic Relief Allowance (PERA)	6,453,364.63	6,453,364.63	0.00
Representation Allowance (RA)	2,643,750.00	2,643,750.00	0.00
Transportation Allowance (TA)	2,491,006.00	2,491,006.00	0.00
Clothing/Uniform Allowance	1,500,750.00	1,500,750.00	0.00
Subsistence Allowance	567,075.00	567,075.00	0.00
Laundry Allowance	77,625.00	77,625.00	0.00
Productivity Incentive Allowance	15,000.00	15,000.00	0.00
Honoraria	159,050.54	159,050.54	0.00
Hazard Pay	3,219,687.58	3,219,687.58	0.00
Year End Bonus	6,956,515.20	6,956,515.20	0.00
Cash Gift	1,317,492.00	1,317,492.00	0.00

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND
Other Bonuses and Allowances	9,642,178.20	9,642,178.20	0.00
Personnel Benefit Contributions			
Retirement and Life Insurance Contributions	9,248,536.73	9,248,536.73	0.00
Pag-IBIG Contributions	1,543,198.73	1,543,198.73	0.00
PhilHealth Contributions	1,327,173.08	1,327,173.08	0.00
Employees Compensation Insurance Premiums	295,040.68	295,040.68	0.00
Other Personnel Benefits			
Terminal Leave Benefits	1,137,723.43	1,137,723.43	0.00
Other Personnel Benefits	6,407,045.41	6,407,045.41	0.00
Total Personal Services	144,988,132.83	144,988,132.83	0.00
Maintenance and Other Operating Expenses			
Travelling Expenses			
Travelling Expenses - Local	13,898,940.04	13,402,260.04	496,680.00
Training and Scholarship Expenses			
Training Expenses	6,400,618.65	6,148,189.65	252,429.00
Supplies and Materials Expenses			
Office Supplies Expenses	5,080,742.37	4,583,301.85	497,440.52
Food Supplies Expenses	10,621,102.00	10,621,102.00	0.00
Accountable Forms Expenses	327,449.00	327,449.00	0.00
Animal/Zoological Supplies Expenses	276,464.00	276,464.00	0.00
Drugs and Medicines Expenses	3,733,642.04	3,733,642.04	0.00
Medical, Dental and Laboratory Supplies Expenses	9,045,983.00	9,045,983.00	0.00
Fuel, Oil and Lubricants Expenses	15,819,342.28	15,819,342.28	0.00
Agricultural and Marine Supplies Expenses	433,300.00	433,300.00	0.00
Chemical and Filtering Supplies Expenses	414,120.00	414,120.00	0.00
Other Supplies and Materials Expenses	7,255,798.82	7,255,798.82	
Utility Expenses			
Water Expenses	75,490.98	75,090.98	400.00
Electricity Expenses	4,785,901.76	4,766,402.66	19,499.10
Communication Expenses			
Postage and Courier Service	32,895.00	32,895.00	0.00
Telephone Expenses	986,583.84	971,998.14	14,585.70
Internet Subscription Expenses	282,422.74	274,789.35	7,633.39
Awards/Rewards and Prizes			
Awards/Rewards Expenses	2,719,429.25	2,719,429.25	0.00
Prizes	115,000.00	115,000.00	0.00
Professional Services			
Auditing Services	119,000.00	119,000.00	0.00
Other Professional Services	8,080,026.58	8,080,026.58	0.00
General Services			
Environment/Sanitary Services	4,298,175.88	4,298,175.88	0.00
Janitorial Services	1,289,031.89	1,289,031.89	0.00
Security Services	3,337,589.29	3,337,589.29	0.00
Other General Services	3,995,421.50	3,837,781.50	157,640.00
Repairs and Maintenance			
Repairs and Maintenance - Land Improvements	99,500.00	99,500.00	
Repairs and Maintenance - Infrastructure Assets	3,583,999.88	3,563,999.88	20,000.00
Repairs and Maintenance - Building and Other Structures	1,126,334.36	449,682.80	676,651.56
Repairs and Maintenance - Machinery and Equipment	4,772,722.71	4,772,722.71	0.00
Repairs and Maintenance - Transportation Equipment	3,841,172.56	3,841,172.56	0.00
Taxes, Insurance Premiums and Other Fees			
Taxes, Duties and Licenses	29,387.67	29,387.67	0.00
Fidelity Bond Premiums	142,460.24	142,460.24	0.00
Insurance Expenses	563,476.31	563,476.31	0.00
Other Maintenance and Operating Expenses			
Advertising Expenses	128,400.00	128,400.00	0.00
Printing and Publication Expenses	491,618.11	491,618.11	0.00

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND
Transportation and Delivery Expenses	59,900.00	59,900.00	0.00
Rent Expenses	155,134.04	155,134.04	0.00
Membership Dues and Contributions to Organizations	391,200.00	391,200.00	0.00
Donations	31,564,839.28	31,564,839.28	0.00
Other Maintenance and Operating Expenses	13,242,220.60	13,200,168.60	42,052.00
Total Maintenance and Other Operating Expenses	163,616,836.67	161,431,825.40	2,185,011.27
Non-Cash Expenses			
Depreciation			
Depreciation - Infrastructure Assets	3,599,964.84	3,599,964.84	0.00
Depreciation - Buildings and Structures	5,538,818.66	5,538,818.66	0.00
Depreciation - Machinery and Equipment	5,044,324.71	4,935,834.19	108,490.52
Depreciation - Transportation Equipment	3,559,577.08	3,559,577.08	0.00
Depreciation - Furniture, Fixtures and Books	855,616.69	834,768.69	20,848.00
Depreciation - Other Property, Plant and Equipment	127,856.40	127,856.40	0.00
Total Non-Cash Expenses	18,726,158.38	18,596,819.86	129,338.52
TOTAL CURRENT OPERATING EXPENSES	327,331,127.88	325,016,778.09	2,314,349.79
SURPLUS (DEFICIT) FROM CURRENT OPERATIONS	147,824,052.12	147,091,590.37	732,461.75
ADD/(DEDUCT): TRANSFERS, ASSISTANCE AND SUBSIDY			
Financial Assistance/Subsidy to			
Subsidy to National Government Agencies	(583,206.00)	(583,206.00)	0.00
Subsidy to Other Local Government Units	(8,705,753.00)	(8,705,753.00)	0.00
Subsidy - Others	(3,750.00)	(3,750.00)	0.00
Transfers to			
Transfers of Unspent Current Year DRRM Funds to the Trust Fund	(3,467,756.23)	(3,467,756.23)	0.00
Total Transfers, Assistance and Subsidy to	(12,760,465.23)	(12,760,465.23)	0.00
NET FINANCIAL ASSISTANCE/SUBSIDY	(12,760,465.23)	(12,760,465.23)	0.00
SURPLUS (DEFICIT) FOR THE PERIOD	P 135,063,586.89	P 134,331,125.14	P 732,461.75

Municipal Government of Taytay
Detailed Statement of Changes in Net Assets/Equity
For the Year Ended December 31, 2021

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
Balance, January 1, 2021	P 871,094,996.43	P 864,051,053.00	P 7,043,943.43	P 0.00
Add (Deduct)				
Prior Period Errors	(69,975.87)	130.00	(70,105.87)	0.00
Restated Balance	871,025,020.56	864,051,183.00	6,973,837.56	0.00
Add (Deduct) Changes in net assets/equity during the year				
Suplus (Deficit) for the period	135,063,586.89	134,331,125.14	732,461.75	0.00
Balance, December 31, 2021	P 1,006,088,607.45	P 998,382,308.14	P 7,706,299.31	P 0.00

Municipal Government of Taytay
Detailed Statement of Cash Flows
For the Year Ended December 31, 2021

PARTICULARS	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
Cash Flows from Operating Activities				
Cash Inflows				
Collection from taxpayers	P 20,696,742.30	P 18,548,410.87	P 2,148,331.43	P 0.00
Share from Internal Revenue Allotment	436,849,311.00	436,849,311.00	0.00	0.00
Receipts from business/service income	19,394,527.14	19,394,527.14	0.00	0.00
Interest Income	3,372,661.50	3,372,661.50	0.00	0.00
Other Receipts	132,421,022.89	82,257,169.40	3,651,126.40	46,512,727.09
Total Cash Inflows	612,734,264.83	560,422,079.91	5,799,457.83	46,512,727.09
Cash Outflows				
Payment to suppliers and creditors	43,989,608.85	43,471,003.71	497,112.14	21,493.00
Payment to employees	142,693,418.37	139,979,635.20	471,145.00	2,242,638.17
Payment of expenses	130,880,114.08	129,721,018.03	1,159,096.05	0.00
Other Expenses	38,852,759.85	28,792,789.67	576,357.87	9,483,612.31
Total Cash Outflows	356,415,901.15	341,964,446.61	2,703,711.06	11,747,743.48
Net Cash Flows from Operating Activities	256,318,363.68	218,457,633.30	3,095,746.77	34,764,983.61
Cash Flows from Investing Activities				
Cash Inflows				
Proceeds/Interest from Time Deposit Investments	0.00	0.00	0.00	0.00
Total Cash Inflows	0.00	0.00	0.00	0.00
Cash Outflows				
Purchase/Construction of Property, Plant and Equipment	118,313,692.04	107,429,736.46	557,946.44	10,326,009.14
Purchase of Intangible Assets	583,900.00	583,900.00	0.00	0.00
Total Cash Outflows	118,897,592.04	108,013,636.46	557,946.44	10,326,009.14
Net Cash Flows from Investing Activities	(118,897,592.04)	(108,013,636.46)	(557,946.44)	(10,326,009.14)
Cash Flows from Financing Activities				
Cash Inflows				
Proceeds from Loans	0.00	0.00	0.00	0.00
Total Cash Inflows	0.00	0.00	0.00	0.00
Cash Outflows:				
Payment of loan amortization	3,856,041.23	3,856,041.23	0.00	0.00
Total Cash Outflows	3,856,041.23	3,856,041.23	0.00	0.00
Net Cash Flows from Financing Activities	(3,856,041.23)	(3,856,041.23)	0.00	0.00
Total Cash Provided by Operating, Investing and Financing	133,564,730.41	106,587,955.61	2,537,800.33	24,438,974.47
Add : Cash Balance, January 1, 2021	603,461,055.24	527,307,263.16	5,571,070.06	70,582,722.02
Cash Balance, December 31, 2021	P 737,025,785.65	P 633,895,218.77	P 8,108,870.39	P 95,021,696.49

Municipal Government of Taytay
Statement of Comparison of Budget and Actual Amounts
For the Year Ended December 31, 2021

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
General Fund					
Beginning Balance (AA)	405,472,167.07	405,472,167.07	0.00	405,472,167.07	0.00
Revenue (BB)					
A. Local Sources					
1. Tax Revenue					
a. Tax Revenue - Property	1,955,396.34	1,955,396.34	0.00	2,254,186.74	298,790.40
b. Tax Revenue - Goods and Services	3,679,941.73	3,679,941.73	0.00	8,262,365.83	4,582,424.10
c. Other Local Taxes	679,620.54	679,620.54	0.00	635,099.60	(44,520.94)
Total Tax Revenue	6,314,958.61	6,314,958.61	0.00	11,151,652.17	4,836,693.56
2. Non-Tax Revenue					
a. Service Income	11,312,736.18	11,312,736.18	0.00	16,184,452.14	4,871,715.96
b. Business Income	3,956,175.91	3,956,175.91	0.00	6,580,827.46	2,624,651.55
c. Other Income and Receipts	2,444,872.83	2,444,872.83	0.00	1,342,125.69	(1,102,747.14)
d. Waterworks System Fees	0.00	0.00	0.00	0.00	0.00
Total Non-Tax Revenue	17,713,784.92	17,713,784.92	0.00	24,107,405.29	6,393,620.37
B. External Sources					
1. Share from the National Internal Revenue Taxes	436,849,311.00	436,849,311.00	0.00	436,849,311.00	0.00
C. Receipts from Borrowings	0.00	0.00	0.00	0.00	0.00
Total Revenue and Receipts (A+B+C)	460,878,054.53	460,878,054.53	0.00	472,108,368.46	11,230,313.93
TOTAL FUNDS (AA+BB)	866,350,221.60	866,350,221.60	0.00	877,580,535.53	11,230,313.93
Expenditures					
Current Appropriations					
General Public Services					
Office of the Mayor					
Personal Services	13,913,370.64	15,875,610.48	(1,962,239.84)	14,458,056.56	1,417,553.92
Maintenance and Other Operating Expenses	32,824,944.00	38,635,297.00	(5,810,353.00)	32,920,004.51	5,715,292.49
Capital Outlay	13,012,126.57	36,722,358.14	(23,710,231.57)	1,870,123.14	34,852,235.00
Office of the Vice Mayor					
Personal Services	4,885,123.36	5,953,480.70	(1,068,357.34)	5,303,905.92	649,574.78
Maintenance and Other Operating Expenses	5,824,000.00	4,898,882.31	925,117.69	4,728,341.00	170,541.31
Capital Outlay	400,000.00	1,693,000.00	(1,293,000.00)	349,000.00	1,344,000.00
Office of the Sangguniang Bayan					
Personal Services	16,076,576.96	15,365,087.68	711,489.28	15,174,759.16	190,328.52
Maintenance and Other Operating Expenses	5,110,000.00	3,747,228.50	1,362,771.50	3,054,643.01	692,585.49
Capital Outlay	700,000.00	700,000.00	0.00	325,000.00	375,000.00
Office of the Secretary to the Sangguniang Bayan					
Personal Services	4,711,549.04	4,293,170.64	418,378.40	4,083,450.78	209,719.86
Maintenance and Other Operating Expenses	886,400.00	803,492.91	82,907.09	494,213.91	309,279.00
Capital Outlay	200,000.00	175,000.00	25,000.00	0.00	175,000.00
Office of the Municipal Administrator					
Personal Services	7,471,505.56	6,189,059.96	1,282,445.60	5,887,968.28	301,091.68
Maintenance and Other Operating Expenses	5,163,000.00	4,169,874.00	993,126.00	3,940,494.92	229,379.08
Capital Outlay	1,515,000.00	50,000.00	1,465,000.00	0.00	50,000.00
Office of the Human Resource Management Officer					
Personal Services	14,057,315.04	20,656,453.36	(6,599,138.32)	17,387,302.36	3,269,151.00
Maintenance and Other Operating Expenses	1,809,200.00	1,027,855.00	781,345.00	978,077.53	49,777.47
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Office of the Municipal Planning and Development Coordinator					
Personal Services	6,733,726.88	3,964,039.56	2,769,687.32	3,592,421.65	371,617.91
Maintenance and Other Operating Expenses	1,841,350.00	1,247,787.02	593,562.98	1,227,493.54	20,293.48
Capital Outlay	550,650.00	580,650.00	(30,000.00)	432,430.00	148,220.00
Office of the Municipal Civil Registrar					
Personal Services	3,672,751.28	3,527,722.72	145,028.56	3,475,934.26	51,788.46
Maintenance and Other Operating Expenses	884,000.00	444,870.00	439,130.00	404,100.21	40,769.79
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Office of the Municipal General Services Officer					
Personal Services	6,065,465.28	4,964,039.04	1,101,426.24	4,521,431.12	442,607.92
Maintenance and Other Operating Expenses	9,780,000.00	11,094,607.43	(1,314,607.43)	9,923,164.69	1,171,442.74
Capital Outlay	0.00	196,800.00	(196,800.00)	196,800.00	0.00

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
Office of the Municipal Budget Officer					
Personal Services	4,314,534.00	3,741,807.28	572,726.72	3,465,257.44	276,549.84
Maintenance and Other Operating Expenses	778,600.00	630,286.36	148,313.64	481,777.44	148,508.92
Capital Outlay	45,000.00	24,350.00	20,650.00	24,350.00	0.00
Office of the Municipal Accountant					
Personal Services	6,683,716.08	6,374,769.28	308,946.80	6,222,055.89	152,713.39
Maintenance and Other Operating Expenses	1,225,600.00	822,059.00	403,541.00	764,503.01	57,555.99
Office of the Municipal Treasurer					
Personal Services	10,293,719.12	7,607,329.60	2,686,389.52	6,935,293.68	672,035.92
Maintenance and Other Operating Expenses	2,270,520.00	1,990,623.70	279,896.30	1,900,788.41	89,835.29
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Office of the Municipal Assessor					
Personal Services	5,689,455.92	3,926,704.28	1,762,751.64	3,638,926.27	287,778.01
Maintenance and Other Operating Expenses	1,429,680.00	1,027,678.88	402,001.12	915,326.35	112,352.53
Capital Outlay	120,000.00	120,000.00	0.00	0.00	120,000.00
Office of the MDRRMO					
Personal Services	5,747,315.36	4,722,282.84	1,025,032.52	4,512,465.79	209,817.05
Maintenance and Other Operating Expenses	1,662,804.50	82,767,286.95	(81,104,482.45)	12,026,935.69	70,740,351.26
Capital Outlay	0.00	1,600,000.00	(1,600,000.00)	0.00	1,600,000.00
Municipal Information and Communication Office					
Personal Services	0.00	612,496.44	(612,496.44)	13,500.00	598,996.44
Maintenance and Other Operating Expenses	0.00	50,000.00	(50,000.00)	47,600.00	2,400.00
Capital Outlay	0.00	500,000.00	(500,000.00)	0.00	500,000.00
Health, Nutrition and Population Control					
Office of the Municipal Health Officer					
Personal Services	26,520,374.12	22,266,123.53	4,254,250.59	21,103,892.19	1,162,231.34
Maintenance and Other Operating Expenses	7,836,000.00	11,024,679.24	(3,188,679.24)	10,040,066.28	984,612.96
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Labor and Employment					
<i>Community Affairs/ PESO Section</i>					
Maintenance and Other Operating Expenses	3,110,000.00	4,936,175.00	(1,826,175.00)	4,647,643.98	288,531.02
Capital Outlay	0.00	0.00	0.00	0.00	0.00
<i>Trade and Industry Section</i>					
Maintenance and Other Operating Expenses	465,600.00	131,230.00	334,370.00	131,230.00	0.00
Social Services and Social Welfare					
Office of the Municipal Social Welfare and Development Officer					
Personal Services	6,738,054.31	5,559,912.40	1,178,141.91	5,206,152.59	353,759.81
Maintenance and Other Operating Expenses	2,810,400.00	6,473,354.76	(3,662,954.76)	6,284,388.30	188,966.46
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Economic Services					
Office of the Mayor-Licensing Division					
Maintenance and Other Operating Expenses	624,000.00	610,000.00	14,000.00	587,027.20	22,972.80
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Office of the Municipal Environment and Natural Resources Officer					
Personal Services	4,529,808.24	3,724,800.96	805,007.28	3,408,943.22	315,857.74
Maintenance and Other Operating Expenses	5,551,200.00	7,174,926.42	(1,623,726.42)	6,580,934.64	593,991.78
Capital Outlay	130,000.00	624,800.00	(494,800.00)	124,800.00	500,000.00
Office of the Motorpool Section					
Personal Services	4,992,477.52	3,108,261.68	1,884,215.84	2,732,101.70	376,159.98
Maintenance and Other Operating Expenses	5,683,800.00	5,536,220.00	147,580.00	5,401,933.15	134,286.85
Capital Outlay	245,000.00	228,483.00	16,517.00	138,483.00	90,000.00
Office of the Public Market Section					
Personal Services	294,206.80	512,128.80	(217,922.00)	411,289.87	100,838.93
Maintenance and Other Operating Expenses	370,000.00	377,489.00	(7,489.00)	343,669.32	33,819.68
Capital Outlay	95,000.00	124,450.00	(29,450.00)	124,150.00	300.00
Office of the Municipal Economic Enterprise Development Office (MEEDO)					
Personal Services	2,455,138.24	478,083.16	1,977,055.08	254,655.72	223,427.44
Maintenance and Other Operating Expenses	64,000.00	0.00	64,000.00	0.00	0.00
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Office of the Municipal Tourism					
Personal Services	2,569,534.24	2,806,299.28	(236,765.04)	2,604,985.22	201,314.06
Maintenance and Other Operating Expenses	6,257,000.00	2,597,898.00	3,659,102.00	2,249,266.88	348,631.12
Capital Outlay	1,007,000.00	4,362,299.00	(3,355,299.00)	1,001,385.00	3,360,914.00

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
Office of the Municipal Engineer					
Personal Services	5,564,926.64	4,729,719.28	835,207.36	4,586,192.74	143,526.54
Maintenance and Other Operating Expenses	620,800.00	410,446.00	210,354.00	355,379.72	55,066.28
Capital Outlay	15,000.00	15,000.00	0.00	15,000.00	0.00
Municipal Cooperative Development Office					
Personal Services	0.00	0.00	0.00	0.00	0.00
Maintenance and Other Operating Expenses	680,800.00	680,800.00	0.00	596,184.08	84,615.92
Capital Outlay	15,000.00	15,000.00	0.00	0.00	15,000.00
Office of the Municipal Agriculturist					
Personal Services	5,848,468.00	4,853,836.80	994,631.20	4,742,727.79	111,109.01
Maintenance and Other Operating Expenses	12,486,440.00	11,574,565.60	911,874.40	10,769,824.53	804,741.07
Capital Outlay	8,820,000.00	8,900,938.00	(80,938.00)	2,898,938.00	6,002,000.00
Taytay Water System Development Office					
Personal Services	1,408,172.96	2,099,098.40	(690,925.44)	2,058,031.54	41,066.86
Maintenance and Other Operating Expenses	2,415,200.00	1,334,887.92	1,080,312.08	1,075,912.20	258,975.72
Capital Outlay	80,000.00	830,000.00	(750,000.00)	107,230.00	722,770.00
Other Purposes:					
LDRRMF					
Maintenance and Other Operating Expenses	20,201,294.73	20,726,294.73	(525,000.00)	17,258,538.50	3,467,756.23
Capital Outlay	2,842,608.00	2,667,608.00	175,000.00	87,290.00	2,580,318.00
20% Development Fund					
Maintenance and Other Operating Expenses	8,392,866.77	8,392,866.77	0.00	8,392,866.77	0.00
Capital Outlay	78,976,995.43	191,209,808.05	(112,232,812.62)	63,525,130.58	127,684,677.47
Gender and Development Program					
Personal Services	710,000.00	710,000.00	0.00	627,485.83	82,514.17
Maintenance and Other Operating Expenses	21,543,902.73	21,893,902.73	(350,000.00)	20,295,334.68	1,598,568.05
Capital Outlay	790,000.00	790,000.00	0.00	319,000.00	471,000.00
Provision For Municipal Council for Protection of Children					
Maintenance and Other Operating Expenses	4,368,493.11	4,368,493.11	0.00	4,255,509.40	112,983.71
Allocation for Senior Citizens and PWD					
Office of the Senior Citizens Affair and PWD					
Maintenance and Other Operating Expenses	4,298,493.11	4,298,493.11	0.00	4,077,800.37	220,692.74
Capital Outlay	70,000.00	70,000.00	0.00	34,500.00	35,500.00
Subsidy to 31 Barangays					
Maintenance and Other Operating Expenses	31,000.00	31,000.00	0.00	31,000.00	0.00
Capital Outlay			0.00		0.00
Total General Fund - Current Appropriations	460,878,054.54	676,754,413.79	(215,876,359.25)	395,164,771.51	281,589,642.28
General Fund - Continuing Appropriations					
Continuing Appropriations: 20% Devt. Fund					
CY 2020					
Other Purposes:					
Others					
Capital Outlay	55,471,378.36	50,986,982.81	4,484,395.55	13,288,733.94	37,698,248.87
Ordinance No. 393-2020 (20% 2014-2019)					
Other Purposes:					
Others					
Capital Outlay	13,918,494.00	13,318,494.00	600,000.00	3,963,391.17	9,355,102.83
CY 2019					
Other Purposes:					
Others					
Capital Outlay	27,658,078.75	16,575,095.72	11,082,983.03	9,656,768.71	6,918,327.01
CY 2018					
Other Purposes:					
Others					
Capital Outlay	25,328,129.15	11,588,450.63	13,739,678.52	5,938,349.36	5,650,101.27
CY 2017					
Other Purposes:					
Others					
Capital Outlay	23,862,254.17	1,899,577.40	21,962,676.77	735,698.42	1,163,878.98
CY 2016					
Other Purposes:					
Others					
Capital Outlay	11,411,085.60	533,480.00	10,877,605.60	525,877.90	7,602.10

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
CY 2015					
Other Purposes:					
Others					
Capital Outlay	11,918,764.61	200,000.00	11,718,764.61	200,000.00	0.00
CY 2014					
Other Purposes:					
Others					
Capital Outlay	4,244,910.39	1,961,962.50	2,282,947.89	0.00	1,961,962.50
CY 2013					
Other Purposes:					
Others					
Capital Outlay	2,605,618.60	0.00	2,605,618.60	0.00	0.00
CY 2007-2012					
Other Purposes:					
Others					
Capital Outlay	3,928,863.07	0.00	3,928,863.07	0.00	0.00
Continuing Appropriations: Continuing Capital Outlay 2013-2020					
General Public Services					
Office of the Mayor					
Capital Outlay	39,105,110.99	13,109,978.00	25,995,132.99	2,890,215.00	10,219,763.00
Office of the Vice Mayor					
Capital Outlay	2,970,476.54	2,788,300.00	182,176.54	2,404,700.00	383,600.00
Office of the SSO/SBO					
Capital Outlay	180,500.00	0.00	180,500.00	0.00	0.00
Office of the Administrator					
Capital Outlay	1,356,839.80	779,800.00	577,039.80	778,300.00	1,500.00
Office of the Human Resource Management Officer					
Capital Outlay	1,178,120.00	974,070.00	204,050.00	968,620.00	5,450.00
Office of the Municipal Planning and Development Coordinator					
Capital Outlay	7,228,570.88	0.00	7,228,570.88	0.00	0.00
Office of the Municipal Civil Registrar					
Capital Outlay	117,045.00	80,000.00	37,045.00	0.00	80,000.00
Office of the Municipal General Services Officer					
Capital Outlay	3,676,542.27	0.00	3,676,542.27	0.00	0.00
Office of the Municipal Budget Officer					
Capital Outlay	140,650.00	105,650.00	35,000.00	105,650.00	0.00
Office of the Municipal Accountant					
Capital Outlay	26,601.14	0.00	26,601.14	0.00	0.00
Office of the Municipal Treasurer					
Capital Outlay	115,247.55	0.00	115,247.55	0.00	0.00
Office of the Municipal Assessor					
Capital Outlay	191,801.00	0.00	191,801.00	0.00	0.00
LDRRMO					
Capital Outlay	281,550.00	250,516.00	31,034.00	250,516.00	0.00
Economic Services					
Office of Municipal Engineer					
Capital Outlay	609,774.02	135,000.00	474,774.02	127,500.00	7,500.00
Office of the Motorpool Services					
Capital Outlay	43,125.30	0.00	43,125.30	0.00	0.00
Office of the Tourism					
Capital Outlay	2,420,968.00	0.00	2,420,968.00	0.00	0.00
Office of the Municipal Agriculturist					
Capital Outlay	503,900.00	167,000.00	336,900.00	0.00	167,000.00
Office of the Public Market					
Capital Outlay	3,053,381.74	1,740,932.70	1,312,449.04	1,193,360.00	547,572.70
Office of the Municipal Environment and Natural Resources Office					
Capital Outlay	261,381.94	0.00	261,381.94	0.00	0.00
Cooperative Development Section					
Capital Outlay	27,000.00	0.00	27,000.00	0.00	0.00
Community Affairs					
Capital Outlay	20,000.00	0.00	20,000.00	0.00	0.00
Water Development Office					
Capital Outlay	99,600.00	0.00	99,600.00	0.00	0.00

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
Licensing section					
Capital Outlay	222,520.00	119,500.00	103,020.00	119,500.00	0.00
Health, Nutrition and Population Control					
Office of the Municipal Health Officer					
Capital Outlay	844,700.00	284,700.00	560,000.00	0.00	284,700.00
Social Services and Social Welfare					
Municipal Social Welfare and Development Office					
Capital Outlay	209,750.00	101,250.00	108,500.00	0.00	101,250.00
Gender and Development					
Capital Outlay	1,517,371.90	298,800.00	1,218,571.90	33,800.00	265,000.00
Local Council for Protection of Children					
Capital Outlay	2,000,000.00	0.00	2,000,000.00	0.00	0.00
OSCA/PWD					
Capital Outlay	4,050.00	0.00	4,050.00	0.00	0.00
KARAMAY					
Capital Outlay	90,000.00	0.00	90,000.00	0.00	0.00
Continuing Appropriations: Other Continuing Capital Outlay					
Other Purposes: Debt Servicing					
Water Supply System					
Capital Outlay	143,672,057.82	143,672,057.82	0.00	0.00	143,672,057.82
Continuing Appropriations: Other Continuing Accounts					
CY 2012-2017					
Other Purposes:					
Others					
Capital Outlay(MDRRM Special Account)	12,955,954.48	3,937,800.00	9,018,154.48	546,700.00	3,391,100.00
Total General Fund - Continuing Appropriations	405,472,167.07	265,609,397.58	139,862,769.49	43,727,680.50	221,881,717.08
TOTAL APPROPRIATIONS - GENERAL FUND	866,350,221.61	942,363,811.37	(76,013,589.76)	438,892,452.01	503,471,359.36
Special Education Fund - Current Appropriations					
Revenue					
1. Beginning Balance	0.00	0.00	0.00	0.00	0.00
2. Tax Revenue					
a. Tax Revenue - Property	2,396,665.35	2,396,665.35	0.00	3,046,811.54	(650,146.19)
3. Non-Tax Revenue					
a. Business Income	0.00	0.00	0.00	0.00	0.00
Total Revenue and Receipts	2,396,665.35	2,396,665.35	0.00	3,046,811.54	(650,146.19)
Expenditures					
Current Appropriations					
Personal Services	0.00	0.00	0.00	0.00	0.00
Maintenance and Other Operating Expenses	1,222,688.45	2,776,395.48	(1,553,707.03)	2,075,921.34	700,474.14
Capital Outlay	1,173,976.90	1,806,976.90	(633,000.00)	1,350,083.00	456,893.90
Total Special Education Fund - Current Appropriations	2,396,665.35	4,583,372.38	(2,186,707.03)	3,426,004.34	1,157,368.04
Special Education Fund - Continuing Appropriations					
Expenditures					
Special Education Fund - Continuing Appropriations					
Capital Outlay	0.00	0.00	0.00	0.00	0.00
Total SEF - Continuing Appropriation	0.00	0.00	0.00	0.00	0.00
Total Appropriations	2,396,665.35	4,583,372.38	(2,186,707.03)	3,426,004.34	1,157,368.04

***from Continuing Appropriations and Savings